

Mutuality

Open to all



The Amāna ethos is based upon inclusivity underpinned by pristine ethics. Our proposition is one for all people, irrespective of where diversity of thought and precept lies. The Company keeps customer convenience and satisfaction top of mind when designing and offering innovative products – a newly developed mobile app exemplifies the heightened levels of customer friendliness and interaction we seek. We also sought to widen outreach through conventional as well as an evolving disruptive digital media initiative.

OUR VISION

**"Committed to providing peace of mind through
World Class Takaful solutions"**

OUR MISSION

**"We will stand apart from the rest by engaging all stakeholders,
crafting unique insurance solutions, in a spirit of mutuality and solidarity"**

OUR VALUES

Customer Centered:

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

Open Mindedness:

Changing the status Quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

Rise for Quality:

A culture of continuous improvement.

We are DRIVEN to give all stakeholders a QUALITY service

Diversity:

Our soul and spirit

We are Open to all

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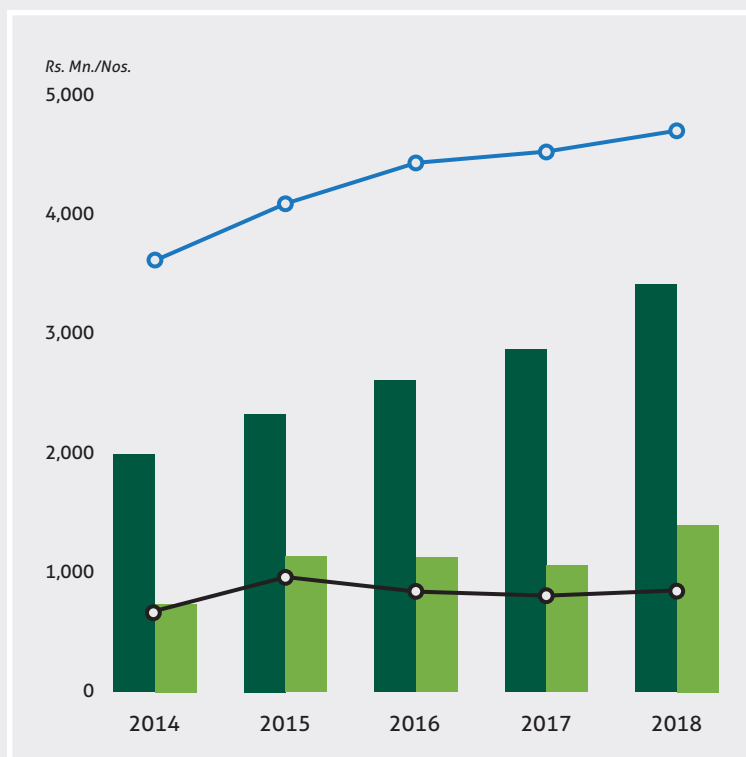
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FINANCIAL HIGHLIGHTS

	2018 Rs. Mn.	2017 Restated Rs. Mn.	Growth (%)
Group			
Total Gross Written Premium	4,214	3,641	15.75
Profit/(Loss) After tax	104	155	-32.78
Earnings/(Loss) per Share (Rs.) – (Note 35.4)	0.33	0.70	-52.58
Total Assets	6,590	5,936	11.02
Net Assets Value per Share (Rs.)	9.02	8.26	9.13
Return on Equity	0.05	0.09	-39.81
General Takaful			
Gross Written Premium	3,386	2,848	18.87
Net Earned Premium	2,419	1,898	27.46
Life (Family) Takaful			
Gross Written Premium	828	792	4.52
Life Fund – FTF	535	581	-7.88
Life Fund – Unit Link	1,660	1,525	8.85
Total Life (Family Takaful) Fund	2,195	2,106	4.24
Company			
Profit/(Loss) After Tax	23	63	-62.06
Earnings/(Loss) per Share (Rs.) – (Note 35.4)	0.13	0.35	-62.06
Net Assets Value per Share (Rs.)	10.22	10.09	1.25
Return on Equity	0.01	0.03	-61.14
Number of Employees	234	224	4.46
Number of Branches/Distribution Centres	36	33	9.09
General Takaful			
Gross Written Premium	2,002	1,792	11.74
Net Earned Premium	1,541	1,284	20.02

FINANCIAL HIGHLIGHTS



GENERAL TAKAFUL GWP – GROUP

18.9%

GROUP TOTAL ASSETS

9.8%

	2014	2015	2016	2017	2018
General Takaful Contributions (Rs. Mn.)	1,973	2,309	2,586	2,848	3,386
General Takaful Net Claims Incurred (Rs. Mn.)	735	1,130	1,118	1,050	1,387
Family Takaful Life Certificate – New Business (Nos.)	3,593	4,047	4,379	4,467	4,467
Family Takaful (Life) Contribution (Rs. Mn.)	679	928	821	792	792

CHAIRMAN'S REVIEW



"Group Gross Written Premium (GWP) of Rs. 4.2 Bn. is ahead by 16%, more than doubling the outturn in the previous year"

The Board of Directors join me in extending a warm welcome to you on the occasion of the 20th Annual General Meeting of Amāna Takaful PLC.

This publication comprises the Annual Report of Amāna Takaful PLC (ATPLC) and the Consolidated Financials of the Amāna Takaful Group. Amāna Takaful Life PLC (ATLL) and Amāna Takaful Maldives (ATM) will also publish their reports individually.

Group Results

Group performance in terms of growth and business fundamentals have been relatively well managed in the context of the overall industry performance, though dampened by an overrun in claims and a hiccup in investments in the Life entity.

Group Gross Written Premium (GWP) of Rs. 4.2 Bn. is ahead by 16%, more than doubling the outturn in the previous year. However, profit before tax from Group operations is Rs. 104 Mn., adverse by Rs. 51 Mn. compared to the previous year. ATM reports a significant growth of 135% in profits, while ATPLC was restricted to 38% of its 2017 result. ATLL reports a loss of Rs. 63 Mn.

The Group's investment assets yielded consolidated returns of Rs. 343 Mn., 10% below that of 2017. ATLL's returns were negatively affected on account of its troubled assets, which is receiving heightened attention of the Board. Total claims accounted for Rs. 1.9 Bn. in 2018, up 30% on the previous year.

Amāna Takaful PLC, sustained its GWP growth momentum at 12% in 2018, with satisfactory results in all classes of business, validating the strategic balance we envisage in portfolio performance in the current three year plan. Read in the context of industry performance which declined to 8%, the lowest in five years, that too with Motor class taking the entirety of the growth, we consider our construct exemplary and boding well for the future. The Company made good progress in new product performance, strategic tie-ups and an eye on cost. However, claims were 26% ahead of 2017, impacting significantly on profitability to Rs. 24 Mn. in 2018, in the same comparison. Share consolidation was successfully accomplished in July 2018.

Amāna Takaful Life PLC, a largely owned subsidiary of ATPLC too consolidated its shares with shareholder approval, effective July 2018. Premium growth at 4%, was largely boosted by a 29% upside in new business derived from the protection portfolio. Platinum Plus - a much needed hospital benefit cover was launched in July, evoking ready acceptance from new and existing policyholders. Weighted average

CHAIRMAN'S REVIEW

premiums at Rs. 5,000/- on individual policies are twice the industry average. Branch distribution and business expansion continue unabated. As reported in 2017 the troubled investment assets were completely secured by year end in respect of the Policyholders Fund with transparency to our policyholders.

Amāna Takaful Maldives, now counting fifteen years in pioneering Islamic Finance in the archipelago posts excellent results in GWP growth and profits on a sustainable basis, since its listing as the only Insurance outfit in the Maldives Stock Exchange in 2011. GWP of Rs. 1.4 Bn. was 31%, way ahead of the previous year's 9%, while profit before tax climbed 128% to Rs. 151 Mn. Despite irresponsible rate cutting practices by competitors, the Company steadfastly adhered to ethical practices, launching products and programmes to its discerning clientele. For the 6th consecutive year, the Company honoured its policyholders with surplus payments, while distributing dividends to shareholders. I reiterate my earlier call for regulatory support through a meaningful dialogue with industry players to build a secure environment for the insuring public.

Insurance Landscape and Outlook

Industry growth has been stifled to a single digit with a much greater dependency from the Motor class accounting for all of it in Sri Lanka. Motor rates are also subject to industry-wide price-cutting, further exacerbating the claims service costs where spike in prices of spare parts following the devaluation of the currency is of concern. It is a pity that traction in other classes of business is yet to come by, despite the construction projects and investment opportunities. As stated in my review of 2017, it is timely that all industry stakeholders resolve to work in unison and explore means to uplift the sector under the aegis of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Insurance penetration continues to be abysmally low, with the informal and under penetrated sectors of the population devoid of a safety net. For our Company's part, sustainable livelihoods in this sector is receiving disproportionate attention and spend through product design and benefits in our micro portfolio expansion. Enlisting critical mass and achieving economies of scale to enroll such participants into the financial ecosystem is being pursued in a measured way. Our middle-income status road map will be meaningful if employers and individuals alike are encouraged to seek protection and indemnity through incentives thereby reducing the overdependence on state handouts.

Business conditions have been affected for the most part by economic headwinds and the need for political stability and societal harmony. We remain optimistic of a much improved future.

Acknowledgements

The Takaful system is unique in that it is an ethical platform for participatory risk management and a governance framework of sharing. Towards that realisation, engaging all stakeholders is paramount. The understanding and ready support of the IRCSL in our business endeavours is well appreciated.

"The Takaful system is unique in that it is an ethical platform for participatory risk management and a governance framework of sharing"

I wish to place on record my gratitude to colleagues on the Board of the respective companies for their time, advice' and commitment in working to resolve issues speedily.

Dr. Ifthikarudeen Ismail resigned from the Board in September 2018. Apart from his active participation at meetings of the Board, the Company greatly benefited from his wisdom and advice. I would like to thank him and wish him success.

The office of the Insurance Ombudsman has been a beacon in dispute resolution, while that of an advisory on our business matters. We pay tribute to the Late Dr. Wickrema Weerasooriya for the dignity and honour he brought to bear on the industry in the discharge of his duties.



Tyeab Akbarally
Chairman

29 March 2019

CHIEF EXECUTIVE OFFICER'S REVIEW

"On the innovations front, a digital app – yet another industry first was launched through a revamped product, All-in-1, targeted at SME trade channels giving a fillip to speed and flexibility, wholly through an electronic platform"



Peace be Upon You All

In this twentieth year of operation, Amāna Takaful PLC (ATL) reports a Gross Written Premium of Rs. 2 Bn., 12% growth for the second successive year, ahead of the industry performance of 8% in 2018. Profit before tax from operations was adversely affected by claims overrun to stand at Rs. 24 Mn.

Being the first lap of the second three-year plan (2018-2020), ATL has vigorously pursued its Portfolio Rebalancing Programme, New Product introduction initiatives, Expansion in Distribution Reach, Digitisation and Productivity enhancements with a marginal growth in market share. All these activities contributed significantly to the business.

Our motor share of 55% is on target for the second successive year with a balanced mix in its portfolio. Exercising prudence in under-writing and pricing, our strategy to spread the risk across the same portfolio, with accent on the revamped subclasses, continues to make the class profitable, again for the second successive year. Industry share of motor is at 66%, with almost all of its growth fuelled by motor.

The non-motor segment's modest growth of 4% was boosted largely by the medical class and the continued thrust on the micro products. In the case of the former, regrettably, recourse to rate-cutting to shore-up volume and gain market

share akin to the malaise on motor, has gained momentum. Moreover, as a result of growing needs and allocations for medical requirements, corporates both large and medium will do well to subscribe to the maxims of under-writing principles, rather than a carte-blanche approach in engaging a solutions provider. Equally, industry players, now plagued with high claims ratios will need to be introspective. On the micro segment, suffice to say, that our measured approach to marginalised communities, informal associations and self-employed persons through a myriad of products have won favour in their consideration set. Raising awareness, education programmes and establishing alliances with credible opinion leaders in the communities has been a rewarding precursor to help manage the segment's uncertainty and risks, while enlisting them to the financial eco system. Our limiting factor is scale and reach, which are being addressed through a simple digitised interface.

On the innovations front, a digital app – yet another industry first was launched through a revamped product "All-in-1", targeted at SME trade channels giving a fillip to speed and flexibility, wholly through an electronic platform.

Four new branches were added on to our network accounting for 20% of the net volume upside in 2018.

CHIEF EXECUTIVE OFFICER'S REVIEW

Overall, our claims experience was contained at 57% for the second successive year, being among the industry's lowest. However, claims in property damage following the communal riots in the Central Province earlier in the year and medical class too, resulted in an overrun in the claims budget, causing a heavy impact on profitability. Total net claims payout in the year was Rs. 876 Mn., an increase of 26% compared to 2017.

ATL's investment assets yielded Rs. 117 Mn., 5% upside over 2017. Limited opportunities in Shari'ah compliant instruments remains a challenge.

The industry's single digit growth in 2018, from a track record of double digits in the previous five years or more, is indicative of the overall depressed economic climate that persisted for the better part of the year and the uncertainty that prevailed at the tail end. This is borne out in industry class-wise performance too, where, save for the motor class, results have been dormant or negative in others. Low ebb trading activity, currency devaluation, and upswing in taxation, resulting in pressure on disposable income, have a concomitant effect on insurance related transactions, the first casualty in any cost cutting/containing decision. Credit outlay exacerbates. Notwithstanding, the Company has made good progress to build on its strategic intent to weather these headwinds, while honouring its commitments to clients, in its drive towards sustainability.

True to the tenets of Takaful, I take pleasure to announce, in 2018, ATL shared SURPLUS to the value of Rs. 14 Mn. amongst 7,980 non-claimant recipients.

Our operations are now fully compliant with the new version of ISO 9001:2015, following a thorough review by DNV-GL, the accredited representative body for such certification in Sri Lanka. The Islamic Financial Forum for South Asia bestowed the Gold Award for the Best Takaful Entity and an additional Gold accolade for the Product "KiriGovi Sathkara" that seeks to protect dairy farmers and their livelihood.

As borne out through the strategic direction of a robust three-year plan notwithstanding the external climate, a high sense of urgency and optimism pervades the Organisation's will to succeed. Evidenced through enlistments of high calibre individuals from competition and allied industries, the thirst for multi-skilling, aided by a digitisation agenda, augmented with a best-in-class product development and innovation process, we remain confident to deliver on expectations of policyholders, stakeholders and the regulatory authorities. The reinsurance community too has expressed satisfaction and confidence in our risk mitigatory actions and portfolio direction.

In my last review, I spoke of advocacy. We've witnessed generous referrals through our loyal customer base, new enlistments, and stakeholders giving us the confidence to take the Takaful concept far and wide, living true to the adage – Open to all. I can vouch, that we remain, the only fully-fledged, ethical Takaful enterprise in the land.

"Our operations are now fully compliant with the new version of ISO 9001:2015, following a thorough review by DNV-GL, the accredited representative body for such certification in Sri Lanka"

In conclusion, I wish to pay tribute to the Chairman and the Board for their continued wisdom, advice, and uncompromising governance ethos.

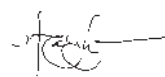
It is our belief, that our proactive level of interaction and openness vis à vis the Insurance Regulatory Commission of Sri Lanka has evoked a higher level of understanding and reciprocity that augurs well for the Takaful Brand of insurance, given the recent vicissitudes of business. I thank them.

The continued confidence of our Retakaful partners is a *sine quo non* in furthering our risk appetite. We remain open to their advice at all times.

The "watch" of the Shari'ah Advisory Council in our dealings is a guiding light in the way we work, walking the tightrope in the cluttered market, yet staying steadfast to our principles and ethics.

Finally, I wish to say that an organisation can develop the best of products, with world class processes and systems, yet it is the people who make the difference. Trust me, amanites make the difference!

They include colleagues from the subsidiaries Amāna Takaful Life PLC and Amāna Takaful Maldives, all of whom have teamed together to deliver Group Revenue of Rs. 4.2 Bn., 16% ahead of 2017. The synergy in all functions across the Group continue to be optimised for consistency in a spirit of mutuality and trust, true to our watchword – Amāna Takaful.



M Fazal Ghaffoor
Chief Executive Officer

29 March 2019

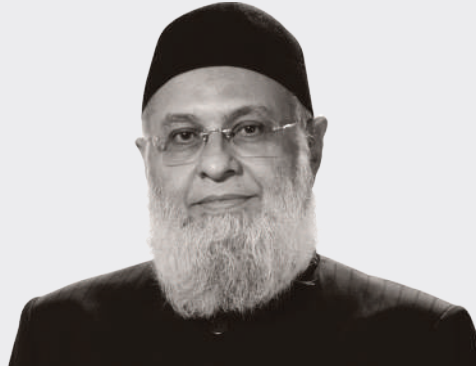
BOARD OF DIRECTORS



Tyeab Akbarally

Chairman – Non-Executive (ATPLC)

Tyeab Akbarally is the Chairman of the Company. He has been on the Board since its inception. He is also a Director of Akbar Brothers (Pvt) Ltd., the largest tea exporter in the country. Tyeab's business interests extend to many sectors of the economy, including Tea Trade, Pharmaceutical Trade, Hydropower and Commodity Trading. He is also on the Boards of Amāna Bank PLC and several companies in the Akbar Brothers Group.



Osman Kassim

Non-Executive Director
(ATPLC and AT – Life)

Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, is the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Mr Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic finance companies overseas as well, where he is a Director at Amāna Takaful Maldives and the Maldives Islamic Bank.

With over 40 years of Senior management experience, Mr Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He also sits on the Board of Aberdeen Holdings (Private) Limited and Crescentrating (Private) Limited – Singapore.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



Mohamed Haniffa Mohamed Rafiq

Independent Non-Executive Director
(ATPLC and AT – Life)

M H M Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.

BOARD OF DIRECTORS



Dato' Mohd Fadzli Yusof

Independent Non-Executive Director
(ATPLC and AT – Life)

Dato' Mohd Fadzli Yusof was appointed to the Board on 10 February 1999. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn. Bhd, a subsidiary of Hei Tech Padu Berhad.

He has been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. He is also a member of the Council, Ismail Petra International Islamic College Kelantan, Malaysia, member of the Negeri Sembilan Baitulmal Corporation, Malaysia as well as member of the Board of Trustees Sultan Mizan Royal Foundation, an NGO institution.



Dr. Aboobacker Admani Mohamed Haroon

Non-Executive Director (ATPLC)

Dr. A A M Haroon was appointed as a Director on 21 September 2000. He is a Medical Practitioner by profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.



Aboo Sally Mohamed Muzzammil

Independent Non-Executive Director (ATPLC)

A S M Muzzammil was appointed to the Board in April 2010. He is the Chairman/ Managing Director, Ceylon Foods (Pvt) Ltd. He has served for over 40 years in senior management positions in commerce and industry. He holds an MA in Business Analysis from Lancaster University, UK and the J Dip MA, UK. He is a Fellow of the CIMA (UK) and ACCA (UK). Muzzammil served as the President of CIMA Sri Lanka Division, Exporters Association of Sri Lanka and the Seafood Exporters Association of Sri Lanka. He has been a member, of the Councils of the Moratuwa University, SLIATE, SLSI and the ITI and was a member of the Joint Business Forum and various Chambers of Commerce and Industry. He has been a Vice-President and Treasurer of the OPA and also serves in several business, educational, social and religious organisations.

BOARD OF DIRECTORS



Radhakrishnan Gopinath

Independent Non-Executive Director
(ATPLC and AT-Life)

Radhakrishnan Gopinath was appointed to the Board on 6 June 2012. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London, UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/ Managing Director.



**Mohamed Rizwan
Mohamed Nayeem**

Independent Non-Executive Director
(ATPLC and AT-Life)

Rizwan Nayeem was appointed to the Board on 7 March 2016. He is currently an Executive Director at the Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

BOARD OF DIRECTORS



Mohamed Hassan Sattar Kassim

Independent Non-Executive Director (ATPLC)

Hassan Kassim was appointed to the Board on 7 March 2016. He is the founder and CEO of Expolanka Commodities DMCC Dubai. He has also served as Head of International Trading at Expolanka Commodities (Pvt) Ltd. and Head of Corporate Communications and CSR at Expolanka Holdings PLC.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim serves as a member of the Board of Directors of EZ Warehousing (Pvt) Ltd., Lanka Commodity Holdings (Pvt) Ltd., Norfolks Foods (Pvt) Ltd., and Beta Ventures.



Dr. Ifthikarudeen Ahamed Ismail

(Resigned w.e.f. 30 September 2018)

Independent Non-Executive Director
(ATPLC and AT – Life)

Dr. Ifthikarudeen Ahamed Ismail was appointed to the Board of Amāna Takaful PLC in June 2012. He also serves as Chairman of ATL Investments Holdings Ltd. (Formerly known as Amāna Holdings Ltd.) and as a Director of Asia Siyaka Commodities PLC.

He holds a BSc (Hons.) Degree from the University of Ceylon and a PhD from the University of St. Andrews, UK. He has attended the Advanced Management Programme at the Harvard Business School and has participated in a variety of senior functional and general management training courses, mainly in Europe. He is a Fellow of the Institute of Management of Sri Lanka.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in state institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocational Education Commission and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO and Director of APIIT Lanka and as Chairman of the Board of the Sri Lanka Business Development Centre, Council member of the Employers' Federation, Chairman of the Board of Governors of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.

LEADERSHIP TEAM

GENERAL MANAGEMENT COMMITTEE



- 1 – M Fazal Ghaffoor – Chief Executive Officer
- 2 – Zaid Ibnu Aboobucker – General Manager – Operations and Medical
- 3 – M S M Iqbal – Head of Information Technology
- 4 – M Farhan Jabir – Head of Human Resources
- 5 – A H M Dilshad – Head of Compliance and Corporate Risk
- 6 – M Rinaz Niyas – Head of Finance

LEADERSHIP TEAM

CORPORATE MANAGEMENT



Rizvan Ahamed
Assistant General Manager –
Retakaful



Nalin Sakalasooriya
Assistant General Manager –
Motor Claims



Shamail Annam
Assistant General Manager –
Business Development (Corporate)



Gayan De Silva
Assistant General Manager –
Sales



Noushad Cassim
Head of Sales –
Metropolitan



Udaya Kumara
Assistant General Manager –
Underwriting



Madara Kumarasinghe
Senior Manager –
Marketing

LEADERSHIP TEAM

MANAGEMENT TEAM



Thilak Nishantha
Manager –
Human Resources and
Administration



Rushdi Zarook
Manager –
Legal



Sumedha Mirihana
Manager –
Marketing Activations



Roshan Ranasinghe
Senior Manager –
Medical Underwriting



Ahmed Ajfar
Manager –
Information Technology



Jawfer-Us Sadik
Manager –
Retakaful



Faique Hassen
Manager –
Underwriting



Sanjeewa Kaluarachchi
Manager –
General Takaful



K Karunamoorthy
Manager –
Learning and Development



Venura Perera
Manager –
Motor Claims



Shaheer Rasooldeen
Manager –
Relationship Management Unit



Janaka Wijayakumara
Senior Regional Manager –
Southern and Sabaragamuwa

LEADERSHIP TEAM



M F M Hismy
Regional Manager –
East



Thasleen Ammon
Channel Sales Manager
(Corporate)



Zakir Kanaka
Senior Sales Manager
(Broker and Leasing)



Aruna Wickramage
Area Business Development
Manager



Suluki Kuthdoos
Area Business Development
Manager



Luqmaan Nizamdeen
Area Business Development
Manager



Manjula Herath
Senior Sales Manager



M Ramakrishnan
Manager –
Micro Takaful



Hashmath Huzair
Assistant Manager –
Internal Audit



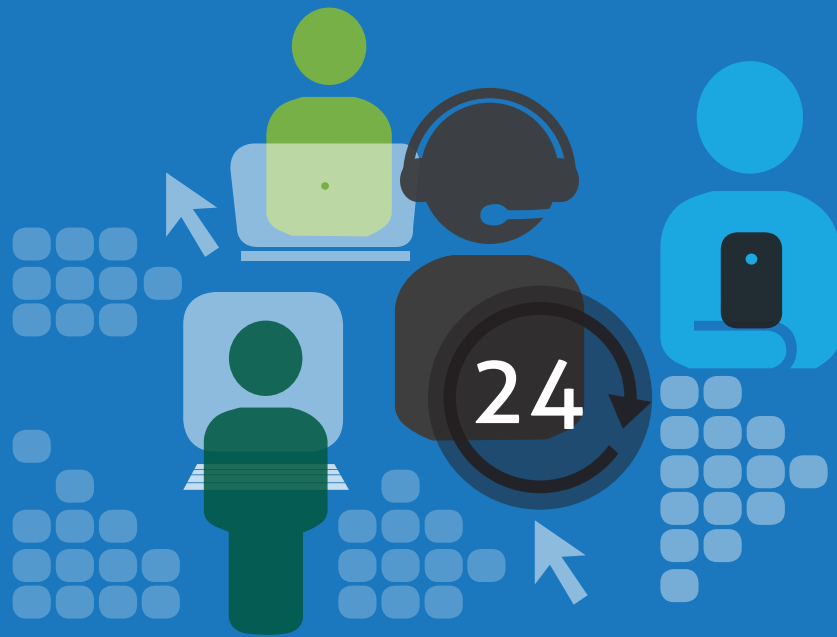
Arshad Azeez
Assistant Manager –
Finance



Muhammed Afzal Ali
Assistant Manager
Finance



Shafeen Nayeem
Assistant Manager –
Finance



Connectivity and Convenience

Being connected with the customer and enhancing customer convenience are priorities for the Company. Initiatives such as our 24-hour call centre, ready access to prime Takaful solutions via digital channels, and an extensive network of agents island-wide complements our drive...to stay connected.

Management Discussion and Analysis

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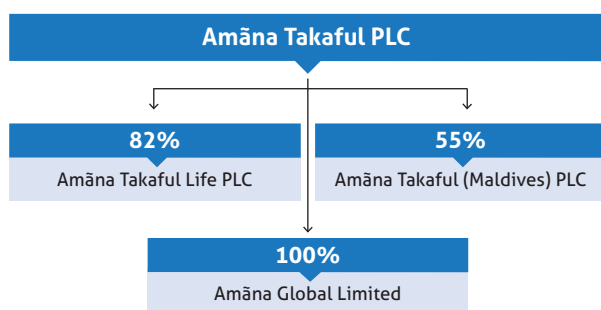
Human Resource — 29

GROUP OVERVIEW

Amāna Takaful PLC (ATPLC)

Amāna Takaful PLC was incorporated in 1998 as a Composite Insurer with a paid-up share capital of Rs. 30 Mn. At present the expanded group records an annual GWP of Rs. 4.2 Bn., stated capital of Rs. 1.8 Bn., 36 branches, 313 full time employees and retains its dominant position in the Takaful insurance space in Sri Lanka and Maldives.

With a public listing in 2006 ATPLC has three subsidiaries, namely Amāna Takaful Maldives PLC (ATM), Amāna Takaful Life PLC (AT-Life) and AGL. ATL/ATM were listed in 2011 and 2016 respectively and Amāna Global Limited is a BOI registered Technical Advisory.



Sri Lanka – Macroeconomic Position

Given the low penetration levels in both life and general insurance segments, Sri Lanka's Insurance industry is well positioned for growth. The segregation of life and non-life has led to the consolidation of smaller companies, resulting in the formation of stronger insurance companies.

Sri Lanka's low level of disposable income remains a challenge for the increase in insurance penetration in the Nation. Further, the depreciation of the Sri Lankan Rupee has further exacerbated the situation during 2018. The increase in interest rates and the rise in insurance claims on account of adverse weather conditions have compelled insurers to increase their rates, thus making the industry less attractive.

The introduction of Sri Lanka Financial Reporting Standard SLFRS 17 replacing SLFRS 4 and the introduction of SLFRS 9 – "Financial Instruments" would improve the transparency in financial reporting and introduce a consistent accounting approach to insurance contracts.

The new income tax regime that came into effect from 1 April 2018 through the Inland Revenue Act No. 24 of 2017 had a significant impact on the insurance industry. Whilst this had lowered the net profit of life insurers, the distributions to participating life policyholders which were not taxed previously, is now taxed at 14%, and will be increased to 28% from 2021. Therefore, the industry players are led to consider the increased use of technology to reduce costs, product innovation and optimise the use of underutilised channels to obtain a competitive edge.

Sri Lanka recorded a Gross Domestic Product (GDP) growth rate of 2.9% for the 3 quarters ended September 2018 compared to 3.3% recorded for the corresponding period in 2017.

The trade deficit widened further in the first eleven months of 2018 with the expansion in import expenditure outpacing the growth of export earnings. However, there was a moderation in import expenditure in response to the measures adopted to curb imports of motor vehicles and non-essential goods as well as the impact of the depreciation of the rupee. Reflecting the impact of increase in taxes for vehicles since August, vehicle imports declined in November 2018.

While earnings from tourism continued to grow, a slowdown was observed in workers' remittances. In the financial account, both the Government Securities market and the Colombo Stock Exchange experienced net outflows of foreign investment, although marginal inflows were observed in December 2018.

The widening trade deficit, tight conditions in the global markets and excessive speculation in the domestic market exerted pressure on the exchange rate, and the Sri Lankan Rupee depreciated by 15.9% against the US dollar up to 27 December 2018. However, the Rupee appreciated by 1.6% by 31 January 2019. Gross official reserves amounted to USD 7 Bn. at end November 2018, providing an import cover of 3.7 months.

Reflecting the impacts of the tight monetary policy stance, money supply decelerated gradually along with the inflation. Due to continued slowdown in food inflation and lower growth in money supply in the market, the year-on-year headline inflation was 2.8% in December 2018.

The World Bank's January 2019 Global Economic Prospects Report cites that Sri Lanka's economic growth is expected to speed up slightly to 4.0% in 2019. Inflation, on average, is expected to be below 5.0% in 2019 and stabilise in the range of 4 - 6% thereafter with appropriate policy adjustments.

Industry Overview

The Gross Written Premiums (GWP) of the General Insurance sector grew by 8% in 2018 to Rs. 96 Bn. The premium income from Motor Insurance of Rs. 62.9 Bn. accounts for nearly 66% of the market, with a growth rate of 12% YoY. The vehicle market is highly dependent on the vehicle Leasing and Hire Purchase industry. Given the prevailing tight monetary conditions, it is expected to result in a slow-down of the vehicle market, impacting the Motor Insurance sector. Non-Motor segment increased to Rs. 1.7 Bn, a 8% growth YoY. Medical Insurance recorded a decline of 13% YoY to Rs. 10.1 Bn., Insurance penetration in Sri Lanka stood at 1.24% significantly lower compared to the 2.71% average of peer nations. Technology has a high potential to become one of the key drivers of the insurance sector. Additionally, the adoption of new methods of marketing, distribution and payments will help to boost the industry sales and keep premiums in check.

BUSINESS PERFORMANCE REVIEW

Group Performance

The Group's GWP of Rs. 4.2 Bn. is up 16% from Rs. 3.6 Bn. the previous year. Profits for the year was Rs. 104.2 Mn. (2017 – Rs 155. Mn.).

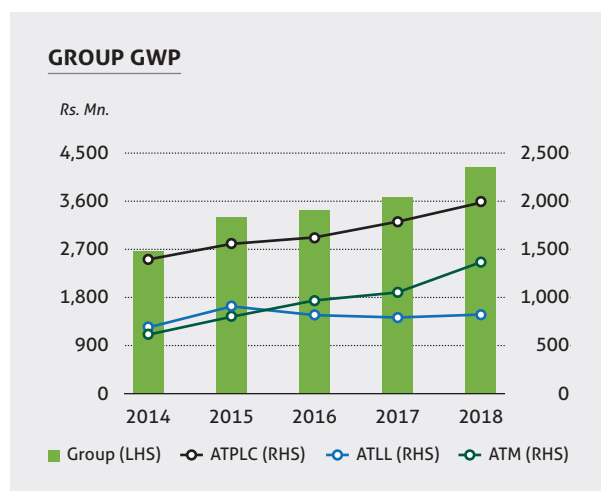
ATPLC has grown its Gross Written Premium (GWP) by 12% to Rs. 2 Bn. over the previous year, maintaining its market share and position. Profit before tax of Rs. 24 Mn. was recorded for 2018, as compared to the profit of Rs. 63 Mn. the previous year.

AT-Life GWP growth of 4% in 2018 to Rs. 828 Mn. an improvement compared to a decline in the previous year. However, the Company posted loss of Rs. 63 Mn., a decline over the previous period. This is due to provision being made for the "past due" investments.

ATM Posted a GWP of Rs. 1.38 Bn, a 31.4% growth. A profit before tax of Rs. 150 Mn.

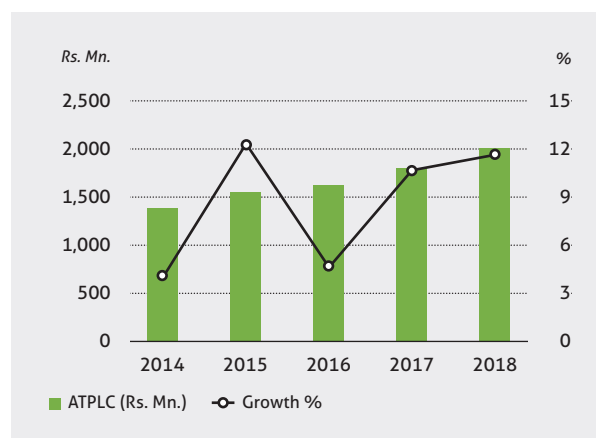
PBT is generated at Rs. 151 Mn. which is a 128% growth over 2017.

ATPLC Group GWP segmental growth over the last five years is depicted in the chart below:

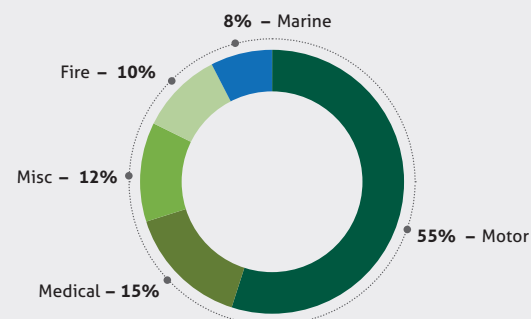


ATPLC

The five-year growth is depicted in the chart below:



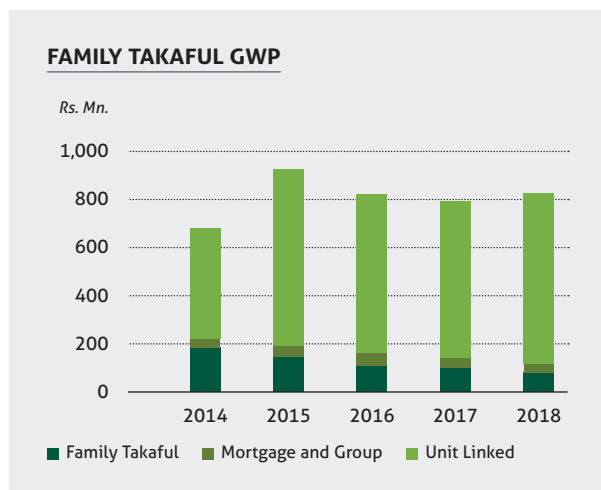
MOTOR AND NON-MOTOR MIX



BUSINESS PERFORMANCE REVIEW

Amāna Takaful Life

AT-Life has completed its 4th year of operation as a separate entity in 2018. The chart below depicts the growth in Gross Written Premium over the last five years:



Investment Income

The Group reports an investment income of Rs. 343 Mn. in 2018, which is a decline of 19%. Past due investments in AT-Life affected this performance.

Profitability

ATPLC recorded a profit before tax of Rs. 24 Mn. in 2018 compares with that of Rs. 63 Mn. in 2017. Higher claims in 2018 impacted this result.

AT-Life, in its fourth year of independent operations, recorded a loss before tax of Rs. 63 Mn. for 2018 for the first time on account of the past due investments.

ATM recorded a profit before tax of Rs. 151 Mn. in 2018, a 128% growth over the previous year.

At group level a profit of Rs. 104 Mn. is reported in 2018 compared to Rs. 155 Mn. in 2017.

Risk Management and Risk-based Capital

The Company has implemented a detailed Enterprise Risk Management Framework, which is reviewed periodically. A detailed Business Continuity Plan (BCP) supplemented by a Disaster Recovery Plan (DRP) is regularly updated and validated. All control procedures are monitored at the level of Department Heads. The meetings of the Risk Management Committee of the Board are held every quarter.

The Risk Based Capital Framework was fully-implemented from 1 January 2016. The Company has maintained TAC and CAR above the required levels at all times.

ISO Re-certification

ATPLC successfully obtained ISO re-certification. ISO certification entails routine quality and management related auditing by an external ISO accreditation body. DNV the renowned German ISO certification agency being our ISO accreditor conducted such auditing process, the criteria of which we successfully surpassed.

Presently we are the only insurance company to maintain the ISO accreditation.

Microinsurance

In the last 25 years tremendous progress has been made towards the goal of ending extreme poverty.

The 2018 forecast for the global extreme poverty rate is 8.6%. The main reasons for poverty are political instability, wars and climate change.

The World Bank also cites that half the world's population i.e. 3.4 Bn. people still struggle to meet basic needs. This vast section of the population is generally underserved and has very limited access to basic necessities of life. Their livelihoods are dependant basically on informal sectors with no regular income flows and limited or negligible financial resources. They face numerous risks and generally do not have access to formal risk coping solutions.

Microinsurance offers a viable alternative for low-income households to manage their risks. According to Swiss Re, the global microinsurance market has the potential of covering up to 4 billion people.

BUSINESS PERFORMANCE REVIEW

In Sri Lanka, market penetration in microinsurance stands at less than 1% and hence there is high potential.

According to research, there is a lack of demand for insurance among low-income households in Sri Lanka which can be attributed partially to an inability to pay the costs involved, as well as a lack of trust in insurance providers. Also the high level of community-based networks at the grass roots level has mitigated the need for insurance as a risk management strategy. Additionally, Sri Lanka's insurance regulation does not address or define either microinsurance or mutual microinsurance, although it does not prevent insurers from carrying out microinsurance.

In order to popularise microinsurance, it is necessary to improve knowledge and awareness on insurance, whilst building trust between low-income communities and insurance providers. Also, innovative technology applications play an important role.

As the pioneer in Takaful concept in Sri Lanka, ATPLC has introduced a range of micro Takaful products to suit the different needs of this market segment.

According to the study conducted by International Cooperative Mutual Insurance Federation (ICMIF), Sri Lanka was named in its global 5-5-5 strategy which seeks to reach out to five million households in five continents in five years. Being closest to the mutual model, ATPLC was selected as a participating entity. This has provided an impetus to our operations in reaching the underserved and needy segments of the market to extend protection and comfort on a sustainable platform.

PRODUCT PORTFOLIO

GENERAL



MOTOR



MEDICAL



MICRO



Amāna Takaful
BUSINESSCOVER
Business Insurance

A good insurance policy is an important aspect of business security, as it secures investments against specific forms of destruction or loss. The Business Cover enables an enterprise to operate smoothly despite unexpected calamities. We also offer tailor-made policies for different types of businesses including textile, restaurants, groceries, pharmacies, hardware stores, and supermarkets.



The small and medium sized business owner plays a critical role in the Island's economy. Amāna Takaful PLC (ATL) recognising this discerning segment and its requirements introduced an innovative insurance policy "All in 1". This policy was designed fully understanding the toil and challenges a business owner undergoes in finding funds and investments to establish their trade. At times of duress this policy would be there to support you through these unforeseen misfortunes. The unique feature of this product is that it is totally digitalised and obtaining a quote as per your requirements could be done without any hassle instantly.



"Takaful Travel Pal" policy offers support to customers travelling overseas for leisure, business, or family engagements. The policy is a comprehensive and reliable travel companion. It covers the holder in the event of hospitalisation, personal accident and injuries, permanent or total disabilities, loss of luggage and valuables, reimbursement of repatriation cost and a comprehensive cover for flight delay/cancellation, missed departure etc. Travel Pal also provides absolute peace of mind to the policyholder and free access to airport lounge facilities at the Bandaranaike International Airport.

The policy is available online, catering to the ever growing tech savvy customers. Quotations can be viewed and travel policies can be bought online through our website. The ATL Mobile App can be downloaded and used for any purpose including visa applications. Foreign travellers can obtain their Travel Pal Policy through ATL's island-wide branch network as well as partnered travel agents.



A home is a showpiece of a lifetime decorated with memories of love, care, and family. It is more than mere bricks and mortar. Therefore, "My Home" provides a comprehensive cover for a range of potential risks. In the event of a burglary it covers damaged property and stolen goods. It includes all belongings in the home – jewellery, valuables, interior and exterior decorations. The cover also provides protection against damages caused by fire, and natural disasters such as earthquakes, lightning and thunderstorms etc. Additionally, it offers a host of free benefits such as, a personal accident cover for the family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/credit cards, alternative accommodation requirements, and much more.



Maritime enterprise is fraught with many risks. With our Easy Marine cover, one can be at ease, whilst the goods are on the move. This is because we are committed to safeguarding your imports and exports from the point of origin to destination. The policyholder can also enjoy the broad coverage offered with a superior professional and friendly service with speed and efficiency, ensuring smooth sail at any stage.

PRODUCT PORTFOLIO

GENERAL



MOTOR



MEDICAL



MICRO



Amāna Takaful
TOTAL DRIVE
Motor Insurance

This motor policy cares not only for your car, but also for your loved ones and includes various covers to suit your risk appetite. It includes an exceptional claim settlement with the choice of three payment options.

Our online portal www.takaful.lk and the ATL Mobile App offers customers a wide range of functions that include; renewal of motor policies, obtaining quotations, notifying an accident and tracking a motor claim.

Amāna Takaful
SRD
Smart Rider COVER

“Smart Rider Cover” – a compelling insurance scheme for motor bikes that covers riders across a spectrum of worst-case scenarios to ensure that they do not have to suffer monetary loss due to any reason. The customised process flow ensures “Smart Rider Cover” customers can ride off after a swift transaction, secure in the knowledge that their motor bikes, their families, and they are covered against any eventualities.

Amāna Takaful
ටුක් ටුක් FULL
දැන් ඔය නෑ. හිතට දුක නෑ

This value proposition for three-wheel owners and its driver is the most attractive in the market and takes into account all the challenges faced by the drivers on a daily basis, to ensure that their livelihoods are sustained. The policy includes a host of eventualities, to ensure that at any point in time, the policyholder is shielded from loss. “Tuk Tuk Full” covers natural perils, riot and strike, third party property damage and hiring cover. In addition to this, “Tuk Tuk Full” extends a comprehensive insurance cover against personal emergencies such as death and disability or hospitalisation and unavailability of vehicle due to an accident to secure their daily income.

PRODUCT PORTFOLIO

GENERAL → | MOTOR → | MEDICAL ↓ | MICRO →



For the 1st time in Sri Lanka ATL has introduced an unique health insurance policy with an extremely affordable fee of just Rs. 2,222/- for an annual medical insurance coverage of Rs. 100,000/-. This has made the *Suwasiri* Health Insurance policy the most affordable policy available to Sri Lankans. *Suwasiri* is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation and medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. ATL *Suwasiri* Health Insurance policy is the solution that will help ease one's financial burden during a time of health crisis.



"*Kruthaguna*", an insurance cover designed to take care of your elderly loved ones hospitalisation. It gives you the peace of mind to spend time with them, to love them and care for them. ATL's *Kruthaguna* provides you with financial security and much needed support in times of need.

It is the only policy that provides health insurance benefits for elders above 55 years, and is a lifetime policy. One could enroll with this policy up to the age of 73.



An extended hospital stay is not only distressing but it can also be surprisingly expensive with costs escalating beyond one's limit. Not just the disease but the cost of treatment too takes its toll. Hale & Hearty insurance plan covers individuals and their families within the age group of 18 to 55. It can be tailored to meet the needs of entrepreneurs, executives, managers, and others like young adults and housewives. The policy also features an array of benefits that provide policyholders with added value and convenience. ATL's Hale & Hearty gives policyholders the convenient option of cashless transactions in 22 leading hospitals. As a result, ATL settles hospitalisation bills directly to the hospital ensuring the policyholder has minimal need for cash and feels no hassle or stress.



Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. ATL's Crystalline policy is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the policy insures against the most pressing threats to women's health, providing peace of mind to them.

PRODUCT PORTFOLIO

GENERAL



MOTOR



MEDICAL



MICRO



"Kiri Govi Sathkara", yet another revolutionary insurance scheme offered by Amāna Takaful PLC (ATL), aims to up lift the livelihood of the local dairy farmer and is the latest addition to Amāna Takaful's innovative line-up of covers.

ATL's Kiri Govi Sathkara insurance scheme is designed with a list of benefits that seeks to provide relief to critical issues faced by our dairy farmers. The cover seeks to do so through a life insurance for the farmer while providing the necessary payments in the case of accidental or natural death of their prized cattle.



Insurance is believed to be a requirement which can only be afforded by the affluent in our society. Therefore, "Navodhaya" the Micro Takaful (Insurance) product was launched to spread inclusiveness and mutual assistance. It is an annually renewable Death and Living benefit cover for groups of individuals.

CORPORATE SOCIAL RESPONSIBILITY

ATPLC

Continuing with our community engagement initiatives, ATL conducted a blood donation campaign in Akkaraipattu during the year under review as one more valuable CSR initiative by the company. Initiated by ATL's Banca Takaful team, the campaign was supported by the Company's sales force together with the banking institutions in the region. The blood donation drive attracted many generous donors, comprising the staff and customers of the respective institutions that took part enthusiastically in this endeavour.



Medical Student Sponsorship

Amāna Takaful financially supported five university students who gained admission to various universities. The monthly stipend will help meet educational and living expenses and will be supported during the entire period of study. The students were selected from different districts in the country. Regular follow-up is done and students are required to inform the Company of their progress. Senior Management met with the students and parents over lunch to review the progress.

HUMAN RESOURCES

Right People. Right Tools – for the Future!

2018 witnessed the formulation and implementation of ATL's new Business Plan (2018-2020). Our people have been at the very heart of the Company's planning process, taking ownership, driving business and delivering results. We are conscious that the commitment and competence of our talent is paramount in addressing business opportunities and challenges.

Investments in developing the competencies of our people continue to ensure they are equipped with the essential tools and skills. In line with our credo – Open to all, ATL's openness to gender, ethnic diversity and fostering a work place in which employees strive to delight all stakeholders, has resulted in ATL being a sought-after employer.

The work environment at Head Office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees and customers alike. It's an environment that advocates and embraces diversity, fresh thinking and shared values building a mutually inclusive culture and one of tolerance.

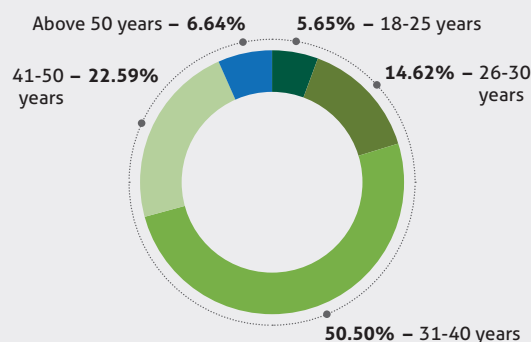
Today the Group has 313 full-time employees based at the Head Office and island-wide branch network.

Towards our goal in developing and fortifying a sustainable business model, we have aligned the Human Resources Strategy to the Organisation's corporate goals. Hence, it becomes critically important to ensure we have the right people, with the right skills, at the right place at the right time, in catering to the requirements of all our stakeholders.

Employee Analysis

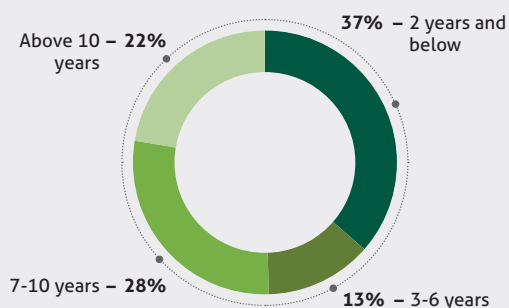
Staff Distribution by Province	2018		2017	
	No.	%	No.	%
Central	37	11.8	36	12.2
Eastern	24	7.6	26	8.9
North Central	2	0.7	2	0.7
North Western	27	8.6	28	9.3
Northern	5	1.6	4	1.3
Southern	11	3.7	16	5.4
Sabaragamuwa	4	1.2	2	0.7
Western	203	64.8	182	61.5
Total	313	100	296	100

STAFF AGE ANALYSIS – 2018



HUMAN RESOURCES

SERVICE ANALYSIS OF STAFF – 2018



Category	2018	2017
Staff Strength		
Senior Management	16	14
Middle Management	141	124
Executives	145	147
Non-Executives	11	11
Grand Total	313	296
Labour Turnover		
Number of Staff Resigned/Terminated	56	61
Average Number of Staff During the Period	314	296
Labour Turnover (%)	17.83	20.61

Benefits Philosophy

It is ATL's philosophy to provide competitive benefits to its employees. Regular surveys of industry standards are deployed to ensure that the benefits meet the needs of the employees.

- Personal Accident, Surgical and Hospitalisation/Insurance**

Designed for employees to manage medical expenses due to unexpected accidents or hospitalisations, ATL provides coverage for employees through the Group Life, Surgical/Hospitalisation, OPD, Child Birth Insurance Cover, and Critical Illness.

- Employees Provident Fund and Employees Trust Fund Scheme**

As per the Employees' Provident Fund and Employees' Trust Fund Act, ATL contributes 12% of basic salary towards the Employees' Provident Fund and 3% towards Employees' Trust Fund scheme.

- Employees Gratuity Scheme**

Full-time employees who have completed a minimum of five years continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No. 12 of 1983.

- Annual Awards Day**

In rewarding and recognising the performance and achievements of staff, ATL held its gala Annual Awards Night at the Golden Rose. More than 550 participants witnessed the glitzy event unfold with many top performers walking away with accolades and prizes that included foreign tours, cash prizes, medals, and trophies.



HUMAN RESOURCES

Being a much-anticipated event in the Company's annual calendar, ATL's "Annual Awards Night" also proves to be a vital motivational and engagement tool in recognising employees in the presence of Board members, Senior Management and staff of ATL.



Key Awards:

CEO's Award – Essentially recognises the contribution of operations staff who go beyond the call of duty.

Ten Years' Service Award – Staff completing 10-years of service in the Company are recognised for their dedicated service to ATL.

Champion of Champions – Prestigious award for Outstanding Sales Person of the year for overall best performance.

- **Amāna Takaful Welfare Association – ATWA**

Individuals joining ATL are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by ATL Management.

ATWA forms an integral part of our Company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of bonhomie.

ATWA's mandate covers staff welfare, sports, and social events.



HUMAN RESOURCES

• Open Door Policy

We foster an Open-door Policy in promoting transparent and open communication. Staff are encouraged to engage their line managers/superiors, HR Department or any member of the Senior Management or executive staff regarding any work-related concern. It is our goal to resolve such issues in an amicable method through such open discussions.

We invite and encourage a free and continuous exchange of information and welcome employees' suggestions and ideas. These meetings are typically informal and an open dialogue is encouraged.

The Internal Communications Unit too serves as a robust interface in communicating relevant information to staff on important events, monthly Team Briefs – sharing the performance of the Company and staff achievements in a timely manner.

Sri Lanka's Best Employer Brand Award

ATL was a recipient of "Sri Lanka's Best Employer Brand Award – 2018" – at the World HRD Congress held at the Hotel Taj Samudra in Colombo. The Award was conferred on ATL for the 3rd consecutive year in recognition of the effective HR initiatives taken towards attracting, retaining and developing talent. This has positioned the Organisation as an employer of choice in Sri Lanka.



Women's Day

ATL once again touched the lives of the inmates at "Mallika Home for Elderly Women", by celebrating International Women's Day with them. It is home to around 100 elderly folk who are looked after and sheltered in a serene and caring setting.



HUMAN RESOURCES

Learning and Development

We propagate a culture of learning within the Organisation, whereby staff are exposed to a structured learning and development plan. There has been no compromise in allocating resources for the growth and development of our talent. The identification of employees' skills gaps through the year-end Performance Appraisal Review and the role-out of identified and effective programmes has undoubtedly played an essential role in talent development and retention thereby creating sustainable, competitive advantage.

Training programmes are crafted both internally and also sourced through reputed external facilitation based on the annual Training Needs Analysis, in consultation with Heads of Functions. It is designed to enhance the capability and capacity of employees, in all categories. Professional trainers within and outside the industry form part of our able faculty and panel of trainers to coach our operations and sales force on best practices.



A **NALYSIS** of needs, requirements, tasks, and participants' current capabilities



D **ESIGN** learning objectives, delivery format, activities and exercises



D **EVELOP** course materials, review and conduct, training sessions



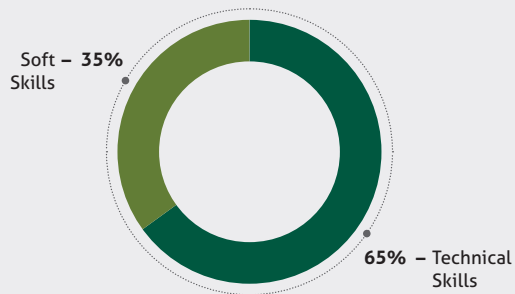
I **MPLEMENTATION** of training with proper tools in place, and observation



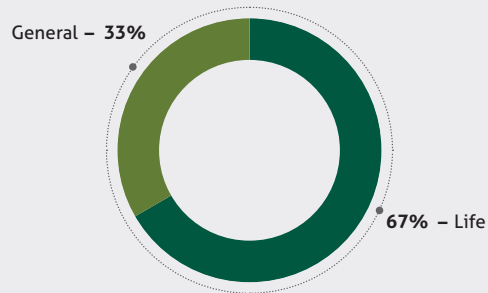
E **VALUATE** awareness, knowledge, behaviour, and results

HUMAN RESOURCES

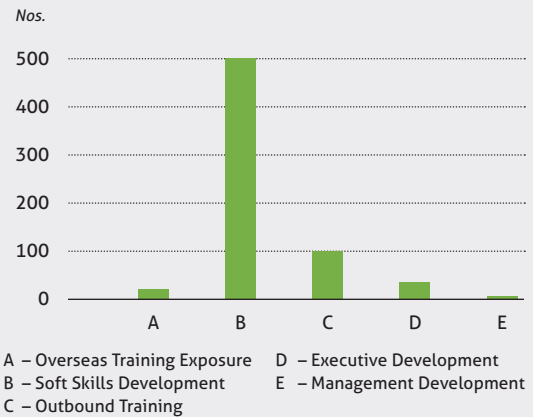
SKILLS TRAINING



PER CAPITA LEARNING HOURS



TRAINING SUMMARY FOR THE FINANCIAL YEAR – 2018



Management Development Programme (MDP)

An MDP was crafted in consultation with the Postgraduate Institute of Management (PIM) in 2018. A select group of eight managers attended the said programme covering key subjects/topics over a period of four months. A graduation ceremony is to follow in 2019.

Executive Development Programme (EDP)

An EDP was devised and facilitated by Mc Quires & Jones for selected Senior Executives of the Company over a six months period, covering key soft skills. The programme was designed to provide executives with the knowledge and tools to enhance their supervisory skills whilst preparing them to face the corporate challenges.

HUMAN RESOURCES

Outbound Training

Outbound training was rolled out during the year to enhance organisational performance through experiential learning and team building exercises.

**Overseas Training**

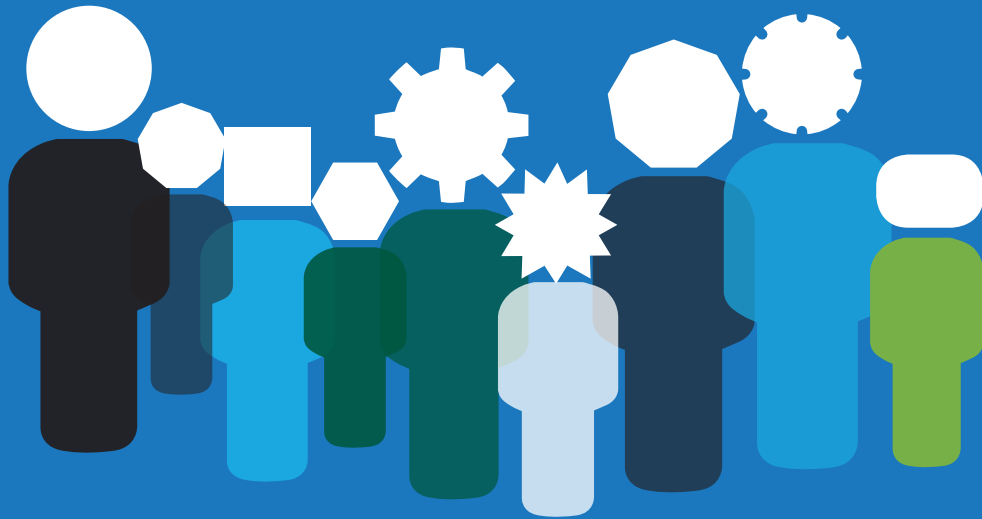
ATL continued to provide overseas training to staff members as an essential element of the L & D Process. In 2018, 21 employees attended overseas training programmes that were directly job related.

Technical and Sales Training

In addition to soft skills training, ATL conducted multiple initiatives to enhance the technical and sales skills of staff. During the year all the branch and regional managers were provided a comprehensive training on various subjects to familiarise them in the technical aspects of the business.

For new sales advisors joining the Company - "Knowledge Management Track" was introduced in order for them to familiarise themselves to the training initiatives offered by the Company. Manuals were introduced to support the sales team on planning and implementation, skills on professional selling, time management, negotiation and recruitment/selection to name a few.





Products that Matter

We take great care in developing a raft of solutions in packaged products to meet the expectations of our discerning customers. Our “*Smart Rider Cover*” goes beyond the “norm” to address personal emergency situations. The “*All-in-one*” Trade cover embraces multiple retail channels through an electronic interface – a game changer.

Stewardship

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CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability, and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed, and controlled. It is a concept which is now entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability, and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-. The Company has 5,884 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 159.

In terms of Article 6 of the Articles of the Association of the Company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the share capital of the Company on 30 July 2018, the issued number of shares have reduced from 1,800,001,296 fully paid shares to 180,000,130 fully paid shares.

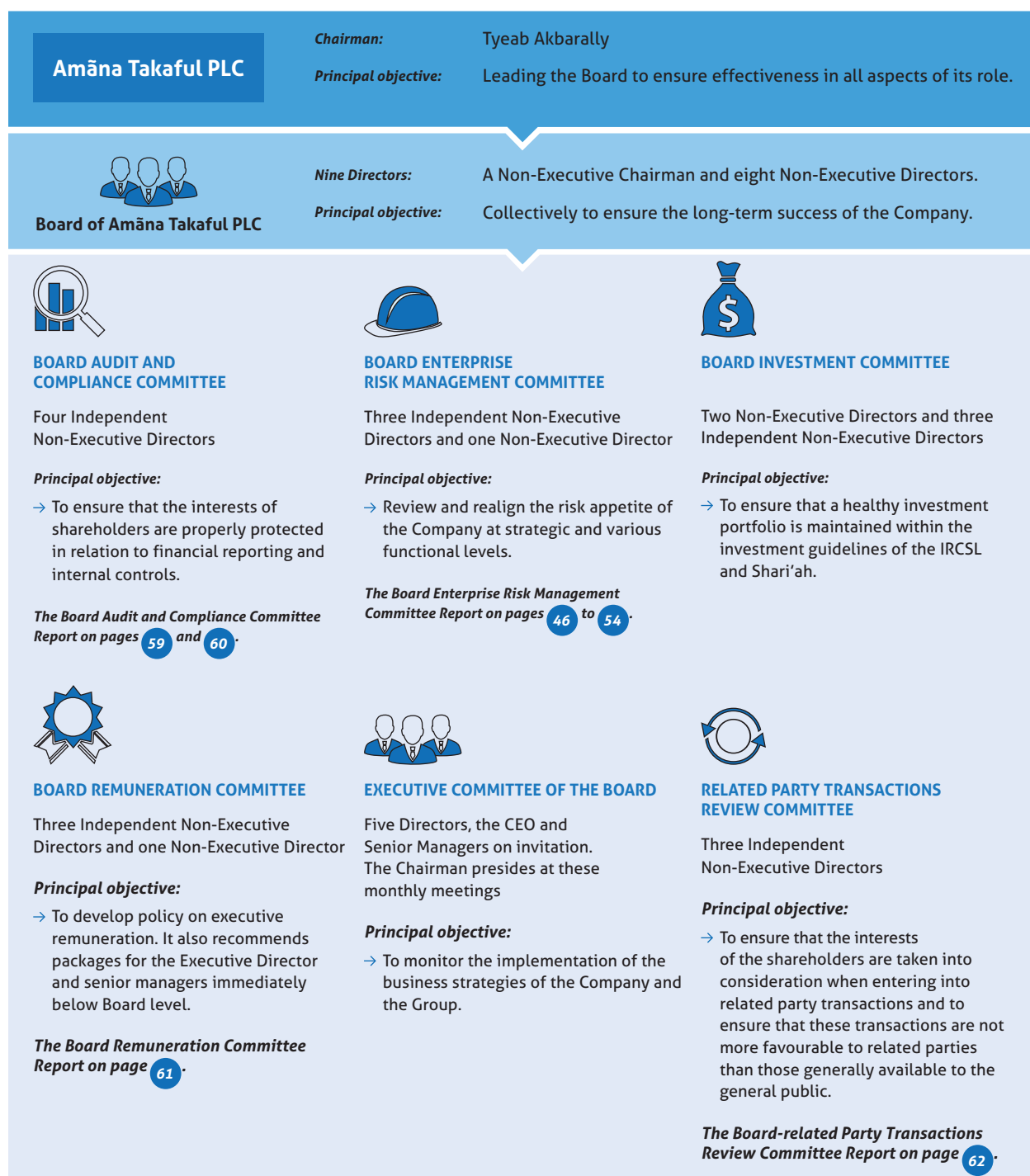
Board of Directors and Board Committees

There are nine Directors on the Board of Amāna Takaful PLC, who hold office in non-executive capacity. The Board of Directors has been drawn from a cross-section of industries/ disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on pages 57.

CORPORATE GOVERNANCE

Corporate Governance Framework

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report:



CORPORATE GOVERNANCE

Board Composition

The Board currently comprises nine Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence, and knowledge of the Group. More details of our Board members can be found on pages 10 to 13.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying themselves that financial controls and systems

of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 46 to 54. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial, or reputational implications.

A summary of these matters includes:

Board Decisions				
 STRATEGIC	 SUCCESSION PLANNING AND REWARDS	 REPORTING	 FINANCE, GOVERNANCE AND CONTROLS	 REGULATORY
→ Approval and monitoring strategic and annual business plans → Review of business performance → Approving significant acquisitions, mergers or disposals	→ Ensuring adequate succession plans are in place → Board and Board Committee appointments and removals → Appointment or removal of the Company Secretary → Appointment or removal of the Auditors and determination of the audit fee → Major changes in the employee share or pension schemes	→ Approval of the Annual Reports and Accounts to be placed before the Company → Approval of Financial Statements → Matters for business reviews	→ Internal controls and risk management systems → Approval of policies, major projects and contracts → Oversight of Directors' conflicts of interest → Rules and procedures for dealing in the Company's shares → Corporate governance and compliance with the SEC's Code of Conduct	→ Approval of the Group's interim dividend and recommendation of final dividend → Compliance with the SEC Listing Rules, Disclosure and Transparency Rules and the Company's Law on Takeovers and Mergers, Insurance Regulations

CORPORATE GOVERNANCE

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control, and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the Executive Management of the Company; meet the Group's budget and strategic plans; and

- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing various committees of the Board will outline the agendas for the Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance; viz-

- Audit and Compliance Committee
- Risk Management Committee
- Investment Committee
- Remuneration Committee
- Related Party Transactions Review Committee
- Executive Committee

CORPORATE GOVERNANCE

Each committee has a defined Terms of Reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

i. The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors and four Non-Executive Director of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 59 and 60.

ii. The Board Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors, of which, three are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail report on the Risk Management Committee functions and its activities during the year 2018 are provided on pages 46 to 54.

iii. The Board Investment Committee

The Investment Committee comprises Osman Kassim, M R M Nayeem, M H S Kassim and D A Wijesundera. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

iv. The Board Remuneration Committee

The Remuneration Committee comprise four Non-Executive Directors of the Board, of which, three are Independent Directors. Details of remuneration paid to Directors are set out in Note 32 to the Financial Statements on page 128.

The Report of the Remuneration Committee is provided on page 61.

v. The Board-related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by A S M Muzzammil.

The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 62.

vi. The Executive Committee of the Board

The Executive Committee or EXCOM is composed of five members of the Board and is chaired by the Chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Tyeab Akbarally – Chairman
- ii. Osman Kassim
- iii. M H M Rafiq
- iv. Dr. Ifthikarudeen Ahamed Ismail
(Resigned w.e.f. 30 September 2018)
- v. M R M Nayeem
- vi. M H S Kassim

Ethical Standards

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The Management encourages employees to adopt ethical practices during the weekly mission meetings.

CORPORATE GOVERNANCE

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC), which includes the CEO of the Family Takaful business, General Manager – Operations, Head of Finance, Head of Human Resource and the Head of Information Technology and the Head of Compliance and Corporate Risk. Each of them, who head Strategic Business Units, drive their business functions aligned to the strategic plan, building capacity and capability. Corporate governance and compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

The Business Operations Management (BOM) takes responsibility for operationalising the plan on a day-to-day basis and implementing the decisions of the GMC. These include a track on competitor activity, steering projects and building cross-functional bonds across different departments and taking ownership for the technical aspects. It is also a forum to build leadership and talent in support of the succession plan.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with "Shari'ah" Requirements

Amāna Takaful PLC takes the utmost care in adhering to "Shari'ah" principles. A unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 63.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Brief, at which, employees are briefed on company performance, policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) pertaining to long-term insurance (Family Takaful) Business of Amāna Takaful Life PLC and General Insurance Business of Amāna Takaful PLC, has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

CORPORATE GOVERNANCE

Corporate Governance Disclosures Under Colombo Stock Exchange (CSE) Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors Tyeab Akbarally – Chairman Osman Kassim M H M Rafiq Dato' Mohd Fadzli Yusof Dr. A A M Haroon A S M Muzzammil Dr. Ifthikarudeen Ahamed Ismail (Resigned w.e.f. 30 September 2018) R Gopinath M R M Nayeem M H Sattar Kassim	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rule 7.10.1. All Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors. The Board reviewed the declarations and determined the Independent Directors as given below.
	Independent Directors M H M Rafiq Dato' Mohd Fadzli Yusof A S M Muzzammil R Gopinath M R M Nayeem M H Sattar Kassim	The Board comprises six Independent Directors out of nine Non-Executive Directors, by the end of 2018. Dato' Mohd Fadzli Yusof and M H M Rafiq do not technically qualify as independent by not meeting Rule 7.10.4 (e) of the CSE Listing Rules. However, the Board, after much discussions, were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: - They do not provide any services to the Company in a capacity other than Director. - They have not received financial assistance from the Company. - They do not have any apparent conflict of interest in the Company, which would impair their independent judgement as Directors. The Board was also of the view that, taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question. The Company has complied with the CSE Listing Rule 7.10.2
Remuneration Committee	Dato' Mohd Fadzli Yusof – Chairman M H M Rafiq Dr. A A M Haroon A S M Muzzammil	This Committee comprises four Independent Non-Executive Directors. The Company has complied with the CSE Listing Rule 7.10.5
Audit and Compliance Committee	Dato' Mohd Fadzli Yusof – Chairman M H M Rafiq A S M Muzzammil M H S Kassim	This Committee comprises four Independent Non-Executive Directors. The Company has complied with the CSE Listing Rule 7.10.6
Related Party Transactions Review Committee	A S M Muzzammil – Chairman M H M Rafiq M R M Nayeem	This Committee comprises three Independent Non-Executive Directors. The Company has complied with the CSE Listing Rule 9.2.2

CORPORATE GOVERNANCE

Directors' Attendance at the Meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
Tyeab Akbarally – Chairman	4	3						
Osman Kassim	4	3						
M H M Rafiq	4	4	4	4	2	2	4	3
Dato' Mohd Fadzli Yusof	4	4	4	4	2	2		
Dr. Aboobacker Admani Mohamed Haroon	4	2			2	1		
Aboo Sally Mohamed Muzzammil	4	4	4	4	2	2	4	3
Dr. Ifthikarudeen Ahamed Ismail (Resigned w.e.f. 30 September 2018)	3	3						
Radhakrishnan Gopinath	4	4						
M R M Nayeem	4	4					4	3
M H Sattar Kassim	4	4	4	4				

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

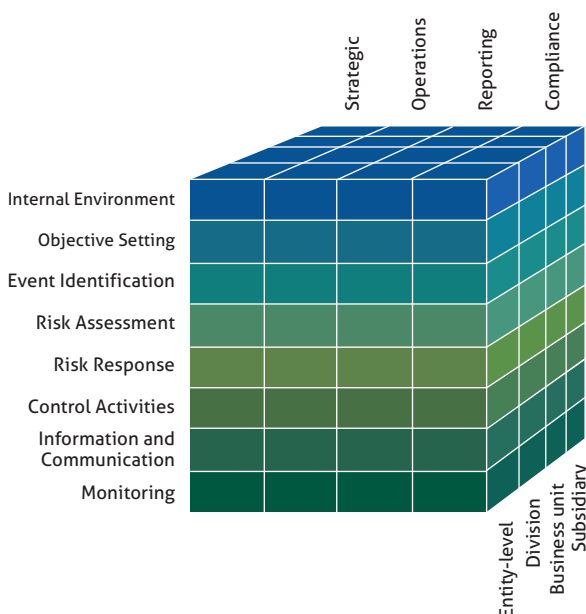
Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both the Life and the General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2017.

What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, Management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for Management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both the risk and the opportunity, with the potential to erode or enhance value. Enterprise risk management enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when Management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.

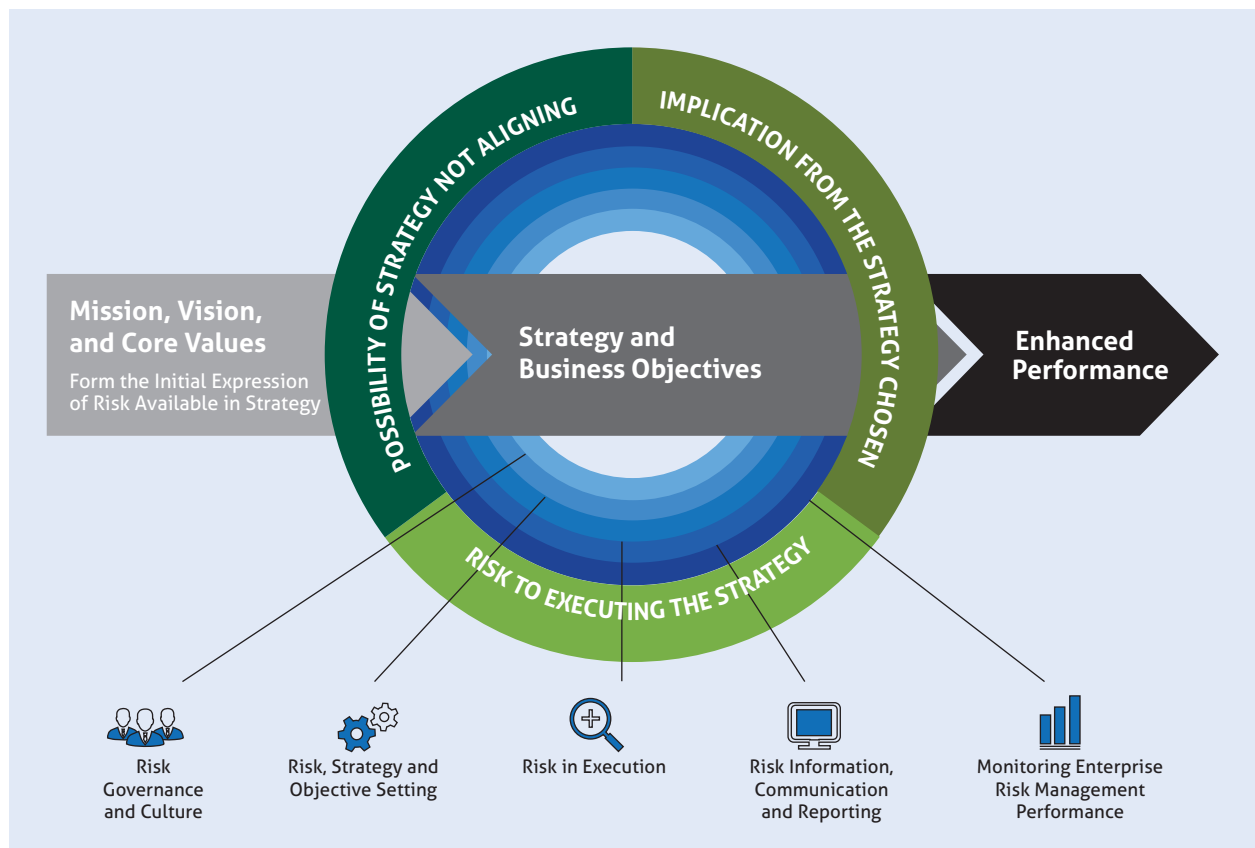
ENTERPRISE RISK MANAGEMENT

- Identifying and managing multiple and cross-enterprise risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, Management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows Management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help Management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the Company's overall direction and performance.



ENTERPRISE RISK MANAGEMENT

Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation’s overall approach to risk oversight is warranted, with the *status quo* no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its Management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a risk (business/ asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the Management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

ENTERPRISE RISK MANAGEMENT

Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the Organisation.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to Management with the assistance of Media-Watch partners through the marketing unit.

ENTERPRISE RISK MANAGEMENT

Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up Generator is fully active.

Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

ENTERPRISE RISK MANAGEMENT

Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRC SL Investment Guidelines. Close monitoring by the Board Investment Committee.

ATPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the consequence parameter ranges from negligible to severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

L – Low M – Medium H – High VH – Very High

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above categories and these items have been graded based on the above parameters of likelihood and consequence.

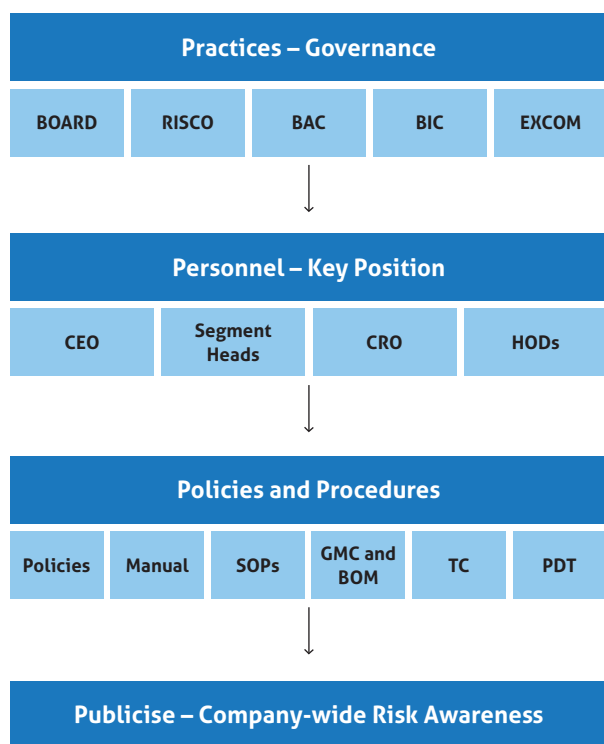
ENTERPRISE RISK MANAGEMENT

The Company adopts the following strategies in managing the risks as per the likelihood and impact grading. Please refer the impact and likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce likelihood and/or impact	Have measures to manage likelihood and/or impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATPLC Enterprise Risk Management Framework

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



- Board – The Board of Directors
- RISCO – Board Risk Committee
- BAC – Board Audit Committee
- BIC – Board Investment Committee
- EXCOM – Executive Committee
- CEO – Chief Executive Officer
- CRO – Chief Risk Officer
- HODs – Heads of Departments
- SOPs – Standard Operating Procedures
- GMC – General Management Committee
- BOM – Business Operations Management
- TC – Technical Committee
- PDT – Product Development Team

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

ENTERPRISE RISK MANAGEMENT

Second Line of Defence

Policies and procedures – Policies and procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are Subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance risk	• Average rates by subclasses • Claims ratios by sales teams and subclasses • Product profitability • RI Covers Vs risk accumulation
Strategic and reputational risk	• Overall target achievements at firm level and departmental level • Variance analysis • Market positioning • Client satisfaction index
Market risk	• Interest rate movement • Bullion market movement • Equity market movement • Economic indicators • Changes in tax regulations • Changes in Government policies
Operational risk	• Staff turnover ratio • Staff satisfaction index • Internal/External audit findings • Deviations from ISO Standards on safety measures • Current and liquidity ratios • Implementation of industry best practises

ENTERPRISE RISK MANAGEMENT

Risk Area	Key Risk Indicator
Credit risk	Debtors turnover ratio (Days)
Compliance risk	• Queries raised by regulator/Ombudsman • Pending legal matters • Unresolved audit queries • Items in the Management letter • Investment portfolio mix

Key areas reviewed by the Board Risk Committee during 2018:

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk-Based Capital) Rules 2015.
- Review of the Takaful Funds and available surplus
- Review of key risks pertaining to the business
- Review of investments

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	4 out of 4
M H M Rafiq Independent Non-Executive Director	3 out of 4
Dr. A A M Haroon Non-Executive Director	1 out of 4
A S M Muzzammil Independent Non-Executive Director	4 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, General Manager Operations and Medical Takaful, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31 December 2018, to be presented at the 20th Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 to 7 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Management Discussion and Analysis on pages 20 to 23 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka are given on pages 72 to 156 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 69 to 71 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 83 to 98.

Financial Results and Appropriations

The profit after taxation of the Company for the year was Rs. 23.8 Mn. (2017 – Profit of Rs. 62.5 Mn.) and the profit after taxation of the Group for the year was Rs. 104.2 Mn. (2017 – Profit Rs. 155 Mn.).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 2.2 Bn. in 2018 (2017 – Rs. 2.1 Bn.)

Property, Plant and Equipment

During the year under review, the capital expenditure on property, plant and equipment for the Group amounted to Rs. 36.4 Mn. (2017 – Rs. 20 Mn.).

Information relating to movement in property, plant and equipment during the year is disclosed under Note 6 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

Reserves

Accumulated Loss as at 31 December 2018 for the Company and Group amounted to Rs. 52.5 Mn. (2017 – Loss Rs. 74.2 Mn.) and loss of Rs. 377.9 Mn. (2017 – Loss Rs. 455.6 Mn.), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31 December 2018 was Rs. 1,860,001,339/- represented by 180,000,130/- ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 115.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31 December 2018 other than those reported in Note 38 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 66 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 38 to 45 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 36 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding below:

Board Committees

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

Dato' Mohd Fadzli Yusof – Chairman

M H M Rafiq

A S M Muzzammil

M H S Kassim

The Report of the Audit Compliance Committee on pages 59 and 60 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

Following are the names of the Directors comprising the Remuneration Committee of the Board:

Dato' Mohd Fadzli Yusof – Chairman

M H M Rafiq

Dr. A A M Haroon

A S M Muzzammil

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 61. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 32 to the Financial Statements.

Related Party Transaction Review Committee

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board:

A S M Muzzammil – Chairman

M H M Rafiq

M R M Nayeem

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 62.

Share information and substantial shareholdings
The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 159 and 160.

The earnings per share, dividends per share, net assets per share are given on page 160.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Directors

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeab Akbarally	7 December 1998	–
Osman Kassim	7 December 1998	–
M H M Rafiq	7 December 1998	–
Dato' Mohd Fadzli Yusof	10 February 1999	–
Dr. A A M Haroon	21 September 2000	–
A S M Muzzammil	29 April 2010	–
Dr. I A Ismail	6 June 2012	30 September 2018
R Gopinath	6 June 2012	–
M R M Nayeem	7 March 2016	–
M H Sattar Kassim	7 March 2016	–

A brief profile of the Directors are given on pages 10 to 13 of this Annual Report.

During the year under review the Board met on four occasions. The attendance at these meetings is mentioned on page 45.

In terms of Section 83 of the Articles of Association of the Company –

Dr. A A M Haroon retires by rotation and being eligible has offered himself for re-election.

R Gopinath retires by rotation and being eligible has offered himself for re-election.

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit.

Re-election of M H M Rafiq

IT IS HEREBY RESOLVED: To re-elect M H M Rafiq who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said M H M Rafiq.

Re-election of Dato' Mohd Fadzli Yusof

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31 December 2018 were as follows:

As at 31 December	2018 Number of Ordinary Shares	2017 Number of Ordinary Shares
Tyeab Akbarally	14	144
Osman Kassim	33,300,024	127,174,307
Dato' Mohd Fadzli Yusof	–	–
Dr. A A M Haroon	4	40
M H M Rafiq	2	20
A S M Muzzammil	–	–
Dr. I A Ismail	–	–
R Gopinath	–	–
M R M Nayeem	–	–
M H Sattar Kassim	–	–

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 44.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – "Related Party Disclosures", in Note 36 to the Financial Statements.

In terms of Section 9.3.2 (d) of the listing rules the Board confirms that the Company has complied with all requirements pertaining to Related Party Transaction.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 32 on page 128 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on 30 April 2019 at 9.30am. at the Committee Room A, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07. The Notice of the Annual General Meeting appears on page 166 of this Annual Report.

For and on behalf of the Board,



Tyeab Akbarally

Chairman



Managers & Secretaries (Pvt) Ltd.

Secretaries

Amāna Takaful PLC

29 March 2019
Colombo

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience, and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and Management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls, and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/ Independent Non-Executive Director	4 out of 4
M H M Rafiq Independent Non-Executive Director	4 out of 4
Aboo Sally Mohamed Muzzammil Independent Non-Executive Director	4 out of 4
M H Sattar Kassim Independent Non-Executive Director	4 out of 4

The Chief Executive Officer, General Manager Operations and Medical Takaful as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meetings when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders, and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

The Committee further made recommendations in relation to the remuneration, functions, and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and the External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof

Chairman – Board Audit and Compliance Committee

29 March 2019
Colombo

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration key result areas and performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.
- The Committee comprised four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/ Independent Non-Executive Director	2 out of 2
M H M Rafiq Independent Non-Executive Director	2 out of 2
Dr. A A M Haroon Non-Executive Director	1 out of 2
A S M Muzzammil Independent Non-Executive Director	2 out of 2
Farhan Jabir Secretary	2 out of 2



Dato' Mohd Fadzli Yusof

Chairman – Remuneration Committee

29 March 2019
Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Number of Meetings Attended
A S M Muzzammil Chairman/Independent Non-Executive Director	3 out of 4
M H M Rafiq Independent Non-Executive Director	3 out of 4
M R M Nayeem Independent Non-Executive Director	3 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A H M Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2018 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered into during the year are given in Note 36 to the Financial Statements on pages 133 to 135 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



A S M Muzzammil

Chairman – Related Party Transactions Review Committee

29 March 2019
Colombo

REPORT OF THE SHARI'AH ADVISORY COUNCIL



Shari'ah Audit Report to the Shareholders of Amāna Takaful PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful (PLC) (the "Company") for the year ending 31 December 2018. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and Principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah Rules and Principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance and claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us –

- The Takaful operations and financial transactions undertaken by the Company, during the year 2018, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straightforwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe

Chairman – Shari'ah Advisory Council

Mufti Shafique A Jakhura

Member – Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary – Shari'ah Advisory Council



Our Guiding Values

The Amāna ethos of inclusivity rests on a rock solid base of ethics and values that are in conformity with Shari'ah precepts. It is this foundation that enables the Company to serve all without bias.

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STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2018 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the financial statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable Accounting Standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the financial statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board.



Tyeab Akbarally

Chairman

29 March 2019
Colombo, Sri Lanka

CERTIFICATE OF THE ACTUARY – FAMILY TAKAFUL (LIFE)

To the Shareholders of Amāna Takaful Life PLC.

Actuarial valuation of the Long-Term Insurance Business as at 31 December 2018

We have carried out an actuarial valuation of the Long-Term Insurance Business as at 31 December 2018. We here by certify that, in our opinion –

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-Term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31 December 2018, for insurance-related risk liabilities in respect of the Long-Term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

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29 March 2019

CERTIFICATION OF INCURRED BUT NOT REPORTED (IBNR) CLAIMS AND LIABILITY ADEQUACY



Amāna Takaful PLC 31 December 2018 Net IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate of IBNR provision of LKR 48,437,789/- inclusive of claim handling expenses is adequate in relation to the Claim Liability of Amāna Takaful PLC as at 31 December 2018, net of Retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate at a 50th percentile to meet the future liabilities in respect of the Operator's reported claims obligations as at 31 December 2018, in many, but not all, scenarios of future experience.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision of LKR 628,533,451/- set by the Operator, net of Retakaful is adequate at a 50th percentile in relation to the unexpired risks of Amāna Takaful PLC as at 31 December 2018, in many, but not all, scenarios of future experience.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the Management of the above operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

A handwritten signature in black ink, appearing to read "S. Kumar".

Sivaraman Kumar

Fellow of the Institute and Faculty of Actuaries
For and on behalf of NMG Consulting

19 March 2019

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INDEPENDENT AUDITORS' REPORT


EY

Building a better
working world

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Independent Auditors' Report to the Shareholders of Amāna Takaful PLC

Report on the audit of the Financial Statements

Opinion

We have audited the financial statements of Amāna Takaful PLC ("the Company"), and the consolidated financial statements of the company and its subsidiary ("Group"), which comprise the statement of financial position as at 31 December 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

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INDEPENDENT AUDITORS' REPORT

Key audit matter	How our audit addressed the key audit matter
Insurance Liability The Group has significant Non-Life Insurance contract liabilities of Rs. 1,394,786,725, Family Takaful Fund Insurance contract Liabilities of Rs. 534,967,470 and Unit Linked Insurance contract liabilities of Rs. 1,660,124,030 which represents 78% of Group's total liabilities. General and Life insurance contract liabilities are accounted for in the financial statement using significant estimates and judgments which are sensitive to various factors and uncertainties as disclosed in note 43. Significant management judgement was applied in setting these assumptions. Changes in such significant estimates and judgments used in the valuation of the insurance contract liabilities directly impact the statement of profit and loss. Accordingly, we considered the valuation of insurance contact liability as a key audit matter.	Our audit procedures were focused on the valuations performed by the firm of external Professional Actuaries engaged by the Company which included the following procedures: • Testing the key controls on a sample basis over the process of recognition, measurement and submission of data for estimating the insurance contract liabilities. • We engaged our internal specialized resources to assess the reasonableness of the assumptions used in the valuations of the insurance contract liabilities • We also assessed the adequacy of the related disclosures in notes 17, 18 and 43 to the financial statements.
Valuation of Investment Properties The Group carried Investment properties amounting to Rs. 220,429,000 which are stated at fair value as at the reporting date. Fair value was determined by an external valuers engaged by the Company. The valuation is subjective to the significant judgement and estimates used by the valuers, which are disclosed in note 7 to the Financial Statements. Due to the significance of estimates and judgements associated with the valuation, this was considered a key audit matter.	Our audit procedures focused on the valuation performed by the external valuers, which included the following amongst others. • We evaluated the competence, capabilities and objectivity of the external valuers appointed by the management. • We engaged internal specialized resources to assist us in evaluating the appropriateness of the valuation method and range of prices used for the valuation of Land and Buildings. • We also assessed the adequacy of the related disclosures in note 7 to the financial statements.

Other information included in the 2018 Annual Report

Other information consists of the information included in the Group's 2018 Annual Report, other than the financial statements and our Auditors' Report thereon. Management is responsible for the other information. The Group's 2018 annual report is expected to be made available to us after the date of this Auditors' Report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

INDEPENDENT AUDITORS' REPORT

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditors' Report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditors' Report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

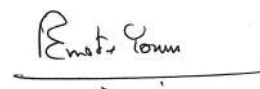
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our Auditors' Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent Auditors' Report is 1697.



29 March 2019
Colombo

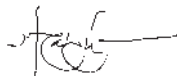
STATEMENT OF FINANCIAL POSITION

As at 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Assets					
Intangible Assets	5	86,942,914	31,812,197	31,025,948	6,665,391
Property, Plant and Equipment	6	96,024,241	76,724,518	63,757,277	53,168,306
Deferred Tax Assets	34.2	103,483,264	105,048,241	96,792,137	97,451,909
Investment Property	7	220,429,000	79,925,000	75,500,000	79,925,000
Investments in Subsidiaries	8	–	–	1,052,867,811	1,074,322,352
Financial Assets	9	2,835,180,727	2,727,922,574	837,492,607	872,276,119
Retakaful (Reinsurance) Receivables		437,579,148	357,532,747	410,365,133	254,123,425
Contribution (Premium) Receivables	10	711,244,729	567,358,602	529,532,922	489,748,895
Other Assets	11	252,737,848	186,501,020	135,396,673	162,684,646
Financial Assets – Unit Linked	12	1,621,208,465	1,526,678,553	–	–
Cash and Bank Balances	13	217,105,631	269,133,976	94,692,309	110,981,837
Cash and Bank Balances – Unit Linked	13	8,155,160	7,370,003	–	–
Total Assets		6,590,091,127	5,936,007,430	3,327,422,816	3,201,347,880
Liabilities					
Insurance Contract Liabilities – Non-Life	17	1,394,786,725	1,015,130,229	972,644,129	700,319,999
Insurance Contract Liabilities – Family Takaful Fund	18.1	534,967,470	580,710,123	–	–
Insurance Contract Liabilities – Unit Linked	18.2	1,660,124,030	1,525,135,501	–	–
Employee Benefits	19	66,878,749	50,016,182	35,028,091	28,996,165
Other Liabilities – Unit Linked	20	51,285,609	51,844,853	–	–
Other Liabilities	21	653,704,232	548,767,363	183,116,946	266,963,102
Subordinated Debt	22	46,599,805	200,000,000	97,024,473	200,000,000
Finance Lease Liability	23	3,849,823	6,379,446	–	1,244,605
Short-Term Borrowings	24	200,777,276	187,698,284	200,777,276	187,698,284
Bank Overdrafts	13	–	37,426	–	37,426
Total Liabilities		4,612,973,719	4,165,719,406	1,488,590,915	1,385,259,581
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	15	140,955,732	83,090,398	31,400,577	30,331,677
Revenue Reserves	16	(377,685,807)	(455,558,904)	(52,570,013)	(74,244,716)
		1,623,271,187	1,487,532,833	1,838,831,904	1,816,088,300
Non-Controlling Interest		353,846,144	282,755,191	–	–
Total Equity		1,977,117,331	1,770,288,024	1,838,831,904	1,816,088,300
Total Equity and Liabilities		6,590,091,127	5,936,007,430	3,327,422,816	3,201,347,880

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M Rinaz Niyas
Head of Finance



M Fazal Ghaffoor
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Tyeab Akbarally
Chairman



M H M Rafiq
Director

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

29 March 2019
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Gross Written Contribution (Premium)	25	4,213,899,613	3,640,635,096	2,002,389,304	1,792,031,034
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(832,979,375)	(792,904,261)	(388,004,377)	(378,254,928)
Net Written Contribution (Premium)		3,380,920,237	2,847,730,835	1,614,384,927	1,413,776,106
Net Change in Reserve for:					
Unearned Contribution (Premium)		(156,111,084)	(185,078,348)	(73,200,586)	(129,645,176)
Net Earned Contribution (Premium)		3,224,809,153	2,662,652,487	1,541,184,341	1,284,130,930
Other Revenue					
Income from Investments	26	303,649,871	381,997,687	112,132,924	111,637,172
Fair Value Gain from Investment Transferred		–	–	54,545,459	–
Gain/(Loss) on Available-for-Sale Financial Instruments		39,439,117	–	–	–
Fair Value Gains and Losses		–	338,249	–	–
Other Income	27	143,803,791	70,494,630	30,974,247	14,103,727
Total Revenue	28	3,711,701,932	3,115,483,053	1,738,836,970	1,409,871,829
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	29	(1,930,905,608)	(1,479,674,077)	(875,877,178)	(694,025,443)
Acquisition Cost (Net of Reinsurance Commission)		(260,412,793)	(202,355,823)	(108,321,161)	(69,514,133)
Change in Family Takaful Contract Liability		36,961,441	(40,535,552)	–	–
Other Operating and Administration Expenses	30	(1,382,498,205)	(1,185,770,573)	(694,314,285)	(551,349,790)
Amortisation	31	(6,524,847)	(5,369,888)	(1,967,678)	(1,550,306)
Total Claims, Benefits and Expenses		(3,543,380,012)	(2,913,705,913)	(1,680,480,301)	(1,316,439,672)
Profit from Operations	32	168,321,919	201,777,140	58,356,669	93,432,157
Finance Cost	33	(35,118,177)	(31,872,998)	(34,371,140)	(30,710,869)
Profit/(Loss) Before Taxation		133,203,743	169,904,142	23,985,529	62,721,287
Income Tax	34	(29,011,797)	(14,899,924)	(244,089)	(142,500)
Profit for the Year		104,191,945	155,004,218	23,741,440	62,578,787
Profit Attributable to:					
Equity Holders of the Parent		59,986,522	126,501,146	23,741,440	62,578,787
Non-Controlling Interest		44,205,423	28,503,068	–	–
		104,191,945	155,004,218	23,741,440	62,578,787
Earnings Per Share					
Basic, Diluted Earnings Per Share	35.2	0.33	0.07	0.13	0.03
Other Comprehensive Income					
Items that will Never be Reclassified to Profit or Loss					
Defined Benefit Plan Actuarial Losses	19.1	(2,127,800)	(5,467,989)	(2,066,736)	(4,782,978)
		(2,127,800)	(5,467,989)	(2,066,736)	(4,782,978)
Items that are or may be Reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-sale Financial Assets		2,111,188	–	–	–
Net Change from Revaluation of Property, plant and Equipment		3,494,085	–	1,068,900	–
Net Change in Fair Value of Available-for-sale Financial Assets – Transfer (to)/from Policyholders Reserve		2,550,539	1,124,161	–	–
Foreign Currency Translation Differences for Foreign Operations		98,856,817	2,220,094	–	–
Related Tax Effect		–	–	–	–
		107,012,628	3,344,255	1,068,900	–
Other Comprehensive Income, Net of Tax		104,884,828	(2,123,734)	(997,836)	(4,782,978)
Total Comprehensive Income for the Year		209,076,774	152,880,484	22,743,604	57,795,809
Total Comprehensive Income Attributable to:					
Equity Holders of the Parent		118,984,303	123,265,853	22,743,604	57,795,809
Non-Controlling Interest		90,092,471	29,614,526	–	–
		209,076,774	152,880,484	22,743,604	57,795,809

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year Ended 31 December	Stated Capital	Other Reserves		Revenue Reserves			Non-Controlling Interest	Total
		Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available-for-Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Balance as at 1 January 2017	1,860,001,339	34,234,871	51,634,475	(3,172,800)	98,276	(564,355,039)	261,912,591	1,640,353,713
Net Profit for the Year	–	–	–	–	–	126,501,150	28,503,068	155,004,218
Other Comprehensive Income								
Foreign Currency Translation Differences for Foreign Operations	–	–	1,221,052	–	–	–	999,042	2,220,094
Net Change in Fair Value of Available-for-Sale Financial Assets – Transfer (to)/from Policyholders Reserve	–	–	–	1,011,745	–	–	112,416	1,124,161
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	–	(5,467,989)	–	(5,467,989)
Total Comprehensive Income	–	–	1,221,052	1,011,745	–	121,033,161	29,614,526	152,880,484
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	–	(4,000,000)	–	–	–	4,000,000	–	–
Dividend Paid	–	–	–	–	–	(14,174,248)	(8,771,926)	(22,946,174)
Changes in Ownership Interests	–	(4,000,000)	–	–	–	(10,174,248)	(8,771,926)	(22,946,174)
Balance as at 31 December 2017	1,860,001,339	30,234,871	52,855,527	(2,161,054)	98,276	(453,496,126)	282,755,191	1,770,288,024
Net Profit for the Period	–	–	–	–	–	59,986,522	44,205,423	104,191,945
Other Comprehensive Income								
Net Change in Fair Value of Property, plant and Equipment	–	3,494,085	–	–	–	–	–	3,494,085
Foreign Currency Translation Differences for Foreign Operations	–	–	54,371,249	–	–	–	44,485,567	98,856,817
Net Change in Fair Value of Available-for-Sale Financial Assets – Transfer (to)/from Policyholders Reserve	–	–	–	2,099,094	–	–	451,445	2,550,539
Net Change in Fair Value of Available-for-Sale Financial Assets	–	–	–	–	1,161,154	–	950,035	2,111,188
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	–	(2,127,800)	–	(2,127,800)
Total Comprehensive Income	–	3,494,085	54,371,249	2,099,094	1,161,154	57,858,722	90,092,471	209,076,774
Dividend Paid	–	–	–	–	–	(22,684,989)	(19,001,519)	(41,686,508)
Changes in Ownership Interests								
Effect of Acquisitions, Disposals and Change in Percentage Holdings in Subsidiaries	–	–	–	–	–	39,439,117	–	39,439,117
Total Changes in Ownership Interests	–	–	–	–	–	39,439,117	–	39,439,117
Balance as at 31 December 2018	1,860,001,339	33,728,956	107,226,776	(61,960)	1,259,430	(378,883,276)	353,846,144	1,977,117,331

STATEMENT OF CHANGES IN EQUITY

		Other Reserves	Revenue Reserves		
Year Ended 31 December	Stated Capital Rs.	Revaluation Reserve Rs.	Available- for-Sale Reserve Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Company					
Balance as at 1 January 2017	1,860,001,339	34,331,677	–	(136,040,525)	1,758,292,491
Total Comprehensive Income					
Net Loss for the Year	–	–	–	62,578,787	62,578,787
Other comprehensive income					
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	(4,282,978)	(4,282,978)
Total Comprehensive Income	–	–	–	57,795,809	57,795,809
Transfer from the Revaluation Reserve	–	(4,000,000)	–	4,000,000	–
Balance as at 31 December 2017	1,860,001,339	30,331,677	–	(74,244,716)	1,816,088,300
Total Comprehensive Income					
Net Profit for the Period	–	–	–	23,741,440	23,741,440
Transfer from the Revaluation Reserve	–	1,068,900	–	–	1,068,900
Defined Benefit Plan Actuarial losses, Net of Deferred Tax	–	–	–	(2,066,736)	(2,066,736)
Total Comprehensive Income	–	1,068,900	–	21,674,704	22,743,604
Balance as at 31 December 2018	1,860,001,339	31,400,577	–	(52,570,013)	1,838,831,904

STATEMENT OF CASH FLOWS

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Operating Activities					
Contribution (Premium) Received from Participants		4,070,013,736	3,496,870,810	1,962,605,277	1,630,517,354
Retakaful (Reinsurance) Premium Paid		(524,806,482)	(691,152,263)	(231,762,669)	(254,793,855)
Claims, Benefits and Expenses Paid		(2,060,438,062)	(1,843,108,519)	(1,275,531,234)	(955,417,123)
Retakaful (Reinsurance) Receipts in Respect of Claims		291,481,088	386,167,793	215,291,799	225,327,012
Cash Paid to and on Behalf of Employees		(635,263,575)	(421,522,439)	(342,305,789)	(235,882,228)
Profits Received from Investments and Other Income		214,031,897	232,744,414	64,785,258	57,171,138
Dividends Received		35,194,824	24,751,220	22,684,989	16,734,002
Finance Cost Paid	33	(35,118,177)	(31,872,998)	(34,371,140)	(30,710,869)
Other Operating Cash Payments		(1,212,529,170)	(758,335,005)	(387,243,047)	(383,666,958)
Cash Flow from/(used in) Operating Activities (Note A)		142,566,081	394,543,013	(5,846,557)	69,278,473
Gratuity Paid		(3,805,874)	(7,554,728)	(2,995,994)	(6,024,204)
Income Tax Paid		(27,811,385)	(10,715,077)	–	–
Net Cash Flow from/(used in) Operating Activities		110,948,822	376,273,208	8,842,551	63,254,269
Investing Activities					
Net Disposal/(Purchase) of Investment Securities		(398,553,365)	(93,258,634)	(56,238,054)	84,074,809
Purchase of Intangible Assets		(32,265,738)	(7,209,338)	–	(6,790,500)
Purchase of Property, Plant and Equipment		(39,063,531)	(8,922,976)	(20,056,653)	(1,146,670)
Proceeds from Disposal of Property, Plant and Equipment		–	5,763,411	–	10,450,000
Net Cash Flows used in Investing Activities		(430,443,516)	(103,627,537)	(76,294,706)	86,587,639
Financing Activities					
Repayment of Lease Facility		(2,529,623)	(6,902,568)	(1,393,149)	(5,836,492)
Short-Term Loans Obtained		550,000,000	325,000,000	550,000,000	325,000,000
Subordinated Debt		107,666,195	–	75,614,945	–
Repayment of Short-Term Borrowings		(606,699,963)	(206,398,390)	(678,983,715)	(101,521,567)
Dividend Paid		(41,686,508)	(19,463,127)	–	–
Net Cash Flows from Financing Activities		(64,786,305)	92,235,915	(54,761,919)	217,641,941
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		(384,281,000)	364,881,587	(139,899,176)	367,483,848

STATEMENT OF CASH FLOWS

		Group		Company	
Year Ended 31 December	Notes	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Note A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit/(Loss) from Operations		168,321,919	201,777,140	58,356,669	93,432,157
Depreciation	32	28,382,621	30,809,410	19,363,761	24,332,695
Amortisation		6,524,847	5,369,888	1,967,678	1,550,306
Provision for Gratuity		14,897,485	13,046,710	6,961,184	6,240,148
(Gain)/Losses from FVTPL Investments		483,803	(456,386)	–	–
Fair Value of Instrument transferred		–	–	54,545,459	–
Provision for Impairment of Investment in Subsidiary		–	–	(49,500,000)	–
(Increase)/Decrease in Debtors and Other Assets		(65,133,773)	(57,078,089)	(168,737,762)	(169,597,135)
Increase tn Family Takaful (Long-Term Insurance) Fund		(35,823,821)	64,202,606	–	–
Increase/(Decrease) in Net Unearned Contribution (Premium)		156,111,084	185,078,347	73,200,586	129,645,176
Increase/(Decrease) in IBNR and General Reserve Provision		42,315,777	9,513,079	40,552,135	6,640,580
Increase/(Decrease) in Claims Provision		(141,161,360)	(97,331,572)	114,903,719	(86,641,238)
Increase/(Decrease) in Other Creditors		104,936,870	76,321,296	127,513,846	99,227,070
Profit on Sale of Property, Plant and Equipment		–	(3,415,418)	–	(3,415,418)
Finance Cost	33	(35,118,177)	(31,872,998)	(34,371,140)	(30,710,869)
(Gain)/Loss on Fair Value of Investment Property		5,495,000	(1,425,000)	4,425,000	(1,425,000)
Cash Flows from/(used in) Operating Activities		142,566,081	394,539,013	(5,846,557)	69,278,472
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash at Bank and in Hand and Cash Equivalents		682,894,486	1,067,175,486	379,659,911	519,559,087
Cash and Cash Equivalents at the End of the Period		682,894,486	1,067,175,486	379,659,911	519,559,087
Cash and Cash Equivalents at the Beginning of the Year	13	1,067,175,486	702,293,899	519,559,087	152,075,239
Increase/(Decrease) in Cash and Cash Equivalents		(384,281,000)	364,881,587	(139,899,176)	367,483,848

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

SEGMENTAL ANALYSIS – STATEMENT OF FINANCIAL POSITION – 2018

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	31,025,948	20,954,644	39,477,845	–	(4,515,524)	86,942,914
Property, Plant and Equipment	63,757,277	28,703,776	3,541,555	21,630	–	96,024,240
Improvements to Leasehold Buildings	–	–	–	–	–	–
Deferred Tax Asset	96,792,137	–	9,332,475	–	(2,641,350)	103,483,262
Investment Property	75,500,000	144,929,000	–	–	–	220,429,000
Investment in Subsidiaries	1,052,867,810	–	–	–	(1,052,867,810)	–
Financial Assets	837,492,607	875,164,705	1,204,999,333	–	(82,475,918)	2,835,180,727
Retakaful (Reinsurance) Receivables	410,365,133	–	27,214,096	–	–	437,579,148
Contribution (Premium) Receivables	529,532,922	39,676,266	142,035,541	–	–	711,244,729
Other Assets	127,916,276	51,885,520	72,936,050	–	–	252,737,848
Financial Assets – Unit Linked	–	1,621,208,465	–	–	–	1,621,208,465
Related Party Receivable	7,480,397	1,832,199	–	–	(9,312,596)	–
Cash and Bank Balances	94,692,309	85,064,941	35,397,494	1,950,886	–	217,105,631
Cash and Bank Balances – Unit Linked	–	8,155,160	–	–	–	8,155,160
Total Assets	3,327,422,816	2,877,574,677	1,534,934,390	1,972,516	(1,151,813,198)	6,590,091,127
Liabilities						
Insurance Contract Liabilities – Non-Life	972,644,129	–	422,142,596	–	–	1,394,786,725
Insurance Contract Liabilities – Family Takaful Fund	–	534,967,470	–	–	–	534,967,470
Insurance Contract Liabilities – Family Takaful Unit Linked	–	1,660,124,030	–	–	–	1,660,124,030
Retakaful (Reinsurance) Payables	120,192,628	–	127,963,743	–	–	248,156,371
Employee Benefits	35,028,091	7,078,883	24,771,775	–	–	66,878,749
Other Liabilities – Unit Linked	–	51,285,609	–	–	–	51,285,609
Other Liabilities	61,092,118	65,011,168	266,496,212	12,948,440	–	405,547,861
Related Party Payable	1,832,199	7,480,397	–	–	(9,312,596)	–
Subordinated Debt	97,024,473	32,051,250	–	–	(82,475,918)	46,599,805
Finance Lease Liability	–	3,849,823	–	–	–	3,849,823
Short-Term Borrowings	200,777,276	–	–	–	–	200,777,276
Total Liabilities	1,488,590,915	2,361,848,629	841,374,325	12,948,440	(91,788,514)	4,612,973,719
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	31,400,577	3,430,948	194,828,432	–	(88,704,257)	140,955,732
Revenue Reserves	(52,570,013)	12,295,100	296,360,913	(48,100,924)	(585,670,852)	(377,685,807)
	1,838,831,904	515,726,048	693,560,064	(10,975,924)	(1,413,870,829)	1,623,271,264
Non-Controlling Interest	–	–	–	–	353,846,144	353,846,144
Total Equity	1,838,831,904	515,726,048	693,560,064	(10,975,924)	(1,060,024,685)	1,977,117,408
Total Equity and Liabilities	3,327,422,816	2,877,574,677	1,534,934,390	1,972,516	(1,151,813,198)	6,590,091,127

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

SEGMENTAL ANALYSIS – STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME – 2018

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	2,002,389,304	827,947,507	1,383,562,803	–	–	4,213,899,613
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(388,004,377)	(21,194,646)	(423,780,353)	–	–	(832,979,375)
Net Written Contribution (Premium)	1,614,384,927	806,752,861	959,782,450	–	–	3,380,920,237
Add: Unearned Takaful Contribution (Premium) at the Beginning of the Year	555,332,865	5,126,039	165,802,624	–	–	726,261,528
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(628,533,451)	(5,816,636)	(248,022,525)	–	–	(882,372,612)
Net Earned Contribution (Premium)	1,541,184,341	806,062,264	877,562,549	–	–	3,224,809,153
Other income						
Income from Investments	112,132,924	180,151,438	45,039,934	–	(33,674,429)	303,649,871
Fair Value Gains from Investment Transfers	54,545,459	–	–	–	54,545,459	–
Gain/(loss) on Available-for-Sale Financial Instruments	–	–	–	39,439,117	–	39,439,117
Fair Value Gains and Losses	–	–	–	(42,545,459)	42,545,459	–
Other Operating Income	30,974,247	30,003,052	67,826,166	8,400,326	6,600,000	143,803,791
Total Revenue	1,738,836,970	1,016,216,754	990,428,649	5,293,984	(39,074,429)	3,711,701,932
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-Net	(875,877,178)	(543,446,265)	(511,582,166)	–	–	(1,930,905,608)
Acquisition Cost (Net of Reinsurance Commission)	(108,321,161)	(105,824,511)	(46,267,121)	–	–	(260,412,793)
Increase in Family Takaful (Long-Term Insurance) Fund	–	36,961,441	–	–	–	36,961,441
Less: Indirect Expenses						
Other Operating and Administration Expenses	(675,063,626)	(457,558,206)	(275,426,062)	(5,954,839)	59,599,037	(1,354,403,695)
Amortisation	(1,967,678)	(1,295,725)	(4,823,944)	–	1,562,500	(6,524,847)
Depreciation	(19,250,659)	(7,282,950)	(1,512,942)	(47,959)	–	(28,094,510)
Profit/(Loss) from Operations	58,356,669	(62,229,463)	150,816,415	(708,815)	6,616,078	168,321,919
Finance Cost	(34,371,140)	(747,036)	–	–	–	(35,118,177)
Profit/(Loss) Before Taxation	23,985,529	(62,976,499)	150,816,415	(708,815)	6,616,078	133,203,743
Income Tax	(244,089)	–	(27,811,385)	–	(956,323)	(29,011,797)
Profit/(Loss) for the Period	23,741,440	(62,976,499)	123,005,030	(708,815)	5,659,755	104,191,945

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

SEGMENTAL ANALYSIS – STATEMENT OF FINANCIAL POSITION – 2017

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	6,665,391	22,250,369	7,411,960	–	(4,515,524)	31,812,197
Property, Plant and Equipment	53,168,306	21,164,995	2,321,626	69,589	–	76,724,516
Improvements to Leasehold Buildings	–	–	–	–	–	–
Deferred Tax Asset	97,451,909	–	7,596,332	–	–	105,048,241
Investment Property	79,925,000	–	–	–	–	79,925,000
Investment in Subsidiaries	1,074,322,352	–	–	–	(1,074,322,352)	–
Financial Assets	872,276,119	1,040,576,008	815,070,447	15,106,341	(15,106,341)	2,727,922,574
Investment in Gold	–	–	–	–	–	–
Retakaful (Reinsurance) Receivables	254,123,425	250,000	103,159,402	–	–	357,532,747
Contribution (Premium) Receivables	489,748,895	33,059,196	44,550,511	–	–	567,358,602
Other Assets	146,113,354	28,816,883	53,954,722	–	(42,383,938)	186,501,020
Other Assets – Unit Linked	–	–	–	–	–	–
Financial Assets – Unit Linked	–	1,526,678,553	–	–	–	1,526,678,553
Inter-Fund Receivable	–	–	–	–	–	–
Management Fee Receivable	–	–	–	–	–	–
Related Party Receivable	16,571,292	–	–	3,639,639	(20,210,931)	–
Call Deposit	–	–	–	–	–	–
Cash and Bank Balances	110,981,837	129,461,474	28,229,176	461,489	–	269,133,976
Cash and Bank Balances – Unit Linked	–	7,370,003	–	–	–	7,370,003
Total Assets	3,201,347,880	2,809,627,482	1,062,294,178	19,277,057	(1,156,539,086)	5,936,007,430
Liabilities						
Insurance Contract Liabilities – Non-Life	700,319,999	–	314,810,230	–	–	1,015,130,229
Insurance Contract Liabilities – Family Takaful Fund	–	580,710,123	–	–	–	580,710,123
Insurance Contract Liabilities – Family Takaful Unit Linked	–	1,525,135,501	–	–	–	1,525,135,501
Retakaful (Reinsurance) Payables	196,491,452	11,714,253	67,813,027	–	–	276,018,732
Employee Benefits	28,996,166	6,013,000	15,007,016	–	–	50,016,182
Deferred Tax Liability	–	–	–	–	–	–
Other Liabilities – Unit Linked	–	51,844,853	–	–	–	51,844,853
Other Liabilities	70,471,650	38,851,889	151,099,089	12,326,003	–	272,748,631
Murabaha Facility	–	–	–	–	–	–
Related Party Payable	–	16,435,130	9,210,131	17,218,164	(42,863,425)	–
Subordinated Debt	200,000,000	–	–	–	–	200,000,000
Finance Lease Liability	1,244,604	5,134,842	–	–	–	6,379,445
Short-Term Borrowings	187,698,284	–	–	–	–	187,698,284
Bank Overdrafts	37,426	–	–	–	–	37,426
Inter-Fund Payable	–	–	–	–	–	–
Management Fee Payable	–	–	–	–	–	–
Total Liabilities	1,385,259,581	2,235,839,592	557,939,492	29,544,167	(42,863,425)	4,165,719,406
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	30,331,677	(1,544,774)	96,055,050	–	(41,751,554)	83,090,398
Revenue Reserves	(74,244,716)	75,332,665	205,928,924	(47,392,109)	(615,183,669)	(455,558,906)
	1,816,088,300	573,787,890	504,354,699	(10,267,109)	(1,396,430,942)	1,487,532,832
Non-Controlling Interest	–	–	–	–	282,755,192	282,755,192
Total Equity	1,816,088,300	573,787,890	504,354,699	(10,267,109)	(1,113,675,750)	1,770,288,024
Total Equity and Liabilities	3,201,347,880	2,809,627,482	1,062,294,178	19,277,058	(1,156,539,086)	5,936,007,430

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

SEGMENTAL ANALYSIS – STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME – 2017

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,792,031,034	792,173,604	1,056,430,458	–	–	3,640,635,096
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(378,254,928)	(26,823,377)	(387,825,957)	–	–	(792,904,261)
Net written Contribution (Premium)	1,413,776,106	765,350,227	668,604,501	–	–	2,847,730,835
Add: Unearned Takaful contribution (Premium) at the Beginning of the Year	425,687,689	–	110,683,783	–	–	536,371,472
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(555,332,865)	(314,564)	(165,802,624)	–	–	(721,450,053)
Net Earned Contribution (Premium)	1,284,130,930	765,035,663	613,485,660	–	–	2,662,652,487
Other Income						
Income from Investments	111,637,172	253,100,870	27,024,548	734,166	(10,500,000)	381,996,755
Fair Value Gains and Losses	–	–	338,249	–	–	338,249
Other Operating Income	14,103,727	15,966,881	40,424,021	5,400,000	(5,400,000)	70,494,630
Total Revenue	1,409,871,829	1,034,103,415	681,272,479	6,134,166	(15,900,000)	3,115,482,120
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-Net	(694,025,443)	(423,475,426)	(362,173,207)	–	–	(1,479,674,077)
Acquisition Cost (Net of Reinsurance Commission)	(69,514,133)	(97,197,627)	(35,644,063)	–	–	(202,355,823)
Increase in Family Takaful (Long-Term Insurance) Fund	–	(40,535,552)	–	–	–	(40,535,552)
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(527,017,095)	(414,868,918)	(211,835,327)	(6,696,608)	5,400,000	(1,155,017,948)
Amortisation	(1,550,306)	(1,298,185)	(4,083,897)	–	1,562,500	(5,369,888)
Depreciation	(24,332,695)	(4,974,036)	(1,445,895)	–	–	(30,751,693)
Profit/(Loss) from Operations	93,432,157	51,753,671	66,090,089	(562,442)	(8,937,500)	201,777,140
Finance Cost	(30,710,869)	(1,162,129)	–	–	–	(31,872,998)
Share of Profit/(Loss) from Associate	–	–	–	–	–	–
Profit/(Loss) Before Taxation	62,721,288	50,591,542	66,090,089	(562,442)	(8,937,500)	169,904,142
Income Tax	(142,500)	(759,963)	(13,823,623)	(173,838)	–	(14,899,924)
Profit/(Loss) for the Period	62,578,787	49,831,579	52,266,467	(736,281)	(8,937,500)	155,004,218

The Notes on pages 83 to 156 are an integral part of these Consolidated Financial Statements.

STATEMENT OF FINANCIAL POSITION OF FAMILY TAKAFUL (LIFE INSURANCE) – SUPPLEMENTAL

	2018 Rs.	2017 Rs.
Assets		
Intangible Assets	20,954,644	22,250,369
Property, Plant and Equipment	28,703,776	21,164,995
Investment Property	144,929,000	–
Financial Assets	875,164,705	1,040,576,008
Retakaful (Reinsurance) Receivables	–	250,000
Contribution (Premium) Receivables	39,676,266	33,059,196
Other Assets	53,717,719	28,816,882
Financial Assets – Unit Linked	1,621,208,465	1,526,678,553
Cash and Bank Balances	85,064,941	129,461,474
Cash and Bank Balances – Unit Linked	8,155,160	7,370,003
Total Assets	2,877,574,677	2,809,627,480
Liabilities		
Insurance Contract Liability – Family Takaful Fund	534,967,470	580,710,123
Insurance Contract Liability – Family Takaful – Unit Linked	1,660,124,030	1,525,135,501
Employee Benefits	7,078,883	6,013,000
Other Liabilities – Unit Linked	51,285,609	51,844,853
Subordinated Debt	32,051,250	–
Other Liabilities	72,491,565	67,001,273
Finance Lease Liability	3,849,823	5,134,842
Total Liabilities	2,361,848,629	2,235,839,592
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	3,430,948	(1,544,774)
Accumulated Profit	12,295,100	75,332,664
Total Equity	515,726,048	573,787,890
Total Equity and Liabilities	2,877,574,677	2,809,627,480

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

1.1 General

Amāna Takaful PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These Consolidated Financial Statements comprise the Company and its subsidiaries (collectively the "Group" and individually "Group companies").

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amāna Global Limited (100% stake) is providing services such as technical support, research and development, under Section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amāna Takaful (Maldives) PLC, which is a subsidiary (55%) of Amāna Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 4 March 2010 to carry out General Takaful Business.

Amāna Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful insurance.

1.3 Date of Authorisation for Issue

The Consolidated and Separate Financial Statements of Amāna Takaful PLC for the year ended 31 December 2018 was authorised for issue by the Board of Directors on 29 March 2019.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for preparation and presentation of these Financial Statements.

2. Basis of Preparation

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-Life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amāna Global Limited, Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amāna Global Limited, Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC, are also included in the Group Statement of Profit or Loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or Loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ("Financial Statements") as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/LKAS) as issued by The Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act No. 7 of 2007, the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

NOTES TO THE FINANCIAL STATEMENTS

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in property, plant and equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for defined benefit obligations are actuarially valued and recognised at the present value
- Incurred by not reported/Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These Consolidated and Separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgements

In the process of applying the Group accounting policies, Management is required to make judgements, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Consolidated Financial Statements. Further, the Management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related Notes to the Consolidated and Separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2018 is included in the following notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr P P T Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and NMG Consulting respectively.

(i) Note 17 – General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

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The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 – Long-Term Insurance Provision – (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 19.3 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The defined benefit obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 34.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investments in Subsidiaries

Fair Value of Investment Transferred

The determination of fair value of investment transferred recorded on the Statement of Profit or Loss and Other Comprehensive Income and the corresponding entry being recorded in investment in subsidiary on the Statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.5 Measurement of Fair Values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment property
- Notes 9 and 12 – Financial assets and financial assets unit linked

NOTES TO THE FINANCIAL STATEMENTS

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical services.

Inter-segment transactions are based on fair market prices. Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment, are allocated on basis decided by the Management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

The Directors, after making necessary inquiries and reviews of the Group's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Group has adequate resources to continue as "a going concern" in the foreseeable future. Furthermore, Directors are not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

There are no going concern issues identified during the current financial year 2018.

3. Summary of Significant Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these Consolidated and Separate Financial Statements.

The comparative information has been reclassified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Financial Statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

3.1.4 Loss of Control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

NOTES TO THE FINANCIAL STATEMENTS

3.1.5 Transactions Eliminated on Consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions. In applying book value accounting, no entries are recognised in profit or loss; instead, the result of the transaction is recognised in equity as arising from a transaction with shareholders.

3.1.7 Common Control Transactions in Separate Financial Statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition. When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency

3.2.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency, are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI, are reclassified to profit or loss); are recognised in OCI.

3.2.2 Foreign Operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognised in OCI and accumulated in the translation reserve.

NOTES TO THE FINANCIAL STATEMENTS

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods, are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount, are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

3.4 Intangible Assets

3.4.1 Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as –

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- the net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

3.4.2 Research and Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.3 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

NOTES TO THE FINANCIAL STATEMENTS

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation Method
Computer Software	8-20 years	Straight-line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage stocks are valued at since realised/realisable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

NOTES TO THE FINANCIAL STATEMENTS

3.9 Property, Plant and Equipment

3.9.1 Cost

The property, plant and equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of property, plant and equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2018 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all property, plant and equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of property, plant and equipment are as follows:

Class	Useful Life
Motor Vehicles	4-5 Years
Computer Equipment	3-5 Years
Other Equipment	4-5 Years
Furniture and Fittings	5-10 Years
Leasehold Vehicle	4-5 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Leases

3.10.1 Finance Leases – Where the Group is the Lessee

Property, plant and equipment on finance leases, which effectively transfer to the Group substantially all risks and benefits incidental to ownership of the leased item are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Capitalised leased assets are disclosed as property, plant and equipment and depreciated consistently with that of owned assets, as described under property, plant and equipment.

The corresponding principal amount payable to the lessor, together with the finance cost payable over the period of the lease is shown as a liability. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant periodic rate of finance cost on the remaining balance of the liability.

The cost of improvements to or on leasehold property is capitalised, disclosed as leasehold improvements and depreciated over the unexpired period of the lease or the estimated useful lives of the improvements, whichever is shorter.

3.10.2 Operating Leases

Leases where the lessor effectively retains substantially all risks and benefits of ownership over the leased term, are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income on a straight-line basis over the lease term.

NOTES TO THE FINANCIAL STATEMENTS

3.11 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available for sale and held to maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Treasury Bonds	Available-For-Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-For-Sale
Unit Trust	Available-For-Sale
Term deposits/ Mudharabah Deposits	Loans and Receivables
Loans and Receivable	Loans and Receivables
Financial liability	Category
Murabaha Facility	Other Financial Liabilities

3.11.1 Recognition of Financial Assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.11.2 Measurement**(a) Financial Assets at Fair Value Through Profit or Loss**

Financial assets at fair value through profit or loss include financial assets held for trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held for trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

NOTES TO THE FINANCIAL STATEMENTS

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-for-Sale Financial Assets

Available-for-Sale financial assets are non-derivative financial assets that are designated as available for sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, available-for-sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other financial liabilities are non-derivative financial liabilities, which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

3.12 Impairment of Financial Assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes –

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;

- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognised in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available-for-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Profit or Loss and Other Comprehensive Income.

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Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.13 Derecognition of Financial Assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when –

- The rights to receive cash flows from the asset have expired;
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement;
- The Group has transferred its rights to receive cash flows from the asset; and either:
- Has transferred substantially all the risks and rewards of the asset or
- Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group’s continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group’s continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group’s continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

3.14 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change.

NOTES TO THE FINANCIAL STATEMENTS

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

3.15.1 Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statements.

3.15.2 Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.16 Employee Benefits

3.16.1 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified Actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – “Employee Benefits”.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognised as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.2 Defined Contribution Plans – Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund contributions and Employees’ Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

3.16.3 Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

NOTES TO THE FINANCIAL STATEMENTS

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a *pro rata* basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (gross written premium minus reinsurance and management fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31 December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (Premium) ceded to Retakaful companies (Reinsurers), is recognised as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ("IBNR") and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost/Income is directly attributable to the profit or loss when policy is underwritten.

NOTES TO THE FINANCIAL STATEMENTS

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business Provision and Provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/Management Fee)

3.20.1.1 Wakala Fee (Agency/Management Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for management fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis:

General Takaful (Insurance) Business

The Shareholders' Fund is entitled for a Management fee on contribution (premium) of General Takaful (Insurance) Certificates. However, the Shareholders' Fund has charged a reduced management fee at the rates given below in order to strengthen the General Takaful (Insurance) Fund.

Medical Takaful (Insurance) Policies	37.5%
All other General Takaful (Insurance) Policies	20%-50%

Family Takaful (Life Insurance) Business

The management fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful Products	– First year	80%
	– Second year	45%
	– Third year and after	2%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

3.20.1.2 Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' fund is entitled for agency fee of 50% on net investment income.

NOTES TO THE FINANCIAL STATEMENTS

3.20.2 Investment Income**3.20.2.1 Interest Income**

Interest income is recognised in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realised gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognised on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the reporting period are those events, favourable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective Notes to the Financial Statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective Notes to the Financial Statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.26 Earnings Per Share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 – "Statement of Cash flows".

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

NOTES TO THE FINANCIAL STATEMENTS

4. Standards Issued But not yet Effective as at Reporting Date

Impending accountings standards/standards issued not yet effective.

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2018 reporting periods. None of those have been early adopted by the Company.

Sri Lanka Accounting Standard (SLFRS) 9 – “Financial Instruments”:

In December 2014, the CA Sri Lanka issued the final version of IFRS 9 “Financial Instruments” classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – “Financial Instruments: Recognition and Measurement”.

SLFRS 9 is effective for annual periods beginning on or after 1 January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits, but does not require the insurer to apply LKAS 39 – “Financial Instruments: Recognition and Measurement” rather than SLFRS 9 for annual periods beginning before 1 January 2022.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if –

- a. It has not previously applied any version of SLFRS 9, other than only the requirements of the presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss; and
- b. Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amāna Takaful PLC and Amāna Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – “Financial Instruments: Recognition and Measurement” rather than SLFRS 9 for annual periods beginning before 1 January 2022.

SLFRS 16 “Leases”

SLFRS 16 replaces existing leases guidance, including LKAS 17 – “Leases, International Financial Value” even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 – “Leases”, IFRIC 4 determining whether an arrangement contains a lease, SIC 15 “Operating Leases – Incentives”; and SIC 27 evaluating the substance of Transactions Involving the Legal form of a Lease. Earlier application is permitted for entities that apply SLFRS 15 – “Revenue from Contracts with Customers”. SLFRS 16 is effective for annual reporting periods beginning on or after 1 January 2019.

NOTES TO THE FINANCIAL STATEMENTS

5. Intangible Assets

5.1 Group

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost		
Balance at the Beginning of the Year	101,438,350	100,914,372
Additions During the Year	46,757,126	–
Exchange Gain/(Loss)	5,877,451	523,978
Balance at the End of the Year	154,072,927	101,438,350
Amortisation		
Balance at the Beginning of the Year	54,056,796	48,686,908
Charges for the Year	8,087,347	6,593,513
Exchange Gain/(Loss)	6,548,369	338,875
Elimination	(1,562,500)	(1,562,500)
Balance at the End of the Year	67,130,013	54,056,796
Carrying Amount	86,942,914	31,812,197

5.2 Company

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost		
Balance at the Beginning of the Year	44,482,847	44,482,848
Additions During the Year	10,758,879	–
Balance at the End of the Year	55,241,726	44,482,848
Amortisation		
Balance at the Beginning of the Year	22,248,100	20,697,794
Amortisation Charge for the Year	1,967,678	1,550,306
Balance at the End of the Year	24,215,778	22,248,100
Carrying Value	31,025,948	6,665,391

NOTES TO THE FINANCIAL STATEMENTS

5.3 Acquisition of Intangible Assets During the Year

During the financial year, the Group has acquired/capitalised intangible assets (computer software) to the aggregate value of Rs. 46,757,126/- (2017 – NIL).

5.4 Fully-Amortised Intangible Assets in Use

Intangible assets includes fully-amortised computer software which are in the use of normal business activities having an initial cost of Rs. 10,862,742/- (2017 – Rs. 10,862,742/-).

5.5 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the intangible assets of the Group as at 31 December 2018.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of intangible assets as at 31 December 2018. Based on the assessment, no impairment indicators were identified.

6. Property, Plant and Equipment**6.1 Group**

Cost/Valuation	Notes	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Exchange Movement Rs.	Total as at 31 December 2018 Rs.
Freehold	6.1.1	295,809,365	36,391,604	(5,051,006)	262,899	3,084,771	330,067,720
Leasehold	6.1.2	14,120,725	–	(4,313,000)	2,162,285	(5,070,010)	6,900,000
		309,930,090	36,391,604	(9,364,006)	2,425,184	3,084,771	342,037,730

6.1.1 Freehold Property, Plant and Equipment

Cost/valuation	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	13,625,796	5,274,005	(5,051,006)	262,899	(429,914)	256,950	13,938,731
Computer Equipment	75,134,195	6,677,556	–	–	–	927,604	82,739,355
Other Equipment	94,505,634	13,161,147	–	–	–	596,983	108,263,764
Furniture and Fittings	112,543,740	11,278,896	–	–	–	1,303,234	125,125,870
Total Value of Depreciable Assets	295,809,365	36,391,604	(5,051,006)	262,899	(429,914)	3,084,771	330,067,720

NOTES TO THE FINANCIAL STATEMENTS

Depreciation	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	3,891,391	2,903,325	(5,051,006)	–	(429,914)	256,950	1,570,746
Computer Equipment	67,269,124	3,974,066	–	–	–	2,497,617	73,740,807
Other Equipment	78,579,289	9,742,679	–	–	–	(1,123,920)	87,198,048
Furniture and Fittings	67,631,733	9,802,081	–	–	–	1,000,065	78,433,879
Total Depreciation	226,993,068	26,422,151	(5,051,006)	–	(429,914)	2,630,712	240,943,480
Carrying Amount	68,816,297	–	–	–	–	–	89,124,240

6.1.2 Leasehold Property, Plant and Equipment

Cost/Valuation	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	9,807,725	–	–	2,162,285	(5,070,010)	–	6,900,000
Other Equipment	4,313,000	–	(4,313,000)	–	–	–	–
Total Value of Depreciable Assets	14,120,725	–	(4,313,000)	2,162,285	(5,070,010)	–	6,900,000

Depreciation	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	3,109,540	1,960,471	–	–	(5,070,010)	–	–
Other Equipment	3,102,964	–	(3,102,964)	–	–	–	–
Total Depreciation	6,212,504	1,960,471	(3,102,964)	–	(5,070,010)	–	–
Carrying Amount	7,908,221	–	–	–	–	–	6,900,000

6.1.3 Net Book Values

Year Ended 31 December	2018 Rs.	2017 Rs.
Freehold	89,124,240	68,816,297
Leasehold	6,900,000	7,908,221
Total Carrying Amount of Property, Plant and Equipment	96,024,241	76,724,518

NOTES TO THE FINANCIAL STATEMENTS

6.1.4 Acquisition of Property, Plant and Equipment During the Year – Group

During the year, the Group acquired property, plant and equipment to the aggregate value of Rs. 36,391,604/- (2017 – Rs. 32,378,604/-) for cash considerations.

6.1.5 Fully Depreciated Property, Plant and Equipment in Use – Group

Group property, plant and equipment includes fully depreciated assets having a gross carrying amount of Rs. 115,486,210/- (2017 – Rs. 115,486,210/-).

6.2 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the property, plant and equipment of the Group as at the reporting date.

6.3 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of property, plant and equipment as at 31 December 2018. Based on the assessment, no impairment indicators were identified.

6.4 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of property, plant and equipment during the year.

6.5 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle property, plant and equipment as at the year ended 31 December 2018.

6.6 Company

Cost/Valuation	Notes	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Eliminations Rs.	Total as at 31 December 2018 Rs.
Freehold	6.6.1	258,363,470	20,056,653	–	1,484,583	(5,051,006)	274,853,700
Leasehold	6.6.2	4,313,000	–	(4,313,000)	–	–	–
		262,676,470	20,056,653	(4,313,000)	1,484,583	(5,051,006)	274,853,700

6.6.1 Freehold Property, Plant and Equipment

Cost/valuation	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	11,807,000	3,789,422	–	1,484,583	(5,051,006)	12,030,000
Computer Equipment	64,262,295	3,253,895	–	–	–	67,516,190
Other Equipment	85,848,520	6,378,532	–	–	–	92,227,052
Furniture and Fittings	96,445,655	6,634,804	–	–	–	103,080,459
Total Value of Depreciable Assets	258,363,470	20,056,653	–	1,484,583	(5,051,006)	274,853,700

NOTES TO THE FINANCIAL STATEMENTS

Depreciation	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Total as at 31 December 2018 Rs.
Motor Vehicles	2,288,504	2,762,502	–	–	(5,051,006)	–
Computer Equipment	59,973,326	2,080,297	–	–	–	62,053,623
Other Equipment	74,701,361	7,678,583	–	–	–	82,379,944
Furniture and Fittings	59,820,477	6,842,379	–	–	–	66,662,856
Total Depreciation	206,405,200	19,363,761	–	–	(5,051,006)	211,096,423
Carrying Amount	51,958,270	–	–	–	–	63,757,277

6.6.2 Leasehold Property, Plant and Equipment

Cost/Valuation	Balance as at 1 January 2018 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Total as at 31 December 2018 Rs.
Other Equipment	4,313,000	–	(4,313,000)	–	–	–
	4,313,000	–	(4,313,000)	–	–	–

Depreciation	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Increase/Decrease in Revaluation Rs.	Elimination Rs.	Total as at 31 December 2018 Rs.
Generator	3,102,964	–	(3,102,964)	–	–	–
Carrying Amount	1,210,036	–	–	–	–	–

6.6.3 Net Book Values

Year Ended 31 December	2018 Rs.	2017 Rs.
Freehold	63,757,277	51,958,270
Leasehold	–	1,210,036
Total Carrying Amount of Property, Plant and Equipment	63,757,277	53,168,306

NOTES TO THE FINANCIAL STATEMENTS

6.6.4 Acquisition of Property, Plant and Equipment During the Year – Company

During the year, the Company acquired property, plant and equipment to the aggregate value of Rs. 15,743,653/- (2017 – Rs. 9,911,359/-) for cash considerations.

6.6.5 Fully-Depreciated Property, Plant and Equipment in Use – Company

Company property, plant and equipment includes fully depreciated assets having a gross carrying amount of Rs. 101,072,300/- (2017 – Rs. 101,072,300/-).

6.6.6 Revaluation**Company**

Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level 2 in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost	15,596,422	12,817,000
Accumulated Depreciation	(5,051,006)	(2,891,400)
Carrying Value	10,545,416	9,925,600

Other Group Companies**Amāna Takaful Life PLC**

Amāna Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level 2 in the fair value hierarchy. The revaluation surplus was transferred to the revaluation reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost	10,312,726	537,011
Accumulated Depreciation	(5,499,524)	(366,958)
Carrying Value	4,813,202	170,053

6.7 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the property, plant and equipment of the Company as at the reporting date.

6.8 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of property, plant and equipment as at 31 December 2018. Based on the assessment, no impairment indicators were identified.

NOTES TO THE FINANCIAL STATEMENTS

6.9 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of property, plant and equipment during the year.

6.10 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle property, plant and equipment as at the year ended 31 December 2018.

7. Investment Property

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Balance as at 1 January	79,925,000	78,500,000	79,925,000	78,500,000
Addition During the Year	145,999,000	—	—	—
Net Gain/Loss from Fair Value Adjustment	(5,495,000)	1,425,000	(4,425,000)	1,425,000
Balance as at 31 December	220,429,000	79,925,000	75,500,000	79,925,000

7.1 During the financial year, the Company has incurred direct operating expenses on the investment property to the aggregate value of Rs. 330,700/- (2017 – Rs. 240,000/-).

7.2 Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr P T Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2018.

The fair value measurement for investment property of Rs. 220,429,000/- (2017 – Rs. 79,925,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

NOTES TO THE FINANCIAL STATEMENTS

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address	Extent	Fair Value 2018 Rs.	Per Perch/Sq. ft. Value Rs.	Fair Value 2017 Rs.	Per Perch/Sq. ft. Value Rs.
General Takaful Fund					
a. Yalegoda Estate, Piligalla, Kandy					
– Land	50 Perches	10,000,000	200,000 per Perch	10,500,000	210,000 per Perch
– Building	1,485 Sq.ft.	–	–	2,000,000	1,350 per sq.ft.
b. 58/19, Ramyaweera Mawatha, Orugodawattha					
– Land	39 Perches	19,500,000	500,000 per Perch	22,425,000	575,000 per Perch
Shareholder Fund					
c. 107/15, Buthgamuwa Road, Rajagiriya					
– Building	1,700 Sq.ft.	46,000,000	27,059 per sq. ft.	45,000,000	26,471 per sq. ft.
Amāna Takaful Life PLC					
451, Old Moor Street, Colombo 12					
– Land	5.5 Perches	134,750,000	24,500,000 per Perch	–	–
– Building	2,610 Sq. ft	10,179,000	3,900 per sq. ft	–	–

8. Investments in Subsidiaries

Company	Holding		Number of Shares		Cost	
	2018 %	2017 %	2018	2017	2018 Rs.	2017 Rs.
Amāna Global Limited	100	100	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life PLC	82.7	90	411,500,000	450,000,000	411,500,000	450,000,000
Amāna Takaful (Maldives) PLC	55	51.39	11,133,308	10,402,558	641,367,811	587,197,352
Provision for Amāna Global Limited	–	–	–	–	(37,125,000)	–
			–	–	1,052,867,811	1,074,322,352

NOTES TO THE FINANCIAL STATEMENTS

9. Financial Assets

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Financial Assets at Fair Value Through Profit and Loss	9.2.1	88,086,419	58,506,357	–	–
Available-for-Sale Financial Assets	9.2.2	318,521,556	299,558,531	525,000	525,000
Loans and Receivable	9.2.3	2,428,572,752	2,369,857,686	836,967,607	871,751,119
		2,835,180,727	2,727,922,574	837,492,607	872,276,119

9.1 Fair value through profit or loss investments and available-for-sale investments have been valued at fair value. Loans and receivable are valued at amortised cost.

9.2 Classification of Financial Assets

9.2.1 Financial Assets at Fair Value Through Profit and Loss

As at 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Investments in Equity Securities	9.3.1	88,086,419	58,506,357	–	–
		88,086,419	58,506,357	–	–

9.2.2 Available-For-Sale Financial Assets

As at 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Investments in Equity Securities – Quoted	9.3.2	28,956,551	34,561,038	–	–
Unit Trust:					
– Candor Balance Fund		12,423,578	12,684,213	–	–
– Candor Income Fund		14,137,927	32,247,203	–	–
Investments in Equity Securities – Unquoted*	9.3.3	263,003,500	220,066,078	525,000	525,000
		318,521,556	299,558,531	525,000	525,000

* The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

NOTES TO THE FINANCIAL STATEMENTS

9.2.3 Loans and Receivable

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Repurchase Agreements		664,719,396	714,764,891	284,967,602	275,624,660
Fixed Term Investments		1,750,329,688	1,398,600,243	538,898,555	482,534,863
Commercial Papers		–	241,580,148	–	101,000,000
Advances to Company Officers	9.2.4	13,523,668	14,912,404	13,101,450	12,591,596
		2,428,572,752	2,369,857,686	836,967,607	871,751,119

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act No. 43 of 2000.

Loans and Receivables includes a provision of Rs. 75,658,959/- (2017 – Nil). The said provision will be revised upon recovery.

9.2.4 Advances to Company Officers

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Balance at the Beginning of the Year	14,912,404	12,130,593	12,591,596	11,154,456
Loans Granted During the Year	16,305,496	15,623,775	15,883,277	14,279,105
Less: Repayments During the Year	(17,694,231)	(12,841,964)	(15,373,423)	(12,841,965)
Balance at the end of the Year	13,523,669	14,912,404	13,101,450	12,591,596
	13,523,668	14,912,404	13,101,450	12,591,596

NOTES TO THE FINANCIAL STATEMENTS

9.3 Investments in Equity Securities

9.3.1 Quoted

Year Ended 31 December	Group				Company			
	2018		2017		2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineering PLC	70,000	987,000	140,000	3,290,000	–	–	–	–
Amāna Bank PLC	10,937,500	33,906,250	–	–	–	–	–	–
Alumex PLC	47,500	641,250	47,500	878,750	–	–	–	–
Ceylon Glass PLC	301,209	1,084,352	301,209	1,747,012	–	–	–	–
Chevron Lubricants Lanka PLC	40,100	2,919,280	40,100	4,771,900	–	–	–	–
Colombo Dockyard PLC	22,341	1,242,160	22,341	1,977,179	–	–	–	–
Dhivehi Raajjeyege Gulhun PLC	2,270	2,146,657	2,000	1,581,936	–	–	–	–
Dialog Axiata PLC	–	–	225,000	2,925,000	–	–	–	–
Haycarb	10,000	1,300,000	10,000	1,475,000	–	–	–	–
Kelani Valley Plantations PLC	11,100	1,106,670	11,100	1,003,440	–	–	–	–
Textered Jersey Lanka PLC	–	–	50,000	1,700,000	–	–	–	–
Tokyo Cement Company (Lanka) PLC – Non-Voting	60,000	1,380,000	60,000	3,540,000	–	–	–	–
Ooreedoo	100,000	41,372,800	100,000	33,616,140	–	–	–	–
At Fair Value Through Profit or Loss	–	88,086,419	–	58,506,357	–	–	–	–

9.3.2 Quoted

Year Ended 31 December	Group				Company			
	2018		2017		2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Amāna Bank PLC	9,340,821	28,956,551	9,398,344	34,561,038	–	–	–	–
Available-for-Sale Investments at Fair Value	–	28,956,551	–	34,561,038	–	–	–	–

9.3.3 Unquoted

Year Ended 31 December	Group				Company			
	2018		2017		2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Available-for-Sale Financials Assets Reclassified to Profit or Loss								
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Maldives Islamic Bank	9,000	262,478,500	9,000	219,541,078	–	–	–	–
Available-for-Sale Investments at Fair Value	–	263,003,500	–	220,066,078	–	525,000	–	525,000

NOTES TO THE FINANCIAL STATEMENTS

9.4 Financial Instruments – Fair Value and Risk Management

Fair value hierarchy for assets carried at fair value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The following table shows the fair value hierarchy of the financial assets carried at fair value:

9.4.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities:

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

31 December 2018	Carrying Amount			Total	Fair Value			Total
	Loans And Receivables	Available for Sale	Fair Value Through Profit or Loss		Level 1	Level 2	Level 3	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Financial Assets Measured at Fair Value								
Equity Securities – Quoted	–	28,956,551	88,086,419	117,042,970	117,042,970	–	–	117,042,970
Equity Securities – Unit Linked	–	–	61,432,832	61,432,832	61,432,832	–	–	61,432,832
Unit Trust Unit Linked	–	27,007,989	–	27,007,989	–	27,007,989	–	27,007,989
	–	55,964,540	149,519,252	205,483,791	178,475,802	27,007,989	–	205,483,791
Financial Assets not Measured at Fair Value								
Repurchase Agreements	664,719,396	–	–	664,719,396	–	–	–	–
Equity Securities – Unquoted	–	263,003,500	–	263,003,500	–	–	–	–
Commercial Paper	–	–	–	–	–	–	–	–
Fixed Term Investments	1,750,329,688	–	–	1,750,329,688	–	–	–	–
Advances to Company Officers	13,523,668	–	–	13,523,668	–	–	–	–
Repurchase Agreements – Unit Linked	20,056,658	–	–	20,056,658	–	–	–	–
Mudharaba Investments – Unit Linked	1,512,710,987	–	–	1,512,710,987	–	–	–	–
	3,961,340,397	263,003,500	–	4,224,343,897	–	–	–	–
	3,961,340,397	318,968,040	149,519,252	4,429,827,688	178,475,802	27,007,989	–	205,483,791

NOTES TO THE FINANCIAL STATEMENTS

9.4.2 Company

31 December 2018	Carrying Amount			Total	Fair Value			Total
	Loans and Receivables	Available for Sale	Fair Value Through Profit or Loss		Level 1	Level 2	Level 3	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets not Measured at Fair Value								
Repurchase Agreements	284,967,602	–	–	284,967,602	–	–	–	–
Fixed Term Investments	538,898,555	–	–	538,898,555	–	–	–	–
Commercial Paper	–	–	–	–	–	–	–	–
Equity Securities – Unquoted	–	525,000	–	525,000	–	–	–	–
Advances to Company Officers	13,101,450	–	–	13,101,450	–	–	–	–
	836,967,607	525,000	–	837,492,607	–	–	–	–

9.4.3 Group

31 December 2017	Carrying Amount			Total	Fair Value			Total
	Loans and Receivables	Available for Sale	Fair Value Through Profit or Loss		Level 1	Level 2	Level 3	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets Measured at Fair Value								
Equity Securities – Quoted	–	34,561,038	58,506,357	93,067,394	93,067,394	–	–	93,067,394
Equity Securities – Unit Linked	–	–	109,653,738	109,653,738	109,653,738	–	–	109,653,738
Unit Trust	–	–	–	–	–	–	–	–
Unit Trust – Unit Linked	–	25,158,906	–	25,158,906	–	25,158,906	–	25,158,906
	–	59,719,944	168,160,095	227,880,039	202,721,133	25,158,906	–	227,880,039
Financial Assets not Measured at Fair Value								
Repurchase Agreements	714,764,891	–	–	714,764,891	–	–	–	–
Equity Securities – Unquoted	–	220,066,078	–	220,066,078	–	–	–	–
Commercial Papers	241,580,148	–	–	241,580,148	–	–	–	–
Murabaha Investments	250,930,016	–	–	250,930,016	–	–	–	–
Mudharaba Investments	1,147,670,227	–	–	1,147,670,227	–	–	–	–
Advances to Company Officers	14,912,404	–	–	14,912,404	–	–	–	–
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518	–	–	–	–
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391	–	–	–	–
	3,761,723,595	220,066,078	–	3,981,789,673	–	–	–	–
	3,761,723,595	279,786,022	168,160,095	4,209,669,712	202,721,133	25,158,906	–	227,880,039

NOTES TO THE FINANCIAL STATEMENTS

9.4.4 Company

31 December 2017	Carrying Amount			Total	Fair Value			Total
	Loans and Receivables	Available for Sale	Fair Value Through Profit or Loss		Level 1	Level 2	Level 3	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets Not Measured at Fair Value								
Repurchase Agreements	275,624,660	–	–	275,624,660	–	–	–	–
Mudharaba Investments	482,534,863	–	–	482,534,863	–	–	–	–
Commercial Paper	101,000,000	–	–	101,000,000	–	–	–	–
Equity Securities – Unquoted	525,000	–	–	525,000	–	–	–	–
Advances to Company Officers	12,591,596	–	–	12,591,596	–	–	–	–
	872,276,119	–	–	872,276,119	–	–	–	–

10. Contribution (Premium) Receivables

Year ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Contribution (Premiums) Receivable from Participants	563,324,251	403,306,248	381,612,444	325,696,541
Contribution (Premium) Receivable from Agents, Brokers and Intermediaries	147,920,478	164,052,354	147,920,478	164,052,354
Contribution (Premium) Receivable – Net	711,244,729	567,358,602	529,532,922	489,748,895

The Board of Directors has assessed potential impairment loss of premium receivable as at 31 December 2018. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

NOTES TO THE FINANCIAL STATEMENTS

11. Other Assets

Year Ended 31 December	Note	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Financial Assets	11.1	135,773,809	45,133,114	93,488,062	76,149,851
Non-Financial Assets	11.2	116,964,038	141,367,906	41,908,611	86,534,795
		252,737,848	186,501,020	135,396,673	162,684,646

11.1 Financial Assets

Year Ended 31 December		Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Other Receivables		135,773,809	45,133,114	86,007,665	59,578,559
Amount Due from Related Party – Amāna Takaful Life PLC		–	–	7,480,397	16,571,292
		135,773,809	45,133,114	93,488,062	76,149,851

11.2 Non-Financial Assets

Year Ended 31 December		Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Deposits, Advances and Prepayments		116,964,038	141,367,906	41,908,611	86,534,795
		116,964,038	141,367,906	41,908,611	86,534,795

12. Financial Assets – Unit Linked

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Financial Assets at Fair Value Through Profit and Loss	12.1	61,432,832	109,653,738	–	–
Available for Sale	12.2	27,007,989	25,158,906	–	–
Loans and Receivable	12.3	1,532,767,645	1,391,865,910	–	–
		1,621,208,465	1,526,678,553	–	–

NOTES TO THE FINANCIAL STATEMENTS

12.1 Financial Assets at Fair Value through Profit and Loss

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Investment in Equity Securities	12.4	61,432,832	109,653,738	–	–
		61,432,832	109,653,738	–	–

12.2 Available for Sale

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Unit Trust – Candor Income Fund	27,007,989	25,158,906	–	–
	27,007,989	25,158,906	–	–

12.3 Loans and Receivable

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Repurchase Agreements	20,056,658	40,965,518	–	–
Mudharaba Investments	1,512,710,987	1,350,900,391	–	–
	1,532,767,645	1,391,865,910	–	–

12.4 Investments in Equity Securities – Unit Linked

Year Ended 31 December	Group			
	2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineering PLC	797,148	11,239,787	797,148	18,732,978
ACL Cables PLC	78,142	2,891,254	78,142	3,313,221
Alumex PLC	184,653	2,492,816	184,653	3,416,081
Dipped Products PLC	28,137	2,391,645	28,137	2,391,645
Colombo Dockyard PLC	22,948	1,275,909	22,948	2,030,898
Piramal Glass Ceylon PLC	522,240	1,984,512	522,240	3,028,992
Chevron Lubricants Lanka PLC	287,439	20,925,559	287,439	34,205,241
Hayleys MGT Knitting Mills PLC	430,000	3,913,000	430,000	5,805,000
Tokyo Cement Company (Lanka) PLC – Non-voting	622,537	14,318,351	622,537	36,729,683
	–	61,432,832	–	109,653,738

NOTES TO THE FINANCIAL STATEMENTS

13. Cash and Cash Equivalents in Cash Flow Statement**13.1 Components of Cash and Cash Equivalents**

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Cash and Bank Balances	217,105,631	269,133,976	94,692,309	110,981,837
Cash and Bank Balances – Unit Linked	8,155,160	7,370,003	–	–
Bank Overdrafts	–	(37,426)	–	(37,426)
Investments in Government Securities	457,633,696	790,708,932	284,967,602	408,614,676
	682,894,486	1,067,175,486	379,659,911	519,559,087

14. Stated Capital

Year Ended 31 December	Notes	Company			
		2018		2017	
		Number of Shares	Rs.	Number of Shares	Rs.
Fully-Paid Ordinary Shares – Voting	14.1	180,000,130	1,860,001,339	1,800,001,296	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

14.1 Share Consolidation

According to Article 6 of the Articles of Association of the Company the shareholders have approved a consolidation of every 10 existing issued ordinary shares into 1 Share on 30 July 2018. Subsequently the issued number of shares has reduced from One Billion Eight Hundred Million One thousand Two Hundred and Ninety-six (1,800,001,296) fully-paid shares to One Hundred and Eighty Million One Hundred and Thirty (180,000,130) fully paid shares.

15. Other Reserves

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Reserves Consists of the Following:					
Revaluation Reserve	15.1	33,728,956	30,234,871	31,400,577	30,331,677
Translation Reserve	15.2	107,226,776	52,855,527	–	–
		140,955,732	83,090,398	31,400,577	30,331,677

NOTES TO THE FINANCIAL STATEMENTS

15.1 Revaluation Reserve

The revaluation reserve relates to the revaluation of Property, Plant and Equipment.

Year ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Balance as at 1 January	30,234,871	34,234,871	30,331,677	34,331,677
Transfer of Revaluation on Disposal of Investment in Subsidiary	–	–	–	–
Change in Fair Value of Property, Plant and Equipment	3,494,085	–	1,068,900	–
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	–	(4,000,000)	–	(4,000,000)
Balance as at 31 December	33,728,956	30,234,871	31,400,577	30,331,677

15.2 Translation Reserve

The translation reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Balance as at 1 January	52,855,527	51,634,475	–	–
Foreign Currency Translation Differences for Foreign Operations	54,371,249	1,221,052	–	–
Balance as at 31 December	107,226,776	52,855,527	–	–

16. Revenue Reserve

As at 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Accumulated Profit/(Losses)				
Balance as at 1 January	(455,558,904)	(567,429,563)	(74,244,716)	(136,040,525)
Net Profit for the Year	59,986,522	126,501,180	23,741,440	62,578,787
Fair Value Changes Taken to OCI	3,260,247	1,011,745	–	–
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	(2,127,800)	(5,467,989)	(2,066,736)	(4,782,978)
Fair Value Gain on AFS Valuation	39,439,117	–	–	–
Dividend Paid	(22,684,989)	(14,174,248)	–	–
Transfer of Revaluation Reserve on Disposal	–	4,000,000	–	4,000,000
Balance as at 31 December	(377,685,807)	(455,558,904)	(52,570,013)	(74,244,716)

NOTES TO THE FINANCIAL STATEMENTS

16.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of available-for-sale financial assets related to Family Takaful Fund.

16.2 Available-for-Sale Reserve

The available for sale reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the assets are derecognised or impaired.

17. Insurance Contract Liabilities – Non-Life**17.1 Unearned Contribution (Premium)**

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Gross	1,059,322,948	855,865,377	768,853,293	689,637,394
Retakaful (Reinsurance)	(140,319,841)	(134,304,550)	(140,319,841)	(134,304,550)
Net	919,003,106	721,560,827	628,533,452	555,332,844

17.2 Gross Claims Reserve

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Claims Outstanding	375,662,673	235,764,234	254,425,542	95,854,155
Claims Incurred But Not Reported (IBNR)	100,120,946	57,805,168	89,685,135	49,133,000
	475,783,618	293,569,402	344,110,677	144,987,155
	1,394,786,725	1,015,130,229	972,644,129	700,319,999

17.3 General Takaful (Insurance) Technical Reserves

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
General Insurance (Non-Life) Provision	1,394,786,725	1,015,130,229	972,644,129	700,319,999
Retakaful (Reinsurance) Receivable on Outstanding Claims	(212,620,230)	(93,740,837)	(212,620,230)	(93,740,837)
	1,182,166,495	921,389,392	760,023,899	606,579,162

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 4. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 100,120,946/- (2017 – Rs. 57,805,168/-) and Rs. 89,685,135/- (2017 – Rs. 49,133,000/-) for IBNR claims reserve respectively, and there was no requirement for unexpired risk reserve for the year ended 31 December 2018 (2017 – Nil).

NOTES TO THE FINANCIAL STATEMENTS

18. Insurance Contract Liabilities – Family Takaful Fund

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following:

18.1 Insurance Contract Liabilities – Family Takaful Fund

As at 31 December	Group	
	2018 Rs.	2017 Rs.
Participant Investment Fund (PIF)	426,958,498	475,221,961
Participant Tabarru Fund (PTF) and Group Fund (GF)	102,192,336	100,362,123
Unearned premium – Group Family Takaful	5,816,637	5,126,039
	534,967,470	580,710,123

18.2 Insurance Contract Liabilities – Family Takaful Unit Linked

As at 31 December	Group	
	2018 Rs.	2017 Rs.
Unit Fund – Unit Linked	1,641,098,275	1,497,531,383
Participant Tabarru Fund and Group Fund – Unit Linked	19,025,755	27,604,118
	1,660,124,030	1,525,135,501

As at 31 December	Notes	Group	
		2018 Rs.	2017 Rs.
18.3 Insurance Contract Liability		2,174,312,931	2,070,428,258
Surplus of the Fund		20,778,570	35,417,365
Total Insurance Contract Liability – Family Takaful Fund	18.1, 18.2	2,195,091,501	2,105,845,623

18.4 The Movement in Family Takaful Fund is as Follows:

As at 31 December	Group	
	2018 Rs.	2017 Rs.
Balance as at 1 January	2,099,704,147	2,059,168,595
Net Change in Contract Liabilities	(35,823,821)	40,535,552
Balance as at 31 December	2,063,880,326	2,099,704,147

NOTES TO THE FINANCIAL STATEMENTS

18.5 The Insurance Provision (Family Takaful Fund) has been Based upon the Following Assumptions and Other Information:**18.5.1 Acturial Assumptions****Valuation Interest Rate**

For Participant Tabarru Fund (PTF) of Family Takaful and Unit-linked business, the Company has chosen Valuation Interest Rates of 2.5% p.a. and 2.0% p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5% p.a. is used which is based on the average of the last four years yield of the Fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the Company's experience for early durations as well as industry experience in Sri Lanka. The Company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/- 20% for both regular and single contribution plans.

Expense Assumption

The Company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 28.1% of the variable expenses and 19.2% of the fixed expenses will be charged to the PTF for Family Takaful and Unit-linked business. Expense inflation is assumed to be 5.0% p.a. for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2018 was made by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd.), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long-term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policyholders.

NOTES TO THE FINANCIAL STATEMENTS

18.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd.), Malaysia as at December 2018 as required by SLFRS 4 – "Insurance Contracts". When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31 December 2018.

19. Employee Benefits

		Group		Company	
	Notes	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Employee Benefits – Gratuity					
Balance at 1 January		50,016,182	38,871,095	28,996,165	23,997,243
Net Benefit Expense	19.1	17,025,285	18,511,699	9,027,920	11,023,126
		67,041,467	57,385,794	38,024,085	35,020,369
Foreign Currency Translation Movement		3,643,156	185,115	–	–
Payments During the Year		(3,805,874)	(7,554,728)	(2,995,994)	(6,024,204)
Balance at 31 December		66,878,749	50,016,182	35,028,091	28,996,165

19.1 Net Benefit Expense

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Included in Profit or Loss				
Interest Cost	9,657,527	8,782,167	2,928,612	2,807,677
Current Service Cost	5,239,958	4,264,543	4,032,572	3,432,471
	14,897,485	13,046,710	6,961,184	6,240,148
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	2,127,800	5,467,989	2,066,736	4,782,978
Actuarial Losses/(Gains) on Obligations	2,127,800	5,467,989	2,066,736	4,782,978
Net Benefit Expense	17,025,285	18,514,699	9,027,920	11,023,126

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr Piyal S Goonetilleke (Fellow of the Society of Actuaries – USA) in 2018 as requires by LKAS 19 – "Employee Benefits".

NOTES TO THE FINANCIAL STATEMENTS

Principal actuarial assumptions used for the Group and the Company are as follows:

	% Per Annum	
	2018	2017
(a) Discount Rate	11.78	10.1
(b) Salary Increase	9	9
(c) Incidence of Withdrawals	21	23
(d) Retirement Age	55 Years	55 Years
(e) Expected Average Future Working Life of the Active Participants	4.5 Years	4.5 Years

The Liability is not externally funded.

19.2 Sensitivity of Assumptions Employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below:

	31 December 2018		31 December 2017	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% Movement)	33,453,858	(36,770,380)	30,628,931	(27,531,167)
Future Salary Growth (1% Movement)	(36,768,262)	33,428,670	(30,601,838)	27,528,328

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

20. Other Liabilities – Unit Linked

	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Financial Liabilities	20.1	13,134,356	21,503,728	–	–
Non-Financial Liabilities	20.2	38,151,252	30,341,124	–	–
		51,285,609	51,844,853	–	–

20.1 Financial Liabilities

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Retakaful Payable	13,134,356	21,503,728	–	–
	13,134,356	21,503,728	–	–

NOTES TO THE FINANCIAL STATEMENTS

20.2 Non-Financial Liabilities

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Advances Received	20,939,015	14,711,321	–	–
Other Creditors	17,212,238	15,629,804	–	–
	38,151,252	30,341,124	–	–

21. Other Liabilities

	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Year Ended 31 December					
Financial Liabilities	21.1	249,920,508	276,018,730	122,024,828	196,491,452
Non-Financial Liabilities	21.2	403,783,724	272,748,632	61,092,118	70,471,650
		653,704,232	548,767,362	183,116,946	266,963,102

21.1 Financial Liabilities

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Year Ended 31 December				
Retakaful Payable	249,920,508	276,018,730	120,192,628	196,491,452
Amount Due to Related Party	–	–	1,832,200	–
	249,920,508	276,018,730	122,024,828	196,491,452

21.2 Non-Financial Liabilities

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Year Ended 31 December				
Accrued Liabilities	269,284,395	167,241,782	30,740,874	42,544,556
Other Creditors	109,733,225	96,042,946	30,351,244	27,927,094
Income Tax Payable	24,766,103	9,463,905	–	–
	403,783,724	272,748,632	61,092,118	70,471,650

NOTES TO THE FINANCIAL STATEMENTS

22. Subordinated Debt

As at 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Unsecured Subordinated Debt	46,599,805	200,000,000	97,024,473	200,000,000
	46,599,805	200,000,000	97,024,473	200,000,000

The details of the above instrument are as follows:

Issue Date	Purpose/Rationale	Invested Party	Relationship	Face Value Rs.	Profit Rate	Profit Payable Frequency	Repayment Terms	Maturity Date
28 September 2018	To Meet the Risk-Based Capital Requirements	Amāna Takaful (Maldives) PLC	Related Company	75,614,945	6% on USD	Quarterly	5 Years	28 September 2023
31 December 2015	To Meet the Risk-Based Capital Requirements	Amāna Candor Sharia'h Balance Fund	Investor	15,000,000	11% on LKR	Annually	5 Years	31 December 2020

23. Finance Lease Liability

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Opening Balance	8,527,568	15,571,180	2,145,968	7,275,100
Lease Obtained	–	–	–	–
Repayments	(4,060,448)	(7,043,612)	(2,145,968)	(5,129,132)
	4,467,120	8,527,568	–	2,145,968
Unamortised Profit	(617,297)	(2,148,121)	–	(901,363)
Net Liability	3,849,823	6,379,446	–	1,244,605

23.1 Maturity Analysis

Year Ended 31 December	1 Year or Less Rs.	2-5 Years Rs.	Total Rs.
Gross Liability	1,914,480	2,552,640	4,467,120
Unamortised Profits	(410,518)	(206,779)	(617,297)
Net Liability	1,503,962	2,345,861	3,849,823

NOTES TO THE FINANCIAL STATEMENTS

24. Short-Term Borrowings – Wakala Facility

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Opening Balance	187,698,284	87,657,018	187,698,284	87,657,018
Obtained During the Year	587,247,498	260,000,000	587,247,498	260,000,000
Repayments	(574,168,506)	(159,958,734)	(574,168,506)	(159,958,734)
At the End of the Year	200,777,276	187,698,284	200,777,276	187,698,284

24.1 Short-term Wakala Facility represents the short-term loan facility obtained from The Bank of Ceylon ("BOC") to finance large claims. The total loan facility is obtained on an instalment basis when claims are settled. Proceeds from reinsurance will be used to pay the BOC facility.

24.2 The Company's shares in Amāna Takaful Life PLC (Subsidiary), valued at Rs. 411,500,000/- have been pledged as security for this facility.

25. Gross Written Contribution

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
General Takaful (Insurance)				
Motor	1,151,749,973	974,887,675	1,100,224,880	930,150,452
Fire	509,372,045	468,184,901	203,715,986	170,321,257
Marine	275,647,717	174,258,235	151,199,448	134,033,797
Medical	477,660,719	255,280,089	303,896,054	255,280,089
Miscellaneous	971,521,651	975,850,592	243,352,937	302,245,439
	3,385,952,105	2,848,461,492	2,002,389,304	1,792,031,034
Long-Term Policies				
Unit Linked	712,282,522	651,384,097	–	–
Family Takaful	79,332,430	101,059,718	–	–
Mortgage and Group Family Takaful	36,332,555	39,729,789	–	–
	827,947,507	792,173,604	–	–
	4,213,899,613	3,640,635,096	2,002,389,304	1,792,031,034

NOTES TO THE FINANCIAL STATEMENTS

26. Income from investments

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Investment Income	26.1	364,622,848	374,383,257	116,557,924	110,212,172
Fair Value Gain/(Loss) on Investment Properties		(5,495,000)	1,425,000	(4,425,000)	1,425,000
Net Realised Capital Gain or (Losses)		214,247	1,124,161	–	–
Unrealised Capital Gain or (Losses)		(55,692,225)	5,065,269	–	–
		303,649,871	381,997,687	112,132,924	111,637,172

26.1 Investment Income

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Dividend Income		16,419,715	11,235,600	22,684,989	10,610,250
Income from Fixed Term Deposits		287,946,329	306,316,648	68,913,647	78,207,786
Interest Income from Investment in Government Securities	26.2	60,173,019	56,831,009	24,959,287	21,394,136
Income from Unit Trust		83,781	–	–	–
		364,622,848	374,383,257	116,557,924	110,212,172

26.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

27. Other Income

Year Ended 31 December		Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Profit on Disposal of Property, Plant and Equipment		–	3,415,418	–	3,415,418
Sundry Income		44,945,215	17,942,509	15,018,183	7,206,546
Fund Management Fee Income		80,674,649	45,654,940	–	–
Rental Income		3,200,000	–	1,200,000	–
Salvage Income		4,887,416	1,106,800	4,887,416	1,106,800
Exchange Gain/(Loss)		10,096,511	2,374,963	9,868,648	2,374,963
		143,803,791	70,494,630	30,974,247	14,103,727

NOTES TO THE FINANCIAL STATEMENTS

28. Total Revenue

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Gross Written Contribution (Premium)	4,213,899,613	3,640,635,095	2,002,389,304	1,792,031,033
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(832,979,375)	(792,904,261)	(388,004,377)	(378,254,928)
Net Written Contribution (Premium)	3,380,920,237	2,847,730,835	1,614,384,927	1,413,776,105
Net Change in Reserve for Unearned Contribution (Premium)	(156,111,084)	(185,078,348)	(73,200,586)	(129,645,176)
Net Earned Contribution (Premium)	3,224,809,153	2,662,652,487	1,541,184,341	1,284,130,929
Income from Investments	303,649,871	381,997,687	112,132,924	111,637,172
Fair Value Gain from Investment Transferred	–	–	54,545,459	–
Fair Value Gains and Losses	39,439,117	338,249	–	–
Other Income	143,803,791	70,494,630	30,974,247	14,103,727
Total Revenue	3,711,701,392	3,115,483,053	1,738,836,970	1,409,871,829

29. Takaful (Insurance) Claims and Benefits (Net)

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
General Takaful (Insurance)				
Motor	573,138,759	553,198,012	570,402,406	550,701,515
Fire	187,136,181	176,604,298	177,111,901	138,269,661
Marine	70,762,379	48,480,643	63,551,378	38,049,819
Medical	395,726,708	169,525,111	201,679,705	169,525,111
Miscellaneous	456,940,609	392,648,012	83,187,789	29,583,739
	1,683,704,636	1,340,456,076	1,095,933,179	926,129,844
Retakaful (Reinsurance) Recoveries	(296,245,292)	(284,257,426)	(220,056,002)	(232,104,401)
General Insurance Claims and Benefits (Net)	1,387,459,344	1,056,198,650	875,877,178	694,025,443
Family Takaful (Long-Term Insurance)				
Claims Incurred	71,896,890	80,009,096	–	–
Surrenders	399,762,430	295,192,689	–	–
Policy Maturities	51,364,521	16,487,198	–	–
Interim Payments/Part Withdrawals	20,422,425	31,786,443	–	–
Long-Term Insurance Claims and Benefits	543,446,265	423,475,426	–	–
	1,930,905,608	1,479,674,077	875,877,178	694,025,443

NOTES TO THE FINANCIAL STATEMENTS

30. Other Operating and Administration Expenses

Year Ended 31 December	Notes	Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Staff Expenses	30.1	647,254,105	489,248,429	274,767,144	251,929,168
Administration and Establishment Expenses		634,286,575	609,312,566	293,714,062	232,589,896
Provision for Impairment for Investment in Subsidiary		–	–	49,500,000	–
Selling Expenses		72,936,706	56,456,952	57,082,420	42,498,031
Depreciation		28,094,510	30,752,626	19,250,659	24,332,695
		1,382,498,205	1,185,770,573	694,314,285	551,349,790

30.1. Staff Expenses

Year Ended 31 December		Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Wages, Salaries and Bonuses		457,288,816	334,219,907	193,649,796	172,925,821
Contribution to Defined Contribution Plans – EPF and ETF		84,715,377	53,229,075	50,108,977	41,307,385
Staff Welfare		63,663,603	67,706,808	15,264,078	18,744,933
Staff Training		16,984,566	11,404,443	8,783,109	4,929,881
Medical Claims		9,704,258	10,731,667	–	7,781,000
Gratuity		14,897,484	11,956,530	6,961,184	6,240,148
		647,254,105	489,248,429	274,767,144	251,929,168

31. Amortisation

Year Ended 31 December		Group		Company	
		2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Intangible Asset		6,524,847	5,369,888	1,967,678	1,550,306
		6,524,847	5,369,888	1,967,678	1,550,306

NOTES TO THE FINANCIAL STATEMENTS

32. The Profit from Operations for the Year is Stated after Charging/(Crediting) the Following:

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Directors' Emoluments – Executive	20,981,674	16,591,232	–	9,634,578
– Non-Executive	9,665,343	4,949,117	3,729,878	3,717,933
Auditors' Remuneration (Fees)				
– Audit	3,781,656	3,084,842	1,510,620	1,000,500
– Audit-Related Other	1,048,864	975,205	328,654	–
– Non-Audit	583,964	1,673,814	133,470	767,419
Depreciation	28,094,510	30,752,626	19,250,659	24,332,695
Advertisement Costs	36,599,440	85,896,999	20,745,154	59,585,434
Amortisation of Intangibles	8,087,347	5,369,888	1,967,678	1,550,306
Staff Cost	647,254,105	489,248,429	274,767,144	251,929,168
Profit on Disposal of Property, Plant and Equipment	398,305	3,415,418	–	3,415,418

33. Finance Cost

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Profit Mark up on Lease (Ijara) Facility	780,942	2,676,761	33,906	1,514,632
Finance Cost on Subordinated Debt	7,570,117	22,000,000	7,570,117	22,000,000
Profit Mark up on Wakala Facility	26,767,117	7,196,237	26,767,117	7,196,237
	35,118,177	31,872,998	34,371,140	30,710,869

NOTES TO THE FINANCIAL STATEMENTS

34. Income Tax Expense

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Current Income Tax	(39,478,791)	(14,757,425)	–	(13,214,894)
Fair Value Gain/(loss) of Investment Property	1,239,000	(142,500)	1,239,000	(142,500)
WHT Adjustment	–	(1,002,363)	–	–
Over/(Under) Provision from Previous Years	–	–	–	–
	(38,239,791)	(15,902,288)	1,239,000	(13,357,394)
Deferred Tax	9,227,994	717,366	(1,483,089)	13,214,894
	9,227,994	717,366	(1,483,089)	13,214,894
	(29,011,797)	(14,899,924)	(244,089)	(142,500)
Recognised in Profit or Loss	(29,011,797)	(14,899,924)	(244,089)	(142,500)
Recognised in Other Comprehensive Income	–	–	–	–
	(29,011,797)	(14,899,924)	(244,089)	(142,500)

34.1 Tax Reconciliation Statement

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Accounting Profit Before Tax	133,203,743	169,904,142	23,985,529	62,769,725
Aggregate Disallowed Items	192,061,903	108,921,682	27,923,384	47,228,016
Aggregate Allowable Expenses	(47,762,403)	(153,832,341)	(37,597,612)	(36,191,033)
Total Statutory Income/(Losses)	277,503,243	124,993,483	14,311,301	73,806,708
Losses Incurred During the Year	–	–	–	–
Utilisation of Tax Losses	(14,311,301)	(26,610,660)	(14,311,301)	(26,610,660)
Taxable Income	263,191,942	98,382,823	–	47,196,048
Tax @ 15%/28%	39,478,791	14,757,425	–	13,214,894
Income Tax Expense for the Year	39,478,791	14,757,425	–	13,214,894

NOTES TO THE FINANCIAL STATEMENTS

34.1.1 Amāna Takaful (Maldives) PLC is liable for income tax at 15% (2017 – 15%) on the taxable income for the Year of Assessment 2018, and the income tax expense recognised during the year is from Amāna Takaful (Maldives) PLC.

34.1.2 Amāna Takaful PLC is liable for income tax at 28% (2017 – 28%) on the taxable income for the Year of Assessment 2018.

34.1.3 Amāna Global Limited is liable for income tax at 15% (2017 – 15%) on the taxable income for the Year of Assessment 2018.

34.1.4 Amāna Takaful Life PLC is liable for income tax at 28% (2017 – 28%) on the taxable income for the Year of Assessment 2018.

34.1.5 Income Tax Assessment Relating to Years of Assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15 and 2015/16

The Department of Inland Revenue has raised an assessment for the following years of assessment:

- Year of Assessment 2010/11: assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12: an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation.
- Year of Assessment 2012/13: assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2013/14: assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2014/15: assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2015/16: assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15 and 2015/16. Therefore, the above assessments have no rationale or basis in law.

NOTES TO THE FINANCIAL STATEMENTS

34.2 Deferred Tax Asset

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Tax Losses Brought Forward	1,746,214,571	1,764,928,432	1,096,288,898	1,123,813,741
Tax Losses of Which Deferred Tax Asset was not Recognised	(1,153,671,257)	(1,111,131,757)	(752,153,195)	(819,091,947)
Available-for-Sale Financial Assets	2,703,514	43,782,586	–	–
Defined Benefit Obligation	59,799,869	38,215,718	35,028,091	28,996,165
	655,046,697	735,794,979	379,163,794	333,717,959
Deferred Tax Assets @ 15% and 28%	98,257,005	110,369,247	106,165,862	93,441,029
Recognised Deferred Tax Asset	98,257,005	110,369,247	106,165,862	93,441,029
Deferred Tax Liability				
Property, Plant and Equipment	(43,689,824)	(31,792,913)	(33,021,528)	(31,446,478)
Available-for-Sale Financial Assets	–	(2,255,462)	–	–
Revaluation Gain	37,009,989	–	415,683	–
Fair Value Gain/(Loss) of Investment Property	4,425,000	(1,425,000)	4,425,000	(1,425,000)
Total Taxable Temporary Differences	(2,254,835)	(35,473,375)	(28,180,845)	(32,871,478)
Deferred Tax Liability @ 15% and 28%	(4,001,735)	(5,321,006)	(7,890,636)	(9,204,014)
Deferred Income Tax Charge/(Reversal)	9,227,994	–	(1,483,089)	13,214,894
Net Deferred Tax Asset	103,483,264	105,048,241	96,792,137	97,451,909

34.3 Movement in Temporary Differences During the Year

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Balance at 1 January	105,048,241	104,330,875	97,451,909	97,594,408
Recognised in Total Comprehensive Income				
Tax Losses Brought Forward	(5,187,496)	4,017,905	3,623,486	1,335,397
Defined Benefit Obligation	17,935,845	1,413,695	9,807,865	1,399,698
Fair Value Gain/(Loss) of Investment Property	1,239,000	(142,500)	1,239,000	(142,500)
Property, Plant and Equipment	(18,113,973)	(1,006,439)	(15,330,124)	(2,735,095)
Available-for-Sale Financial Assets	2,561,646	(3,565,295)	–	–
	(1,564,978)	717,366	(659,772)	(142,500)
Balance as at 31 December	103,483,264	105,048,241	96,792,137	97,451,909

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Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant Management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies.

However, Amāna Takaful PLC has recorded a deferred tax asset of Rs. 96,792,137/- (2017 – Rs. 97,451,909/-) as recognised up to the extent that it will be recognised within foreseeable future.

Amāna Takaful Life PLC has not recognised a deferred tax asset on tax losses amounting to Rs. 311,490,776/- (2017 – Rs. 252,665,084/-), since it is not probable that future taxable profits will be available within a foreseeable future.

35. Earnings Per Share

35.1 Basic earnings per share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

35.2 The following reflect the income and share data used in the basic earnings per share computations:

Amount used as the Numerator:

	Group		Company	
For the Year Ended 31 December	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Net Profit Attributable to Ordinary Shareholders	59,986,522	126,501,146	23,741,440	62,578,787
Number of Ordinary Shares used as Denominator:				
	Number	Number	Number	Number
Weighted Average Number of Ordinary Shares in Issue	180,000,130	1,800,001,296	180,000,130	1,800,001,296
Earnings Per Share (Rs.)	0.33	0.07	0.13	0.03

35.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, diluted earning per share is same as basic earnings per share shown above.

35.4 Share consolidation impact if reflected in 2017, earnings per share for 2017 would be Rs. 0.70 for the Group and for the Company Rs. 0.33.

NOTES TO THE FINANCIAL STATEMENTS

36. Related Party Disclosures

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosures”. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment-related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

(A) Transactions with the Parent, Subsidiaries and Fellow Subsidiaries

Group

Relationship	Nature of Transaction	2018 Rs.	2017 Rs.
Ultimate Parent	Takaful Premium	–	743,007
	Takaful Premium Receivable	–	–
	Claims Paid	–	–
Parent	Investment in Equity	–	–
	Takaful Premium Receivable	–	12,437
	Reimbursement Cost	–	–
	Current Account Settlements	–	–
	Investment Placed	–	–
	Investment Income Earned	–	–
Other Related Companies	Takaful Premium	–	43,620,173
	Claim Paid	–	10,850,356
	Takaful Premium Receivable	–	10,047,957
	Fund Management Fees	–	3,156,988
	Investment Guarantee	–	45,678,958

NOTES TO THE FINANCIAL STATEMENTS

Company

Relationship	Nature of Transaction	2018 Rs.	2017 Rs.
Ultimate Parent	Takaful Premium	–	743,007
	Takaful Premium Receivable	–	–
	Claims Paid	–	–
Parent	Investment in Equity	–	–
	Claims Paid	–	–
	Takaful Premium	–	201,600
	Reimbursement Cost	–	–
	Current Account Settlements	–	–
Other Related Companies	Takaful Premium	–	43,620,173
	Claim Paid	–	10,850,356
	Takaful Premium Receivable	–	10,047,957
	Fund Management Fees	–	2,056,988
Subsidiaries	Takaful Premium	14,197,616	1,868,728
	Claims Paid	2,702,471	229,434
	Takaful Premium Receivable	–	64,101
	Shared Cost	162,866,734	122,199,444
	Support Service Fee	8,400,000	8,400,000
	Shared Cost Settlement	168,389,501	87,085,004
	Current Account Balance	5,648,197	16,497,664
	Dividend	22,684,989	10,500,000
	Subordinated Debt	82,475,918	–
	Share Transfer	54,545,459	–

The Parent Company has diluted the controlling ownership of the Company in 2017. Accordingly from 2017, there is no parent or ultimate parent for the Company.

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(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as Key Management Personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Group.

The Group carries out transactions with KMPs and their close family members in the ordinary course of business on an arm's length basis at commercial rates:

Year Ended 31 December	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Salary and Other Short-Term Benefits	55,686,716	46,247,443	20,185,228	15,054,983
Contributions Made by the Company to Provident Fund and Trust Fund	2,827,251	2,563,950	1,858,403	1,677,713
Termination Benefits	–	3,120,000	–	3,120,000
Non-Cash Benefits	2,160,000	3,960,000	1,020,000	2,820,000
	60,673,967	55,891,393	23,063,631	19,552,696

37. Principal Subsidiaries

The following disclosure highlights the Group composition and the proportion of ownership interests held by NCI:

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of Class Held by the Company (%)	Group Interest (%)	Non-Controlling Interest (%)
Sri Lanka					
Amāna Takaful Life PLC	Life Insurance	Ordinary	82.3	82.3	17.7
Amāna Global Limited	Asset/Investment Management	Ordinary	100	100	–
Maldives					
Amāna Takaful (Maldives) PLC	General Takaful Insurance	Ordinary	55	55	45

NOTES TO THE FINANCIAL STATEMENTS

37.1 Summary Financial Information for Subsidiaries that have Non-Controlling Interests that are Material to the Group

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations:

31 December 2018	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage	17.7%	45%
Total Assets	2,877,574,677	1,534,934,390
Total Liabilities	(2,361,848,629)	(841,374,325)
Net Assets	515,726,048	693,560,065
– Attributable to Non-Controlling Interest	91,283,511	312,102,029
– Attributable to Parent	424,442,537	381,458,036
Net Earned Contribution (Premium)	806,062,264	877,562,549
Profit for the Period	(62,976,499)	123,005,030
– Profit Attributable to Non-Controlling Interest	(11,146,840)	55,352,264
– Profit Attributable to Parent	(51,829,659)	67,652,767
Other Comprehensive Income, Net of Tax	2,489,475	100,968,005
Total Comprehensive Income for the Year	(60,487,024)	223,973,035
Cash Flows from/(used) in Operating Activities	(27,584)	264,984,443
Cash Flows from/(used) in Investment Activities	(279,322,404)	(216,678,219)
Cash Flows used in Financing Activities (Dividends Paid to NCI: Rs. 19,001,519/-)	(747,036)	(46,658,914)
Net Increase/(Decrease) in Cash and Cash Equivalents	(280,097,024)	1,647,311

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31 December 2017	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage	10%	45%
Total Assets	2,809,627,481	1,062,294,178
Total Liabilities	(2,235,839,592)	(557,939,492)
Net Assets	573,787,889	504,354,686
– Attributable to Non-Controlling Interest	57,978,789	225,390,457
– Attributable to Parent	516,409,700	278,964,229
Net Earned Contribution (Premium)	765,035,663	613,485,660
Profit for the Period	49,831,579	52,266,467
– Profit Attributable to Non-Controlling Interest	4,983,158	23,519,910
– Profit Attributable to Parent	44,848,421	28,746,557
Other Comprehensive Income, Net of Tax	439,150	2,220,094
Total Comprehensive Income for The Year	50,270,729	54,486,561
Cash Flows from Operating Activities	125,815,466	160,926,653
Cash Flows used in Investment Activities	97,174,633	(373,198,126)
Cash Flows used in Financing Activities	(1,162,129)	(19,513,138)
Net Increase in Cash and Cash Equivalents	221,827,970	(231,784,611)

38. Commitments and Contingencies

38.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

38.2 Contingencies

A contingent liability at a fair value of Rs. 273.5 Mn. has been determined from four claims where, Amāna Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 25 Mn., if any. The said claims are subject to legal proceeding. At the reporting date, the lawyers are of the view that these four cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, Management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

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39. Transfer Pricing

Provision on transfer pricing under Sections 104 and 104 (A) of the Inland Revenue Act No. 10 of 2006 covers the transactions with associated undertakings. Since compliance reporting will be enforced from the year of assessment 2015/16.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (associated undertaking). The Group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each company with associated undertaking is more than Rs. 50 Mn., the Group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

40. Events Occurring after the Reporting Date

There have been no event occurring after the reporting date that require adjustments to or disclosures in these Financial Statements.

41. Assets Pledged

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2018 Rs.	2017 Rs.	
Repurchase Agreements	Bank Guarantee For a Performance Bond	5,000,000	–	Financial Assets – Shareholders' Funds
Repurchase Agreements	Bank Guarantee For a Performance Bond	1,000,000	1,000,000	Financial Assets – Shareholders' Funds
Investment in Subsidiary	Short-Term Wakala Facility	411,500,000	450,000,000	Investment in Subsidiary

42. Comparative Information

Comparative information has been reclassified where necessary to conform with the current year presentation.

NOTES TO THE FINANCIAL STATEMENTS

43. Risk Management

43.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

43.2 Risk Management Framework

The Group's risk management framework forms an integral part of the Management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the risk management strategies. The Group's risk management framework categorised into four lines of defence are as follows:

1. Front Line People – Risk awareness of the people in the front line is the First Line of Defence.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at Senior Management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a subcommittee (Board Risk Committee) to monitor closely the affairs of risk management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The financial instruments of the Group are exposed to the following risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

NOTES TO THE FINANCIAL STATEMENTS

43.3 Financial Risk

43.3.1 Capital Management

a. Objectives and Policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shari'ah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders, and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business.

The Group currently has, stated capital worth Rs. 1.86 Bn. which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shari'ah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all times at different funds. In meeting the objectives mentioned above, the capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance, and provide guidance in terms of future investments and movements of assets.

43.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise –

1. Premium Receivable
2. Reinsurance Receivable
3. Investments in Debt Securities

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The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All reinsurers are selected based on the ratings as required by IRC SL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The Executive Committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

Industry Analysis – 2018	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power, and Chemicals	Others	Total
Assets								
Financial Assets at Fair Value Through Profit or Loss								
Investments in Equity Securities	33,906,250	–	–	–	43,519,457	8,311,882	2,348,830	88,086,419
Investments in Equity Securities – Unit Linked	–	–	–	–	–	60,156,924	1,275,909	61,432,832
Available-for-Sale Financial Assets								
Investment in Equity Securities	28,956,551	–	–	–	–	–	–	28,956,551
Unit Trust	–	26,561,505	–	–	–	–	–	26,561,505
Unit Trust – Unit Linked	–	27,007,989	–	–	–	–	–	27,007,989
Unquoted	262,478,500	–	–	–	–	525,000	–	263,003,500
Loans and Receivables								
Repurchase Agreements	–	–	664,719,396	–	–	–	–	664,719,396
Repurchase Agreements – Unit Linked	–	–	20,056,658	–	–	–	–	20,056,658
Fixed Term Investments	1,750,329,688	–	–	–	–	–	–	1,750,329,688
Mudharaba Investments – Unit Linked	1,512,710,987	–	–	–	–	–	–	1,512,710,987
Commercial Paper	–	–	–	–	–	–	–	–
Advances to Company Officers	–	–	–	–	–	–	13,523,668	13,523,668
Total Credit Exposure	3,588,381,976	53,569,494	684,776,054	–	43,519,457	68,993,806	17,148,407	4,456,389,193

NOTES TO THE FINANCIAL STATEMENTS

Industry Analysis – 2017	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power, and Chemicals	Others	Total
Assets								
Financial Assets at Fair Value through Profit or Loss								
Investments in Equity Securities	–	–	–	–	38,123,076	17,402,662	2,980,619	58,506,357
Investments in Equity Securities – Unit Linked	–	–	–	–	–	107,622,840	2,030,898	109,653,738
Available-for-Sale Financial Assets								
Investment in Equity Securities	34,561,038	–	–	–	–	–	–	34,561,038
Unit Trust	–	44,931,416	–	–	–	–	–	44,931,416
Unit Trust – Unit Linked	–	25,158,906	–	–	–	–	–	25,158,906
Unquoted	219,541,078	–	–	–	–	525,000	–	220,066,078
Loans and Receivables								
Repurchase Agreements	–	–	714,764,891	–	–	–	–	714,764,891
Repurchase Agreements – Unit Linked	–	–	40,965,518	–	–	–	–	40,965,518
Murabaha Investments	250,930,016	–	–	–	–	–	–	250,930,016
Mudharaba Investments	1,147,670,227	–	–	–	–	–	–	1,147,670,227
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	–	–	–	–	1,350,900,391
Commercial Paper	–	–	–	–	–	101,000,000	140,580,148	241,580,148
Advances to Company Officers	–	–	–	–	–	–	14,912,404	14,912,404
Total Credit Exposure	3,003,602,750	70,090,322	755,730,410	–	38,123,076	226,550,503	160,504,068	4,254,601,128

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43.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2018 and 2017, is the carrying amounts of respective financial instruments.

Credit Exposure – 31 December 2018	Neither Past Due Nor Impaired	Past Due But Not Impaired	Individually Impaired	As at 31 December 2018
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investment in Equity Securities	88,086,419	–	–	88,086,419
Investment in Equity Securities – Unit Linked	61,432,832	–	–	61,432,832
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	28,956,551	–	–	28,956,551
Unit Trust	–	–	–	–
Unit Trust – Unit Linked	27,007,989	–	–	27,007,989
Investment In Equity Securities – Unquoted	263,003,500	–	–	263,003,500
Loans and Receivables				
Repurchase Agreements	664,719,396	–	–	664,719,396
Repurchase Agreements – Unit Linked	20,056,658	–	–	20,056,658
Fixed Term Investments	1,750,329,688	–	–	1,750,329,688
Commercial Paper	–	–	–	–
Mudharaba Investments – Unit Linked	1,512,710,987	–	–	1,512,710,987
Advance to Company Officers	13,523,668	–	–	13,523,668
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	437,579,148	–	–	437,579,148
Contribution (Premium) Receivables	711,244,729	–	–	711,244,729
Cash and Cash Equivalents	225,260,790	–	–	225,260,790
Total Credit Exposure	5,803,912,355	–	–	5,803,912,355

NOTES TO THE FINANCIAL STATEMENTS

Credit Exposure – 31 December 2017	Neither Past Due Nor Impaired	Past Due But Not Impaired	Individually Impaired	As at 31 December 2018
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investment in Equity Securities	58,506,357	–	–	58,506,357
Investment in Equity Securities – Unit Linked	109,653,738	–	–	109,653,738
Available-for-Sale Financial Assets				
Investment In Equity Securities – Quoted	34,561,038	–	–	34,561,038
Unit Trust	–	–	–	–
Unit Trust – Unit Linked	25,158,906	–	–	25,158,906
Investment In Equity Securities – Unquoted	220,066,078	–	–	220,066,078
Loans and Receivables				
Repurchase Agreements	714,764,891	–	–	714,764,891
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518
Murabaha Investments	250,930,016	–	–	250,930,016
Mudharaba Investments	1,147,670,227	–	–	1,147,670,227
Commercial Paper	185,080,148	56,500,000	–	241,580,148
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391
Advance to Company Officers	14,912,404	–	–	14,912,404
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	360,020,248	–	–	360,020,248
Contribution (Premium) Receivables	567,358,602	–	–	567,358,602
Cash and Cash Equivalents	276,503,979	–	–	276,503,979
Total Credit Exposure	5,357,052,541	56,500,000	–	5,413,552,541

The following table provided information regarding the credit risk exposure on investments of the Group as at 31 December 2018 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure
A+	43
A	21
AA-	18
AA	11
BB	7

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43.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

43.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

43.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amāna Takaful Equity Exposure (Group) – Quoted

Sector	2018		2017	
	Equity Exposure		Equity Exposure	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	987,000	1	3,290,000	4
Financial Services	62,862,801	54	34,561,038	37
Manufacturing	7,324,882	6	14,112,662	15
Plantation	1,106,670	1	1,003,440	1
Telecommunication	43,519,457	37	38,123,076	41
Trading	1,242,160	1	1,977,179	2
	117,042,970	100	93,067,394	100

Sector	2018		2017	
	Equity Exposure – Unit Linked		Equity Exposure – Unit Linked	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	15,406,950	25	24,077,097	22
Manufacturing	46,025,883	75	85,576,642	78
	61,432,832	100	109,653,738	100

NOTES TO THE FINANCIAL STATEMENTS

43.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

43.5 Insurance Risk

Being in the insurance industry, risks related to the insurance business i.e. insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. Mortality Risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity Risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment Return Risk – risk of loss arising from actual returns being different than expected
4. Expense Risk – risk of loss arising from expense experience being different than expected
5. Policyholder Decision Risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policyholders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

43.5.1 Underwriting Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. **Exposure** – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are reinsured.
- iii. **Personnel** – The Group ensures that all underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the Management when taking crucial product-based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

NOTES TO THE FINANCIAL STATEMENTS

43.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e. a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance Indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

Gross Non-Life Insurance Outstanding Claims Provision for 2018

(All figures are in Rupees thousands unless otherwise stated)

Accident Year	Current Estimate of Cumulative Claims Incurred												
	1	2	3	4	5	6	7	8	9	10	11	12	13
2006	40,128	1,279	1,685	990	1,075	1,075	875	3,425	230	400	260	40	40
2007	33,798	635	920	2,000	1,950	1,850	2,850	1,858	1,120	–	130	40	
2008	67,667	676	1,335	1,160	1,010	910	1,010	1,120	1,750	135	125		
2009	88,220	30,634	2,652	3,052	2,057	1,715	1,160	950	205	272			
2010	74,251	1,692	3,875	3,675	3,085	1,280	1,715	460	460				
2011	75,499	1,205	2,250	2,207	1,620	828	305	305					
2012	93,994	1,453	836	457	680	360	320						
2013	143,757	2,867	727	1,124	679	535							
2014	69,559	4,918	1,698	405	(67)								
2015	90,061	4,796	3,494	171									
2016	165,411	11,146	1,510										
2017	123,612	17,739											
2018	319,189												

NOTES TO THE FINANCIAL STATEMENTS

Net Non-Life Insurance Outstanding Claims Provision for 2018

(All figures are in Rupees thousands unless otherwise stated)

Accident Year	Current Estimate of Cumulative Claims Incurred												
	1	2	3	4	5	6	7	8	9	10	11	12	13
2006	37,308	888	1,435	990	1,075	1,075	875	3,175	230	400	260	40	40
2007	25,281	635	920	2,000	1,950	1,850	2,850	1,858	1,750	–	130	40	
2008	42,264	676	1,335	1,160	1,010	910	1,170	1,120	1,750	135	125		
2009	37,615	907	2,652	3,052	2,057	1,715	1,160	950	205	164			
2010	71,809	1,692	3,875	3,675	3,085	1,280	1,715	460	460				
2011	73,280	1,205	2,250	2,207	1,620	828	305	305					
2012	92,052	4,037	1,309	547	704	384	320						
2013	82,908	2,679	725	1,124	633	535							
2014	46,756	3,378	1,583	387	(67)								
2015	70,892	2,018	2,014	171									
2016	109,037	7,701	1,524										
2017	66,599	7,326											
2018	75,829												

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation.

Table 1: Impact on Claim Liability to Changes in Key Variables

Variable	Change in Variable %	Central Estimate of Claim Liability (Incl CHE)	75% Claim Liability	Change in Ce Claim Liability (Incl CHE)	Change in 75% Claim Liability
Original	–	90,243	98,688	–	–
Claim Handling Expenses (CHE)	10	90,590	99,067	(347)	(380)
Claim Handling Expenses (CHE)	–10	89,896	98,308	347	380
Loss Development Factors (LDF)	10	94,855	102,443	(4,612)	(3,756)
Loss Development Factors (LDF)	–10	85,578	92,425	4,665	6,263

Table 2: Impact on Premium Liability to Changes in Key Variables

Variable	Change in Variable %	URR at 75% Confidence Level	Premium Liability (PL)	Change in Premium Liability
Original	–	632,843	632,843	–
Claim Handling Expenses (CHE)	+10	635,277	635,277	(2,434)
Claim Handling Expenses (CHE)	–10	630,409	630,409	2,434

NOTES TO THE FINANCIAL STATEMENTS

43.5.2.1 Claims Risk Amāna Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e., a significantly high surrender ratio in comparison to the premium, could drastically affect Company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

31 December 2018	Impact on Takaful Contract Liabilities				
	Change in Assumptions	Gross		Net	
	%	Rs.	%	Rs.	%
Mortality/Morbidity	+10	9,626.02	0.44	2,789	0.13
Mortality/Morbidity	-10	(10,516.19)	-0.48	-3,902	-0.18
Lapse and Surrender Rates	-10	1,967.64	0.09	1,674	0.08
Discount Rate	-1	3,636.92	0.16	2,626	0.12
Expenses	+10	2,815.68	0.13	2,751	0.13
Unit Fund Investment Return	-1	(730.75)	-0.03	-725	-0.03

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarised in the table below by measurement category:

	Takaful Contract Liabilities	
	Gross Rs.	Net Rs.
31 December 2017	2,102,859	2,070,397
Reserve Unwinding	(23,484)	(16,410)
Experience Variance	(10,337)	(9,406)
Change in Valuation Basis (Methodology)	–	–
Change in Valuation Basis (Assumptions)	6,756	6,749
New Business	34,215	27,680
Others	95,303	95,303
As at 31 December 2018	2,205,311	2,174,313

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully-emphasised in Key Performance Indicators of all staff levels.

NOTES TO THE FINANCIAL STATEMENTS

43.5.3 Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Group's exposure is hedged to maximum effect, whilst periodically monitoring the financial status and condition of the same. The Group employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure, whilst engages in facilitative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Fire	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Motor	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	27 April 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	04 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Liability	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	27 April 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Miscellaneous	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
Engineering	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018

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Amāna Takaful Life PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Name of The Regulatory Authority which Approval Obtained to Transact Reinsurance Business	License Validity Period of the Reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
Long-term Takaful Plans (Endowments)	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly renewal unlimited	AA- (Stable)	AA- (Stable)	S & P	23 May 2018
	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly renewal unlimited	A+ (Stable)	A+ (Stable)	S & P	10 December 2018
All Family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly renewal unlimited	A+ (Stable)	A+ (Stable)	S & P	10 December 2018
Unit-link Takaful	Hanover Re	Bahrain	Negara Malaysia (BNM)	Yearly renewal unlimited	A+ (Stable)	A+ (Stable)	S & P	10 December 2018
Group family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly renewal unlimited	AA- (Stable)	AA- (Stable)	S & P	23 May 2018
	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly renewal unlimited	AA- (Stable)	AA- (Stable)	S & P	10 December 2018
Credit and Mortgage Takaful	2. Score Re	Malaysia	Labuan FSA	Yearly renewal unlimited	AA- (Stable)	AA- (Stable)	S & P	10 December 2018

Amāna Takaful (Maldives) PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	28 February 2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018
Fire	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	28 February 2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018

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Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Motor	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	27 April 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
Liability	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 18
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	27 April 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
Miscellaneous	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	General Insurance Corporation of India	India	A- (Excellent)	A-	A M Best	28 February 2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
Engineering	Swiss Retakaful	Switzerland	AA-	AA-	S & P	24 October 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A- (Excellent)	A M Best	29 November 2018
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Cayman Island	A-	A-	A M Best	4 May 2018
	Asian Re	Thailand	BBB-	B+	A M Best	30 April 2018

43.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an investment policy under the purview of the Investment Committee which is followed in accordance with the IRCSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

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Maturity profile of Group investments based on remaining maturity is given below:

2018 – Maturity Analysis	Within One Year	1-3 Years	3-5 Years	More than 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	72,306,012	–	–	–	44,736,958	117,042,970
Unit Trust	26,561,505	–	–	–	–	26,561,505
Unquoted Investments	–	–	–	–	263,003,500	263,003,500
Repurchase Agreements	664,719,396	–	–	–	–	664,719,396
Fixed Term Investments	1,750,329,688	–	–	–	–	1,750,329,688
Other Assets – Other Receivables	135,773,809	–	–	–	–	135,773,809
Other Assets – Unit Linked	–	–	–	–	–	–
Advances to Company Officers	13,523,668	–	–	–	–	13,523,668
Contribution (Premium) Receivables	711,244,729	–	–	–	–	711,244,729
Total	3,256,178,907	73,013,699	20,979,452	–	307,740,458	3,682,199,266
Liabilities						
Other Liabilities – Unit Linked	51,285,609	–	–	–	–	51,285,609
Other Liabilities	653,704,232	–	–	–	–	653,704,232
Short-Term Borrowings	200,777,276	–	–	–	–	200,777,276
Subordinated Debt	–	–	46,599,805	–	–	46,599,805
Finance Lease Liability	1,503,962	2,345,861	–	–	–	3,849,823
Total	907,271,079	2,345,861	46,599,805	–	–	956,216,744

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2017 – Maturity Analysis	Within One Year	1-3 Years	3-5 Years	More Than 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	48,330,436	–	–	–	44,736,958	93,067,394
Unit Trust	44,931,416	–	–	–	–	44,931,416
Unquoted Investments	–	–	–	220,066,078	–	220,066,078
Repurchase Agreements	714,764,891	–	–	–	–	714,764,891
Murabaha Investments	132,650,115	–	–	24,286,750	–	250,930,016
Mudharaba Investments	1,147,670,227	73,013,699	20,979,452	–	–	1,147,670,227
Commercial Paper	241,580,148	–	–	–	–	241,580,148
Other Assets – Other Receivables	45,133,114	–	–	–	–	45,133,114
Other Assets – Unit Linked	–	–	–	–	–	–
Advances to Company Officers	14,912,404	–	–	–	–	14,912,404
Contribution (Premium) Receivables	567,358,602	–	–	–	–	567,358,602
Total	2,957,331,354	73,013,699	20,979,452	244,352,828	44,736,958	3,340,414,290
Liabilities						
Other Liabilities – Unit Linked	51,844,853	–	–	–	–	51,844,853
Other Liabilities	548,767,363	–	–	–	–	548,767,363
Short-Term Borrowings	187,698,284	–	–	–	–	187,698,284
Subordinated Debt	–	–	–	200,000,000	–	200,000,000
Finance Lease Liability	2,529,624	3,849,823	–	–	–	6,379,446
Total	790,840,123	3,849,823	–	200,000,000	–	994,689,945

NOTES TO THE FINANCIAL STATEMENTS

44. Maturity Profile of Assets and Liabilities

Group

Year Ended 31 December	2018			2017		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	217,105,631	–	217,105,631	269,133,976	–	269,133,976
Cash and Bank Balances – Unit Linked	8,155,160	–	8,155,160	7,370,003	–	7,370,003
Financial Assets	2,672,163,869	163,016,859	2,835,180,727	2,344,839,638	383,082,937	2,727,922,575
Financial Assets – Unit Linked	1,621,208,465	–	1,621,208,465	1,526,678,553	–	1,526,678,553
Retakaful (Reinsurance) Receivables	437,579,148	–	437,579,148	360,020,248	–	360,020,248
Contribution (Premium) Receivables	711,244,729	–	711,244,729	567,358,602	–	567,358,602
Investment Property	–	220,429,000	220,429,000	–	79,925,000	79,925,000
Property, Plant and Equipment	–	96,024,241	96,024,241	–	76,724,518	76,724,518
Intangible Assets	–	86,942,914	86,942,914	–	31,812,197	31,812,197
Deferred Tax Assets	–	103,483,264	103,483,264	–	105,048,241	105,048,241
Other Assets	252,737,848	–	252,737,848	186,501,020	–	186,501,020
Other Assets – Unit Linked	–	–	–	–	–	–
Total Assets	5,920,194,849	669,896,277	6,590,091,127	5,261,902,041	676,592,893	5,938,494,934
Liabilities						
Bank Overdrafts	–	–	–	37,426	–	37,426
Short-Term Borrowings	200,777,276	–	200,777,276	187,698,284	–	187,698,284
Insurance Contract Liabilities – Non-Life	1,394,786,725	–	1,394,786,725	1,015,130,229	–	1,015,130,229
Insurance Contract Liabilities – Family Takaful Fund	–	534,967,670	534,967,470	–	580,710,123	580,710,123
Insurance Contract Liabilities – Family Takaful Unit Linked	–	1,660,124,030	1,660,124,030	–	1,525,135,501	1,525,135,501
Employee Benefits	–	66,878,749	66,878,749	–	50,016,182	50,016,182
Subordinated Debt	–	46,599,805	46,599,805	–	200,000,000	200,000,000
Finance Lease Liability	1,503,962	2,345,861	3,849,823	2,529,624	3,849,823	6,379,447
Other Liabilities – Unit Linked	51,285,609	–	51,285,609	51,844,853	–	51,844,853
Other Liabilities	653,704,232	–	653,704,232	548,767,363	–	548,767,363
Total Liabilities	2,302,057,804	2,310,915,914	4,612,973,718	1,806,007,777	2,359,711,629	4,165,719,406
Net Balance	3,618,137,046	(1,641,019,637)	1,977,117,408	3,455,894,264	(1,683,118,736)	1,772,775,528

NOTES TO THE FINANCIAL STATEMENTS

Company

Year Ended 31 December	2018			2017		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	94,692,309	–	94,692,309	110,981,837	–	110,981,837
Cash and Bank Balances – Unit Linked	–	–	–	–	–	–
Financial Assets	836,967,607	525,000	837,492,607	871,751,119	525,000	872,276,119
Retakaful (Reinsurance) Receivables	410,365,133	–	410,365,133	256,610,926	–	256,610,926
Contribution (Premium) Receivables	529,532,922	–	529,532,922	489,748,895	–	489,748,895
Investments in Subsidiaries	–	1,052,867,811	1,052,867,811	–	1,074,322,352	1,074,322,352
Investment Property	–	75,500,000	75,500,000	–	79,925,000	79,925,000
Property, Plant and Equipment	–	63,757,277	63,757,277	–	53,168,306	53,168,306
Intangible Assets	–	31,025,948	31,025,948	–	6,665,391	6,665,391
Deferred Tax Assets	–	96,792,137	96,792,137	–	97,451,909	97,451,909
Other Assets	135,396,673	–	135,396,673	162,684,646	–	162,684,646
Total Assets	2,006,954,645	1,320,468,173	3,327,422,817	1,891,777,423	1,312,057,958	3,203,835,381
Liabilities						
Bank Overdrafts	–	–	–	37,426	–	37,426
Short-Term Borrowings	200,777,276	–	200,777,276	187,698,284	–	187,698,284
Insurance Contract Liabilities – Non-Life	972,644,129	–	972,644,129	700,319,999	–	700,319,999
Employee Benefits	–	35,028,091	35,028,091	–	28,996,165	28,996,165
Subordinated Debt	–	97,024,473	97,024,473	–	200,000,000	200,000,000
Finance Lease Liability	–	–	–	871,223	373,381	1,244,605
Other Liabilities	183,116,946	–	183,116,946	266,963,102	–	266,963,102
Total Liabilities	1,356,538,351	132,052,564	1,488,590,915	1,155,890,034	229,369,546	1,385,259,581
Net Balance	650,416,293	1,188,415,609	1,838,831,902	735,887,389	1,082,688,411	1,818,575,800

Annexes

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GROUP VALUE ADDED STATEMENT

	2018 Rs. Mn.	2017 Rs. Mn.
Net Earned Contribution (Premium)	3,225	2,663
Investment and Other Income	492	453
Net Claims and Benefits	(1,931)	(1,480)
Cost of External Services	(940)	(905)
Total Value Added	846	731
To employees as Salaries and Other Benefits	647	489
To the Government as Taxes	29	15
Increase in Family Takaful (Long-Term Insurance) Fund	37	41
Retained with the Business	–	–
– depreciation	28	31
– in reserves	104	155
Total Value Added	846	731

SHARE INFORMATION

1. Analysis of the Distribution of Shareholders as at 31 December 2018

Shareholding	Resident			Non-Resident			Total	
	Number of Shareholders	Number of Shares	Percentage	Number of Shareholders	Number of Shares	Percentage	Number of Shareholders	Number of Shares
1 – 1,000	4,434	1,098,067	0.61	13	4,425	0.00	4,447	1,102,492
1,001 – 10,000	1,112	3,693,596	2.05	6	38,889	0.02	1,118	3,732,485
10,001 – 100,000	285	8,383,212	4.66	3	56,500	0.03	288	8,439,712
100,001 – 1,000,000	33	7,447,404	4.14	1	190,184	0.11	34	7,637,588
Over 1,000,000	10	159,087,853	88.38	0	0	–	10	159,087,853
	5,874	179,710,132	99.84	23	289,998	0.16	5,897	180,000,130

2. Public Holding

The percentage of shares held by the public as at 31 December 2018 was 81.45% (31 December 2017 – 23.01%), where the number of shareholders was 5,891 (31 December 2017 – 6,434)

3. Top 20 Shareholders as at 31 December 2018

	2018		2017	
	Number of Shares	Percentage	Number of Shares	Percentage
Sattar Kassim	30,855,752	17.14	102,731,591	5.71
Shafik Kassim	30,468,567	16.93	123,859,739	6.88
Amāna Bank PLC	27,159,633	15.09	274,614,686	15.26
Osman Kassim and K Kassim	21,399,097	11.89	127,174,307	7.07
ATL Investment Holdings Limited	13,889,678	7.72	756,374,596	42.02
Osman Kassim	11,900,927	6.61	–	0.00
Expolanka Holdings PLC	7,909,623	4.39	79,096,234	4.39
Seylan Bank PLC/Dr. Thirugnanasambandar Senthilvel	7,778,961	4.32	36,349,546	2.02
Sampath Bank PLC/Dr. T Senthilvel	4,864,313	2.70	48,643,135	2.70
Falcon Trading (Pvt) Ltd.	2,861,302	1.59	23,686,801	1.32
Mohamed Haji Omar	551,513	0.31	5,515,137	0.31
Pattini Deva Asoka Swarnakanthi Beruwalage	422,684	0.23	4,226,846	0.23
Seylan Bank PLC/Jayantha Dewage	414,308	0.23	4,143,082	0.23
Joseph Rohan Victoria	335,209	0.19	3,352,094	0.19
Mohamed Kalif Rahim	333,148	0.19	35,001	0.00
Mujahira Mohamed Fazeel and M F Mohamed Fazeel	326,700	0.18	3,267,000	0.18
Farook Kassim	325,000	0.18	–	0.00
Sithambaram Pillai Jayakumar and P Meena	300,000	0.17	3,000,000	0.17
Ravindra Earl Rambukwella	290,953	0.16	12,000	0.00
Nabeela Haroon	270,000	0.15	2,700,000	0.15
	162,657,368	90.37	1,598,781,795	88.82
Others	17,342,762	9.63	201,219,501	11.18
Total	180,000,130	100.00	1,800,001,296	100.00

SHARE INFORMATION

4. Investor Ratios

	Group		Company	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Earnings/(Loss) per Share – (Note 35.4)	0.33	0.70	0.13	0.35
Dividend per Share	–	–	–	–
Net Assets per Share	9.02	8.26	10.22	10.09

5. Market Value of Shares

	Group	
	2018 Rs.	2017 Rs.
Highest Value	9.40	1.30
Lowest Value	0.60	0.60
Year End Value	6.80	0.80

TEN YEAR SUMMARY

Group

Statement of Income for the Year Ended 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Gross Written Contribution (Premium)	4,213,900	3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979	1,173,348	1,160,895
Net Earned Contribution (Premium)	3,224,809	2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696	945,650	817,128
Income from Investments and Other Income	486,893	452,831	373,319	240,612	302,752	184,024	204,744	80,866	69,896	47,732
Net Claims Incurred	(1,930,906)	(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)	(517,552)	(476,266)
Net Commission Incurred	(260,413)	(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)	(20,691)	(34,036)
Expenses	1,424,141	(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)	(437,392)	(345,744)
Increase in Family Takaful (Long-Term Insurance) Fund	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)
Profit/(Loss) Before Taxation	133,204	169,904	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)	(35,372)	(52,005)
Income Tax Expenses	29,012	(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)	–	–
Net Profit/(Loss) for the year	104,192	155,004	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)	(35,372)	(52,005)
Basic Earnings/(Loss) per Share (Rs.)	0.33	0.08	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)	(0.05)	(0.10)

General Insurance Business

Statement of Income for the Year Ended 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Gross Written Contribution (Premium)	3,385,952	2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082	933,192	953,798
Net Earned Contribution (Premium)	2,418,747	1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842	713,535	614,051
Income from Investments and Other Income	275,668	183,763	150,530	110,409	165,763	118,458	170,769	71,615	46,610	31,683
Net Claims Incurred	(1,387,459)	(1,056,199)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)	(446,969)	(406,636)
Net Commission Incurred	(154,588)	(105,158)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)	(637)	(15,962)
Expenses	(956,187)	(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)	(347,911)	(275,141)
Profit/(Loss) Before Taxation	196,181	119,312	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)	(35,372)	(52,005)

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Income for the Year Ended	31.12.2018 Rs. '000	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000
Gross Written Contribution (Premium)	827,948	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156	207,097
Net Earned Contribution (Premium)	806,465	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115	203,077
Income from Investments and Other Income	211,224	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286	16,049
Net Claims Incurred	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)
Net Commission Incurred	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)
Expenses	(467,954)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)
Increase in Family Takaful (Long-Term Insurance) Fund	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)
Profit/(Loss) Before Taxation	(62,976)	50,592	35,691	18,064	–	(6,945)	–	–	–	–

TEN YEAR SUMMARY

Group

Statement of Financial Position as at 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Assets										
Financial Assets	2,835,181	2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838	809,489	–
Investments	220,429	79,925	78,500	73,500	101,800	173,531	184,105	750,946	88,853	573,210
Financial Assets – Unit Linked	1,621,208	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–
Intangible Assets	86,943	31,812	36,658	24,703	24,159	29,002	29,199	40,365	25,681	28,692
Property, Plant and Equipment	96,024	76,726	101,870	123,231	127,570	96,720	83,385	39,654	49,610	56,534
Other Assets	1,722,150	1,485,573	1,450,105	937,383	1,000,999	916,957	532,335	578,647	525,610	568,858
Other Assets – Unit Linked	8,155	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–
Total Assets	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294
Liabilities										
Insurance Provision – Non-life (General Takaful Fund)	1,394,787	1,015,130	917,870	742,618	625,154	698,682	597,736	454,936	374,619	346,430
Insurance Provision – Long-Term (Family Takaful Fund)	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186
Insurance Provision – Long-Term (Family Takaful Fund) – Unit Linked	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–
Subordinated Debt	46,600	–	–	–	–	–	–	–	–	–
Other Liabilities	925,210	992,898	845,154	687,939	443,988	329,820	433,522	550,861	543,217	357,060
Other Liabilities – Unit Linked	51,286	51,845	50,316	39,437	20,116	9,042	2,985	2,176	–	–
Total Liabilities	4,612,974	4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658	1,330,977	1,038,676
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,860,001	1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001	500,000	500,000
Other Reserves	140,956	83,090	85,869	80,105	65,949	30,128	30,140	14,711	17,505	20,648
Revenue Reserves	(377,686)	(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)	(367,112)	(334,280)
	1,623,271	–	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971	150,393	186,368
Minority Interest	353,846	282,755	261,913	205,894	176,689	154,951	142,343	101,889	17,873	2,250
Total Equity	1,977,117	1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861	168,266	188,618
Total Equity and Liabilities	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294

TEN YEAR SUMMARY

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Financial Position as at 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Assets										
Financial Assets	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414	–
Investments	144,929	–	–	–	43,683	71,908	73,463	161,666	50,750	327,066
Financial Assets – Unit Linked	1,621,208	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–
Intangible Assets	20,955	22,250	23,549	18,408	–	–	–	–	–	21,977
Property, Plant and Equipment	28,704	21,165	17,467	14,932	–	–	–	–	–	1,744
Other Assets	178,459	191,588	102,661	142,505	64,612	37,992	43,936	27,420	10,913	18,400
Other Assets – Unit Linked	8,155	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–
Total Assets	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187
Liabilities										
Family Takaful Fund Balance (Insurance Provision – Long-Term)	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186
Family Takaful Fund (Insurance Provision – Long-Term) – Unit Linked	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–
Subordinated Debt	32,051	–	–	–	–	–	–	–	–	–
Other Liabilities	83,420	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936	34,001
Other Liabilities – Unit Linked	51,286	51,845	50,316	39,437	20,116	9,042	3,485	47,705	–	–
Total Liabilities	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077	369,187
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	500,000	–	–	–	–	–	–
Other Reserves	3,431	(1,545)	(2,669)	2,169	–	–	–	–	–	–
Revenue Reserves	12,295	75,333	26,186	13,424	–	–	–	–	–	–
Total Equity	515,726	573,788	523,517	515,594	–	–	–	–	–	–
Total Equity and Liabilities	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187

GEOGRAPHIC LOCATIONS

Head Office

No. 660-1/1, Galle Road,
Colombo – 03
+94 11 750 1000

Akkaraipattu

Main Street,
Akkaraipattu – 02
+94 67 750 1100

Akurana

No. 207/B, Matale Road,
Akurana
+94 81 750 1150

Anuradhapura

No. 521/22, Maithripala
Senanayaka Mawatha,
Anuradhapura
+94 25 750 1103

Batticaloa

No. 32, Bar Road,
Batticaloa
+94 65 750 1100

Beruwala

No. 201 B-2/1,
1st Floor, Galle Road,
Beruwala
+94 34 750 1138

Dehiwala

No. 142, Galle Road,
Dehiwala
+94 11 750 1275

Digana

No. 5, New Town, Rajawella,
Digana
+94 81 750 1225

Galle

No. 41, Sri Devamiththa Mawatha,
China Garden, Galle
+94 91 750 1127

Gampaha

No. 118/B1/01, Colombo Road,
Gampaha
+94 33 750 1125

Gampola

No. 134 A, 1st Floor, Kandy Road,
Gampola
+94 81 750 1104

Hambantota

No. 103, Thissa Road, Hambantota
+94 47 750 1100

Jaffna

No. 249/1, 1st Floor,
Power House Road, Jaffna
+94 21 750 1100

Kaduruwela

No. 379 A, Main Street,
Kaduruwela
+94 27 750 1120

Kalmunai

No. 32, Mallika Building,
Main Street,
Kalmunai
+94 67 750 1116

Kalutara

No. 161, Main Street,
Kalutara
+94 34 750 1132

Kandy

No. 111-1/1, 2nd Floor
Kotugodella Veediya,
Kandy
+94 81 750 1130

Katugastota

No. 161/1, Madawala Road,
Katugastota
+94 81 750 1166

Kattankudy

No. 287/C, Main Street,
Kattankudy – 01
+94 65 750 1118

Kinniya

No. 124, Main Street,
Kinniya
+94 26 750 1115

Kurunegala

No. 7, South Circular Road,
Kurunegala
+94 37 750 1111

Mannar

Pallimunai, Mannar
+94 23 750 1200

Matale

No. 510, Main Street,
Matale
+94 66 750 1101

Matara

No. 36/1, 1st floor,
St. Thomas Mawatha,
Matara
+94 41 750 1132

Mawanella

No. 207, New Kandy Road,
Mawanella
+94 35 750 1107

Mutur

No. 253/A, Main Street,
Mutur
+94 26 750 1150

Negombo

No. 121/1/1, 1st Floor,
St. Joseph Street,
Negombo
+94 31 750 1121

Nugegoda Branch

No. 331/1/A, High Level Road,
Nugegoda
+94 11 750 1290

Pettah

Nos. 51 and 53,
Bankshall Street, Colombo – 11
+94 11 750 1212

Puttalam

No. 128, Mannar Road,
Puttalam
+94 32 750 1124



Ratnapura

No. 310-1/1, 1st Floor,
Main Road, Kudukalwatta,
Ratnapura
+94 45 750 1100

Thihariya

No. 122/1, Parakumbamahala,
Kandy Road, Thihariya,
Kalagedihena
+94 33 750 1100

Trincomalee

No. 71,
Thirunanasampanthar Street,
Trincomalee
+94 26 750 1100

Vavuniya – General

No. 9/60, 1st Cross Street,
Vavuniya
+94 24 750 1100

Vavuniya – Life

No. 37, 2nd Cross Street,
Vavuniya South
Vavuniya
+94 24 750 1104

Welimada

No. 17, Haputale Road, Welimada
+94 57 726 7300

GLOSSARY

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long-term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long-term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the Holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises Shari'ah Scholars or/ and well-versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/ Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 20th Annual General Meeting of Amāna Takaful PLC will be held on 30 April 2019 at 9.30am at the Committee Room A, Bandaranaike Memorial International Conference Hall (BMICH), Baudhaloka Mawatha, Colombo 07, for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31 December 2018 and the Report of the Auditors thereon.
2. Re-election of Directors by rotation in terms of Article 83 of the Articles of Association of the Company –
 - a. To re-elect Dr. A A M Haroon as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
 - b. To re-elect Mr R Gopinath as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
3. Re-election of Directors in terms of Section 211 of the Companies Act No. 07 of 2007 –
 - a. Re-elect Mr M H M Rafiq and the following resolution to be passed for this purpose, if thought fit:
IT IS HEREBY RESOLVED: To re-elect Mr M H M Rafiq who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr M H M Rafiq.
 - b. Re-elect Dato' Mohd Fadzli Yusof and the following resolution to be passed for this purpose, if thought fit:
IT IS HEREBY RESOLVED: To re-elect Dato' Mohd. Fadzli Yusof who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

4. To reappoint the retiring Auditors, M/s Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
Amāna Takaful PLC



Managers and Secretaries (Private) Ltd.

Secretaries

29 March 2019

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of Proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road, Colombo 3, not less than forty-eight hours prior to the time appointed for holding the meeting.

FORM OF PROXY

I/We the undersigned
 bearing NIC No., of

 being a member/members of Amāna Takaful PLC, hereby appoint
 of
being NIC No. or failing him

Mr Tyeab Akbarally	of Colombo or failing him
Mr Osman Kassim	of Colombo or failing him
Dato' Mohd Fadzli Yusof	of Malaysia or failing him
Dr. A A M Haroon	of Colombo or failing him
Mr M H M Rafiq	of Colombo or failing him
Mr A S M Muzzamil	of Colombo or failing him
Mr R Gopinath	of India or failing him
Mr M R M Nayeem	of Colombo or failing him
Mr M H S Kassim	of Colombo

as my/our proxy to represent me/us and to vote for me/us on my/our behalf at the Annual General Meeting to be held on 30 April 2019 at 9.30am and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2019.

.....
 Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC number and address of the proxy holder and of the shareholder appointing the proxy holder should be entered legibly in the Form of Proxy.
3. The duly completed Form of Proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road, Colombo 3, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed Form of Proxy and must be deposited at the Registered Office of the Company.

CORPORATE INFORMATION

Name of the Company

Amāna Takaful PLC

Legal Status

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7 December 1998. Registered under the Companies Act No. 07 of 2007 on 27 June 2007.

Company Registration Number

PQ 23

Tax-Payer Identification Number (TIN)

134007958

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27 November 2006. Stock Exchange Code for Amāna Takaful PLC shares is "ATL".

Directors

Tyeab Akbarally – Chairman
Osman Kassim
Dato' Mohd Fadzli Yusof
Dr. A A M Haroon
M H M Rafiq
A S M Muzzammil
Dr. I A Ismail (Resigned w.e.f. 30 September 2018)
R Gopinath
M R M Nayeem
M H Sattar Kassim

Shari'ah Advisory Council

Mufti M I M Rizwe – Chairman
Mufti Shafique Ahamed Jakhura – Member
Ash-Sheikh M Murshid – Secretary

Chief Executive Officer – Amāna Takaful PLC

M Fazal Ghaffoor

Chief Executive Officer – Amāna Takaful Life PLC

Gehan Shivantha Rajapakse

Registered Office

No. 660 – 1/1, Galle Road, Colombo 3, Sri Lanka

Subsidiaries

Amāna Takaful Life PLC
No. 660 – 1/1, Galle Road, Colombo 3, Sri Lanka

Amāna Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 3, Sri Lanka

Amāna Takaful (Maldives) PLC

3rd Floor, H Mialani, SosunMagu, Malé, Republic of Maldives

Auditors

Messrs Ernst & Young
Chartered Accountants

Consultant Actuaries – General Insurance

NMG Financial Services Consulting Pte Ltd.
30 Hill Street, #03-02A, Singapore 179360

Consultant Actuaries – Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd Suite 17.02, Kenanga
International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia

Reinsurance Panel

Swiss Re
GIC Retakaful
Labuan Reinsurance (L) Ltd.
Trust Insurance Management
Asian Re
Scor Re
Munich Re
Hannover Re

Secretaries

Managers & Secretaries (Pvt) Ltd.

Principal Bankers

Amāna Bank PLC/Pan Asia Bank/NDB/Bank of Ceylon/
Commercial Bank/Hatton National Bank/Deutsche Bank



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Amāna Takaful PLC
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www.takaful.lk